

Business Review and Performance Outlook

“Reviewing our performance and navigating the year ahead”

Chapter 3

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MANAGEMENT DISCUSSION & ANALYSIS

“FY2025 was a year of operational strength for 99 Speedmart, as management focused on maintaining affordability, service reliability and financial resilience.”

Against shifting consumption patterns and ongoing cost pressures, the Group prioritised scale efficiency and operational discipline to sustain performance in a value-driven retail segment.

Industry data indicates that mini-markets and convenience stores were among the more resilient retail subsectors² in early 2025¹, reinforcing the relevance of the Group’s business model. Within this environment, 99 Speedmart’s emphasis on everyday affordability, proximity and execution consistency enabled it to maintain momentum while remaining prudent in capital deployment.

Our management advanced this strategy by expanding the outlet network, strengthening logistics capabilities and maintaining tight cost controls to support stable margins and cash generation. These decisions were guided by a clear objective: to grow the business without compromising balance sheet strength.

Sources:

1 <https://theedgemalaysia.com/node/761299>

2 https://storage.dosm.gov.my/iowrt/iowrt_2025-09.pdf

BUSINESS OVERVIEW AND STRATEGY

99 Speedmart operates a high-frequency, neighbourhood-based mini-market model focused on providing essential daily goods at affordable prices. The Group’s value creation approach is anchored in scale efficiency, prudential cost management and operational consistency, supported by an integrated supply chain and centralised procurement. By situating mini-markets in residential and high-traffic communities, we capture recurring customer demand with lean store formats and fast inventory turnover. This, in turn, creates value for customers through low prices and convenience, stable volume partnerships for suppliers and sustainable margins and strong cash flows for shareholders.

The Group’s strategy is centred on four key objectives:



MANAGEMENT DISCUSSION & ANALYSIS

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These strategic priorities support our long-term vision of building a scalable, accessible and financially disciplined mini-market platform.

As of FY2025, 99 Speedmart has achieved our target of 3,000 outlets nationwide and operates five pilot scale mini-markets in Fuzhou, China, under our Near 'n Save ethos. The Group's operations in Malaysia and China remain focused on strengthening our presence within these markets, allowing us to deepen our understanding of consumer behaviour, operating conditions and regulatory requirements.

Domestically, the Group operates across all states in Peninsular and East Malaysia. During the year, we strengthened our presence in Gua Musang, Kelantan and Miri, Sarawak. We also developed new DCs to support supply chain efficiency.

As the Group continues to scale its operations, the ability to execute its strategy responsibly and consistently has become increasingly important. Sustainability considerations, including resource efficiency, climate-related risks and supply chain resilience, are therefore embedded in how the business plans, operates and invests for the long term.

OPERATING PERFORMANCE AND ACTIVITIES

In FY2025, 99 Speedmart focused on strengthening operations to support network expansion and higher sales volumes. Extended operating hours drove incremental sales, while investments in DCs, fleet optimisation and warehouse automation strengthened logistics reliability, increased inventory turnover and improved product availability. These measures enabled the Group to support higher sales volumes without a corresponding increase in cost intensity, helping to preserve operating margins despite inflationary pressures related to labour, utility and transportation costs.

Digital initiatives further reinforced these gains, with the rollout of electronic shelf pricing, centralised inventory systems and data-driven replenishment improving pricing accuracy, reducing manual intervention and enhancing decision-making. The 99 Bulksales e-commerce platform continued to serve bulk purchases and business customers alongside the physical network, providing insights into customer segmentation, logistics integration and cost control as the digital channel scales.

Supply chain resilience was also strengthened through closer collaboration with suppliers, diversification of sourcing and improved demand forecasting, helping to manage product availability, reduce lead times and improve the Group's ability to respond to demand fluctuations.

Alongside these efforts, the Group adopted energy-efficient equipment, installed solar systems at selected outlets, deployed EV trucks and optimised delivery routes to enhance cost and operational efficiency whilst reducing environmental impact. In addition, we strengthened inventory management to minimise product wastage.

Finally, the Group continued to provide training and refine operating procedures to drive productivity, improve service quality and enhance employee retention across the expanding network.

SUSTAINABILITY AND CLIMATE CONSIDERATIONS IN STRATEGIC PLANNING AND OPERATIONS

Sustainability and climate-related considerations form part of the Group's operating environment and are assessed within the enterprise risk management framework. Key climate-related risks include rising energy and transportation costs, climate-related supply chain disruptions and evolving regulatory requirements, which may affect operating costs, service continuity or capital expenditure requirements.

At the same time, sustainability initiatives present opportunities to enhance cost efficiency, operational predictability and long-term resilience. Investments in energy-efficient equipment, solar installations and greener delivery fleet solutions support improved cost management over time, while responsible business practices strengthen trust with customers, suppliers and communities. Diversified sourcing and optimised logistics further enhance supply chain resilience.

MANAGEMENT DISCUSSION & ANALYSIS

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These considerations are incorporated into strategic planning and decision-making, including capital expenditure decisions for fleet and distribution planning, operational efficiency initiatives and risk management. Management evaluates initiatives based on near-term financial impact and their contribution to long-term resilience, ensuring alignment with the Group's growth strategy.

Our short-term priorities remain centred on reducing carbon intensity, improving operational efficiency, maintaining regulatory readiness and managing cost pressures. When we reach our anticipated peak emissions over the medium term, the Group will focus on stabilising operations while strengthening infrastructure, digital capabilities and sustainable practices. Over the longer horizon, we are working towards sustained emissions reductions, building a resilient, scalable and responsible retail platform that supports sustainable growth and long-term stakeholder value.

GROUP FINANCIAL REVIEW

Revenue

For FY2025, we recorded revenue of RM11,433.2 million, representing an increase of 14.5% compared to RM9,981.6 million in FY2024.

Performance during the year was supported by revenue contributions from newly opened outlets and 99 Bulksales e-commerce platform, extended operating hours at selected locations and the growth of convenience-driven purchasing behaviour among consumers. These factors collectively strengthened transaction volumes across the Group's retail network, reinforcing 99 Speedmart's position as a preferred neighbourhood mini-market offering accessible and affordable everyday essentials.

Gross Profit ("GP")

99 Speedmart recorded a gross profit of RM2,226.5 million in FY2025, representing growth of 17.6% compared to RM1,893.2 million in FY2024. This growth was primarily attributable to higher sales volumes arising from the continued expansion of the Group's outlet network and improved procurement efficiencies. Our gross profit margin improved slightly to 19.5% in FY2025 compared to 19.0% in FY2024, reflecting our ability to leverage economies of scale, optimise direct sourcing from manufacturers and maintain disciplined pricing strategies while preserving affordability. Additionally, the margin was strengthened by a reclassification, whereby the majority of supplier rebates and incentives were reallocated from other operating income to a deduction against cost of sales.

Administrative and Other Operating Expenses

Administrative and other operating expenses totalled RM1,430.7 million in FY2025, representing a rise of 14.8% compared to RM1,245.9 million in FY2024.

The increase was primarily attributable to:

- Higher staff-related costs, reflecting workforce expansion to support the growing outlet network;
- Greater utilities and operational expenses associated with a larger number of operating outlets and distribution facilities; and
- Higher depreciation and maintenance costs for fixed assets and right-of-use assets arising from ongoing investments in retail outlets, distribution infrastructure and digital systems.

Despite these, the Group continued to exercise prudent cost management to ensure that operating cost growth remained aligned with revenue expansion.

MANAGEMENT DISCUSSION & ANALYSIS

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Profit Before Taxation ("PBT") and Profit After Taxation ("PAT")

The Group recorded a PBT of RM803.4 million in FY2025, compared to RM633.7 million in FY2024, representing a growth of 26.8% year-on-year. PAT expanded to RM607.3 million, compared to RM465.4 million in FY2024, reflecting a rise of 30.5%.

The stronger profitability was driven by robust revenue growth and improved gross profit contribution, supported by 99 Speedmart's focus on operational efficiency and disciplined cost management. As a result, the PBT margin improved to 7.0% in FY2025 (FY2024: 6.4%), while the PAT margin strengthened to 5.3% (FY2024: 4.7%), reflecting the Group's ability to translate revenue growth into stronger earnings performance.

Liquidity and Financial Resources

The Group maintained a strong financial position and healthy liquidity levels during FY2025. Total assets increased to RM4,147.3 million, compared to RM3,600.8 million in FY2024, primarily driven by continued investments in property, equipment, outlet expansion and logistics infrastructure.

Shareholders' equity strengthened to RM1,680.8 million, compared to RM1,451.6 million in FY2024, reflecting retained earnings generated during the year after dividends distribution and 99 Speedmart's sustained profitability. The Group also recorded a net cash position and a healthy current ratio, underscoring our conservative capital management approach and strong balance sheet. Solid liquidity and minimal leverage provide significant financial flexibility, supporting ongoing expansion, supply chain investments and operational improvements.

Capital Expenditure, Structure and Resources

Our capital expenditure in FY2025 was primarily directed towards growth and operational efficiency projects. Key investments included the opening of new outlets, refurbishment of existing mini-markets, expanding warehouse and distribution capacity and ongoing upgrades in digital systems and energy-efficient infrastructure. Our capital structure remained conservative, as expansion was funded largely by internally generated funds, allowing us to preserve a strong balance sheet while continuing to invest in strategic growth initiatives and operational improvements without incurring significant debt.

Investment and Disposal Plans for FY2025

The Group's investments were focused on supporting our growth strategy and enhancing productivity. Capital was deployed towards contractually committed projects such as new outlet openings, new distribution centres and IT upgrades, as well as sustainability initiatives including solar panel installations, the adoption of electric delivery vehicles and energy-efficient equipment. The Group also continued to invest in business transformation programmes including automation and digital systems to drive further productivity gains.

Looking ahead, 99 Speedmart is planning measured expansion into selected new markets, experimenting with innovative store formats and further optimising our supply chain for operational scalability. These forward-looking initiatives will be undertaken with careful consideration of internal approvals, market conditions and regulatory requirements. It is noted that no material divestments or asset disposals were undertaken in FY2025, underscoring the Group's focus on organic growth and maximising the use of existing assets.

MANAGEMENT DISCUSSION & ANALYSIS

Cont'd

OUTLOOK AND PROSPECTS

The Group looks forward to FY2026, supported by consistent execution and a stable operating model. Our growth in the year ahead is expected to be driven by ongoing outlet expansion, steady demand for fast-moving consumer goods (“**FMCG**”), further operational efficiency gains and increasing contributions from our optimised product assortment and 99 Bulksales e-commerce platform.

We remain vigilant regarding challenges such as rising operating costs (notably wages, utilities and logistics), intensifying competition in the convenience retail segment and execution risks as we expand our network and upgrade systems.

99 Speedmart will continue to leverage our core strengths in pricing, convenience and customer experience. We are committed to maintaining competitive pricing through scale efficiencies and cost discipline, ensuring convenience via strategic mini-market locations and extended operating hours, as well as delivering a reliable customer experience by keeping our shelves well-stocked and service consistent. Additionally, we will invest in process improvements and technology, such as automation and analytics to further enhance operational execution and efficiency, sustaining our competitive advantage.

In line with the Group’s climate objectives, we have set targets to reduce Scope 1 and Scope 2 emissions by 15% by 2030, with peak emissions anticipated between 2027 and 2029. These efforts also support broader net-zero aspirations and form part of the Group’s structured approach to sustainable growth.

Over the next three years, the Group will continue to focus on sustainability priority areas. These include improving energy efficiency across our mini-markets and distribution centres, reducing waste (for example, minimising product spoilage and optimising packaging), strengthening workplace safety and talent development programmes, and promoting responsible sourcing and community engagement. We intend to integrate these initiatives into our operations and capital and operational expenditure (“**CAPEX/OPEX**”) planning to ensure they drive long-term value creation for the business and our stakeholders.

In determining the Group’s dividend policy, the Board aims to provide sustainable returns to shareholders while retaining sufficient resources to support growth. During the reporting period, strong cash generation and resilient earnings enabled dividend distributions underpinned by sound capital management. This balanced approach allowed the Board to reward shareholders while continuing to reinvest in the business to support future expansion and maintain financial resilience in a dynamic operating environment.

FIVE-YEAR GROUP FINANCIAL HIGHLIGHTS

Metric	2021	2022	2023	2024	2025
Revenue (RM'000)	7,840,610	8,078,506	9,214,110	9,981,642	11,433,224
Gross Profit ("GP") (RM'000)	1,430,177*	1,456,521*	1,683,823*	1,893,239*	2,226,534
Profit Before Taxation ("PBT") (RM'000)	551,656*	459,403*	528,116*	633,713*	803,360
Profit After Taxation ("PAT") (RM'000)	408,934*	301,955*	390,131*	465,387*	607,285
Normalised PAT (RM'000)^	408,934*	301,955*	391,026*	487,514*	607,285
Adjusted Earnings Before Interest, Taxation, Depreciation and Amortisation ("Adjusted EBITDA") (RM'000)	632,483*	545,450*	612,280*	712,556*	871,623
GP Margin (%)	18.24*	18.03*	18.27*	18.97*	19.47
PBT Margin (%)	7.04*	5.69*	5.73*	6.35*	7.03
PAT Margin (%)	5.22*	3.74*	4.23*	4.66*	5.31
Normalised PAT Margin (%)^	5.22*	3.74*	4.24*	4.88*	5.31
Adjusted EBITDA Margin (%)	8.07*	6.75*	6.65*	7.14*	7.62
Earnings Per Share (sen) ^(a)	4.87*	3.59*	4.64*	5.54*	7.23
Total Assets (RM'000)	2,325,485*	2,324,773*	2,604,606*	3,600,825*	4,147,256
Shareholders' Equity (RM'000)	669,276*	539,431*	439,058*	1,451,581*	1,680,833
Total Borrowings (Excluding Lease Liabilities) (RM'000)	109,309*	112,193*	122,771*	76,145*	90,663
Net Assets Per Share (RM) ^(a)	0.08*	0.06*	0.05*	0.17*	0.20
Current Ratio (times)	1.32*	1.10*	0.93*	1.56*	1.55
Gearing Ratio (times)	0.16*	0.21*	0.28*	0.05*	0.05
Net Gearing/(Cash) Ratio (times)	0.12*	0.05*	(0.03)*	(0.10)*	(0.03)
Average Trade Receivables Turnover (days)	3*	3*	3*	5*	7
Average Trade Payables Turnover (days)	34*	39*	42*	45*	45
Average Inventory Turnover (days)	40	48	50*	52	50

Notes: For detailed definitions and financial calculations, please refer to the Company's Prospectus or our Company's website.

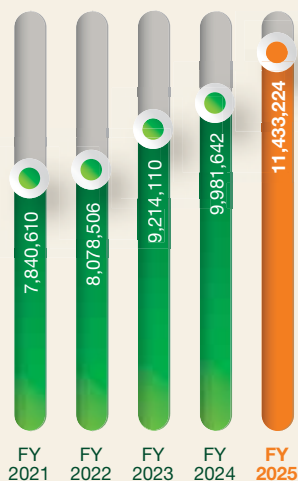
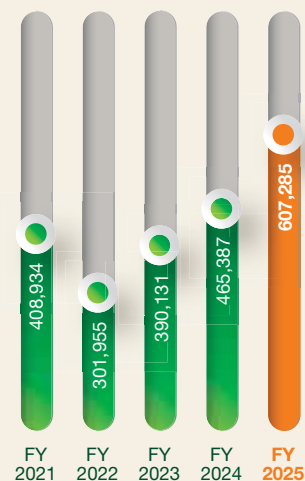
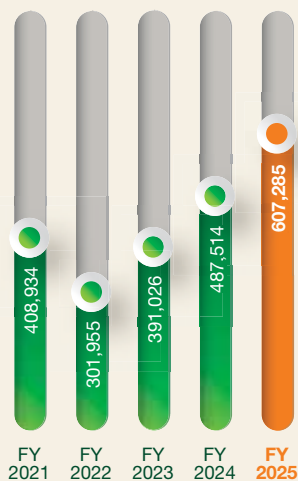
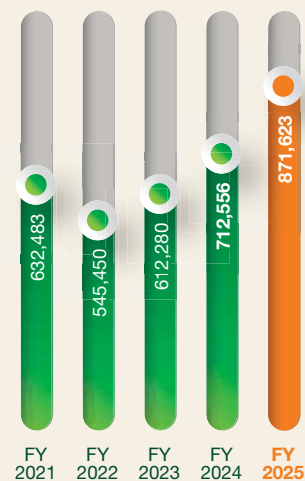
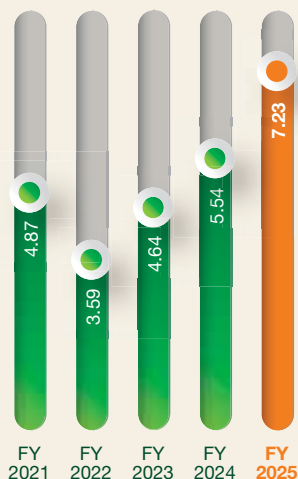
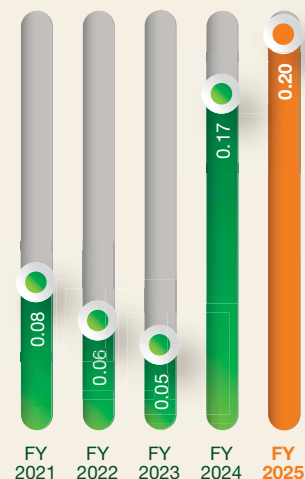
* These figures have been restated to reflect the reclassification of items, together with the corresponding adjustments, from other operating income to other income and as a deduction against cost of sales; from trade payables to trade receivables and borrowings; and from cash, bank balances and deposits to short-term investments.

^ The normalised PAT and normalised PAT Margin exclude the one-off special bonus, related statutory contributions and IPO listing expenses.

^(a) This is computed based on the weighted average number of ordinary shares for the financial year under review amounting to 8,400,000,000.

FIVE-YEAR GROUP FINANCIAL HIGHLIGHTS

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REVENUE
(RM'000)Increase
14.5%PROFIT AFTER
TAXATION
("PAT")
(RM'000)Increase
30.5%NORMALISED
PAT
(RM'000)Increase
24.6%ADJUSTED
EBITDA
(RM'000)Increase
22.3%EARNINGS
PER SHARE
(sen)Increase
30.5%NET ASSETS
PER SHARE
(RM)Increase
17.6%

How We Create Value

"Delivering consistent value through a resilient business model"

Chapter 4

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VALUE CREATION AT 99 SPEEDMART

OUR APPROACH TO VALUE CREATION

Our integrated value creation framework enables us to respond effectively to market trends, operational risks and stakeholder expectations that may influence our business performance. This approach supports informed decision-making, strengthens resilience and enables the pursuit of growth opportunities while maximising the value we deliver to our stakeholders and communities.

UNDERSTANDING BUSINESS CONTEXT & INSIGHTS

Operating Landscape

We assess local and regional retail trends, evolving consumer preferences, competitive dynamics and regulatory or policy developments to strengthen our market positioning, operational effectiveness and long-term resilience.

Stakeholder Engagement

Active engagement with customers, employees, suppliers, regulators and investors enables us to understand stakeholder priorities and incorporate relevant perspectives into decision-making.

Material Sustainability Matters

Insights from stakeholder engagement and internal assessments inform the identification of material sustainability and business matters that are most relevant to our long-term value creation and ability to remain competitive.

Key Risks and Mitigation

We identify and assess key operational, financial and strategic risks, and implement mitigation measures to safeguard business continuity, operational resilience and corporate reputation.

FORMULATING STRATEGIC DIRECTION

Our Strategic Priorities

Our strategic focus is anchored on three pillars that guide capital allocation and operational focus:

- **Growth & Market Reach:** Expansion through deliberate outlet growth, regional diversification and a strong neighbourhood presence.
- **Operational & Supply Chain Excellence:** Driving efficiency, reliability and scalability through logistics optimisation, digitalisation, data-driven decision-making and resilient supplier partnerships.
- **Trust, People & Sustainability:** Upholding affordability, integrity and community trust while strengthening workforce capability, responsible sourcing and environmental stewardship.

Allocating Our Resources

We strategically deploy and optimise our six capitals to support long-term sustainable growth and operational excellence. These capitals are: Financial, Manufactured, Human, Intellectual, Social & Relationship and Natural.

VALUE CREATION & OUTCOMES

Value Creation

We generate value that extends beyond financial returns through the execution of our strategy. Our operations create employment opportunities, strengthen local supply chains, support national economic activity and provide accessible, affordable convenience to communities across Malaysia.

Integrating Sustainability

Sustainability considerations are integrated across our operations, encompassing energy-efficient logistics, waste reduction initiatives, responsible sourcing, community engagement and the transition to a low-carbon business model. Employee welfare and development remain a key focus, ensuring a safe, inclusive and supportive workplace. These efforts support long-term business resilience while contributing to shared value for stakeholders and the wider community.

VALUE CREATION AT 99 SPEEDMART

Cont'd

VALUE CREATION MODEL

Active stakeholder engagement and continuous assessment of industry trends, risks and opportunities help us maintain a clear focus on the factors most critical to our success. The Value Creation Model illustrates how 99 Speedmart integrates these insights into our strategy and operations through the effective deployment of our six capitals, capturing the interconnected flow of resources, activities and outcomes that generate sustainable value for our stakeholders.

CAPITALS



FINANCIAL

Underpins 99 Speedmart's ability to operate a low-margin, high-volume retail model while funding disciplined network expansion and logistics capabilities.

- **RM32.0 billion** market capitalisation (as of 31 December 2025)
- **RM903.3 million** operating cash inflows
- **RM173.3 million** capital allocated for business expansion (including outlets, DC, logistics and upgrade assets)



MANUFACTURED

Represents the physical backbone of 99 Speedmart's retail and distribution network.

- **3,037** outlets in operation nationwide
- **22** centralised DCs supporting nationwide replenishment
- **660** vehicles in the delivery fleet



INTELLECTUAL

Reflects the operating discipline and retail know-how that enable 99 Speedmart to deliver value pricing at scale.

- **38 years** of retail operating experience
- Strong brand presence built around affordability and convenience
- Inventory planning, forecasting and replenishment systems



SOCIAL & RELATIONSHIP

Reflects 99 Speedmart's role as a community-based retailer and its long-standing relationships across the supply chain.

- Long-term relationships with **494** suppliers and manufacturers
- Retail presence serving all states nationwide



HUMAN

Comprises the outlet and logistics workforce that delivers day-to-day operations across the Group's extensive network.

- **25,647** employees across outlets, logistics and headquarters
- **RM882.7 million** invested in employee wages and benefits, as well as employee training and career development



NATURAL

Relates to environmental resources used in operating 99 Speedmart's outlets and logistics network.

- **RM52.0 million** investment in energy efficiency initiatives
- **2.19%** electricity consumed sourced from solar energy
- **10 trucks** transitioned to EVs
- **28,566.52 tonnes** of waste diverted from landfill

SUSTAINABILITY APPROACH

FOCUS AREAS



Ensuring Quality in Products and Services



Promoting Ethical Governance and Transparency



Advancing Environmental Responsibility and Sustainability



Fostering Employee Well-being and Community Engagement

KEY STAKEHOLDER GROUPS



Shareholders and Investors



Government and Regulatory Authorities



Employees



Customers



Suppliers



Local Community



Media

KEY RISKS



Changes in Government Policy



Disruption of Supply Chain



Manpower Shortage



Negative Publicity



Fire and Flood Risk

VALUE CREATION AT 99 SPEEDMART

Cont'd

MATERIAL SUSTAINABILITY MATTERS

EP	Economic Performance
MR	Market Reach
PQCHS	Product Quality & Customer Health and Safety
SSC	Sustainable Supply Chain
RC	Regulatory Compliance
CGAC	Corporate Governance and Anti-Corruption
ISDP	Information Security and Data Protection
ENM	Energy Management
EMM	Emissions Management
WM	Waste Management
WE	Water Efficiency
CS	Customer Satisfaction
EHSW	Employee Health, Safety and Well-being
HRLP	Human Rights and Labour Practices
TETD	Training, Education and Talent Development
EMP	Employment
CE	Community Engagement
DEI	Diversity, Equity and Inclusion

VALUE CREATION ACTIVITIES



- Efficient working capital management driven by fast inventory turnover
- Tight control of operating costs to preserve affordability and margins
- Prudent capital allocation focused on new outlet openings in residential areas



- Standardised outlet rollout and fit-out to ensure consistency and cost efficiency
- High-frequency outlet replenishment from DCs
- Ongoing maintenance and optimisation of outlets and logistics assets



- Leveraging long-standing retail experience to execute bulk purchasing and supplier optimisation
- Use of operational and performance data to continuously optimise outlet operations, inventory flows and logistics efficiency



- Close supplier collaboration to ensure consistent supply and pricing
- Collaboration with government agencies to support the delivery of targeted assistance programmes



- Workforce planning to support outlet operations and expansion
- Provision of employee benefits and adherence to employment and labour laws
- Training on operational procedures, customer service and health and safety



- Energy and fuel efficiency measures across outlets and logistics
- Route optimisation to reduce fuel consumption
- Responsible handling of packaging materials and waste generated

VALUE CREATION AT 99 SPEEDMART

Cont'd

VALUE CREATION MODEL

OUTCOMES



- **RM11,433.2 million** total revenue
- Funding capacity to support continued neighbourhood outlet expansion and logistics investments
- Preservation of margin stability while maintaining affordable pricing for essential goods



- **259 new outlets** opened during the year
- **532.0 million** sales transactions



- Consistent product availability driven by data-led assortment management
- Improved cost control and procurement efficiency supporting value pricing
- Strong brand association with convenience and affordability



- Stable pricing and consistent product availability for customers
- Strengthened public trust and community relevance



- **1,797 internal promotions**, supporting workforce development
- **120,494 training hours** delivered during the year



- **57.50 tCO₂e** emissions intensity per outlet
- **10.62%** improvement in carbon intensity
- **68%** waste recycled and diverted from landfill

KEY STAKEHOLDER GROUPS



VALUE CREATION AT 99 SPEEDMART

Cont'd

UNSDGs



TRADE OFFS



The Group prioritises cost efficiency and disciplined capital allocation to support affordability and financial stability. This may require balancing investments across operational needs, workforce development and other initiatives to support sustainable long-term performance.



Expansion and operation of the outlet and logistics network enhance customer access but require ongoing investment and resource management. The Group manages this through standardised formats and asset optimisation to support efficient operations.



Standardised systems and processes support consistency and cost control but may limit operational flexibility in certain areas. The Group reviews its systems regularly to balance efficiency with operational responsiveness.



Value pricing and procurement efficiency support customer affordability while requiring careful management of supplier relationships. The Group maintains ongoing engagement to support stable and long-term partnerships.



Lean operating models support efficiency but require effective workforce planning and supervision. The Group manages this through training and health and safety practices and effective workforce allocation to support workforce stability.



Retail and logistics operations rely on energy and transportation resources to support product availability. The Group seeks to manage resource use through efficiency measures while maintaining reliable operations.

KEY MARKET TRENDS AND STRATEGIC RESPONSES

99 Speedmart operates within a value-driven grocery and convenience retail environment shaped by macroeconomic conditions, regulatory developments, industry structure and evolving consumer behaviour. These external factors influence operating costs, consumer spending patterns and competitive dynamics, reinforcing the importance of affordability, accessibility and operational discipline in delivering everyday essentials to customers. Management actively monitors these trends to inform strategic priorities and support long-term value creation.

1. Macroeconomic Conditions and Household Spending Trends

Key Market Trend

Malaysia's economy expanded in 2025, supported by resilient domestic demand, a stable labour market and continued investment activity. However, cost-of-living pressures, subsidy rationalisation and fiscal measures such as expanded sales taxes and e-invoicing requirements have increased operating and compliance costs for businesses. While household income support measures, including wage adjustments, continue to underpin consumption, consumers remain value-conscious, with spending skewed towards essential goods.

Strategic Response

The Group remains focused on an everyday low-price strategy and disciplined cost management, maintaining a carefully selected assortment of fast-moving essentials. Centralised procurement, high inventory turnover and standardised operating models help manage cost pressures while ensuring consistent pricing for customers.

2. Regulatory and Policy Developments Affecting Operations

Key Market Trend

Regulatory developments, including minimum wage revisions, employment-related requirements, price controls on selected goods, licensing obligations and local council regulations continue to shape the operating environment for grocery and convenience retailers. Compliance-related costs and administrative requirements are expected to remain key considerations for the sector.

Strategic Response

99 Speedmart maintains standardised operating procedures and central oversight to support regulatory compliance across our nationwide outlet network. Management continues to monitor policy developments and adjust operational practices where necessary to ensure compliance while maintaining operational efficiency.

3. Competitive Industry Structure and Market Dynamics

Key Market Trend

The grocery and convenience retail market in Malaysia remains competitive and fragmented, comprising mini-markets, supermarkets, hypermarkets and online grocery platforms. Key competitive differentiators include price, proximity, product availability and operational efficiency. Margin pressure persists due to rising operating costs and competitive pricing dynamics.

Strategic Response

The Group leverages our extensive outlet network, centralised distribution centres and logistics capabilities to achieve scale efficiencies. Standardised store formats and lean operating models support cost control and consistent customer experience across locations.

KEY MARKET TRENDS AND STRATEGIC RESPONSES

Cont'd

4. Supply Chain Conditions and Cost Management

Key Market Trend

Supply chain conditions have generally stabilised, although retailers remain exposed to input cost fluctuations, supplier concentration risks and foreign exchange movements for imported goods. Logistics efficiency and supplier reliability remain critical to maintaining product availability.

Strategic Response

99 Speedmart continues to strengthen long-term supplier relationships, centralise purchasing and optimise inbound logistics. High-frequency replenishment and route optimisation support inventory efficiency and reduce supply disruptions.

5. Labour Market Conditions and Workforce Availability

Key Market Trend

The retail labour market remains competitive, with wage adjustments and labour availability influencing operating costs and workforce stability. Recent increases in minimum wage have further raised labour investment requirements, placing additional pressure on cost management. Recruitment, retention and productivity challenges persist, particularly for frontline roles, requiring retailers to adopt targeted workforce strategies and operational efficiencies to maintain service quality and support sustainable growth.

Strategic Response

The Group implements efficient staffing models supported by training programmes and standardised procedures to enhance productivity. Workforce planning and employee engagement initiatives are deployed to support retention and maintain operational effectiveness across outlets and distribution centres.

6. Digitalisation and Evolving Retail Formats

Key Market Trend

Digitalisation continues to influence consumer purchasing behaviour, with increasing acceptance of online ordering, bulk purchases and alternative fulfilment methods alongside physical outlet shopping.

Strategic Response

99 Speedmart continues to develop our e-commerce and bulk order fulfilment capabilities, integrating these channels with existing outlets and logistics network to improve competitiveness while maintaining operational simplicity and cost discipline.

Looking ahead, Management will continue to monitor cost-of-living trends, regulatory developments, labour market dynamics and evolving consumer preferences, which are expected to influence operating conditions over the next one to three years. The Group remains focused on disciplined expansion, operational efficiency and affordability, while maintaining flexibility to adapt our operating model in response to external developments.

ENGAGING STAKEHOLDERS FOR SUSTAINABLE VALUE

99 Speedmart's key stakeholders comprise individuals and groups who influence our operations or are impacted by our activities. We actively engage with them to understand their expectations, address their concerns and align our strategies with their priorities to strengthen relationships and ensure our business decisions create shared value.



ENGAGING STAKEHOLDERS FOR SUSTAINABLE VALUE

Cont'd

Shareholders and Investors

Why They Matter

Stakeholders and investors drive 99 Speedmart's growth by providing capital and long-term support. Their confidence underpins the Group's financial stability, competitiveness and value creation over time.

Engagement Platform

- General Meetings
- Financial reports and disclosures
- Analyst briefings and investors conferences

Key Concerns

- Business growth and profitability
- Clear business strategies and forward-looking plans
- Strong governance and effective risk management practices
- Transparency in financial and sustainability performance

Our Responses

- Maintained robust financial performance through strategic expansion, operational efficiency and ongoing innovation
- Upheld corporate governance standards with regular reviews of internal controls, risk management frameworks and compliance with regulatory requirements
- Ensured transparent and timely reporting of financial results and sustainability efforts, addressing significant risks and opportunities

Value Creation Opportunities

- Consistent financial performance and strategic growth initiatives create opportunities for higher dividends, increased total shareholder returns and long-term value creation
- Strong governance, internal controls and enterprise risk management reinforce investor confidence, reduce cost of capital and support resilient growth
- Transparent, decision-useful financial and sustainability disclosures strengthen market credibility and attract long-term institutional investors

Value Creation Indicators

- Contribution of 0.6% of total revenue from 99 Bulksales e-commerce platform, reflecting portfolio diversification and improved multichannel revenue streams
- Consistent profitability and cash flow generation supporting reinvestment and shareholder returns

Alignment

Capitals:



Material Sustainability Matters:



UN SDGs:



Key Risks:



Engagement Frequency

- Annually
- Ongoing
- Quarterly
- Periodically
- As required

ENGAGING STAKEHOLDERS FOR SUSTAINABLE VALUE

Cont'd

Government & Regulatory Authorities

Why They Matter

Government and regulatory authorities ensure the Group conducts our operations legally and ethically, in adherence to business laws, industry regulations and sustainability standards.

Engagement Platform

- Regulatory seminars and conferences
- Meetings with government agencies
- Industry consultations and public dialogues

Key Concerns

- Compliance with *Kementerian Perdagangan Dalam Negeri* (“KPDN”) rules, regulations and guidelines
- Adherence to environmental and sustainability regulations and standards
- Protection of consumer rights and promotion of fair business practices
- Addressing food security concerns and ensuring supply reliability

Our Responses

- Maintained compliance with relevant local laws and regulations through regular reviews of legal requirements and updates to internal policies
- Promoted fair business practices and consumer protection through transparent pricing, accurate product labelling and prompt resolution of customer complaints in accordance with legal standards
- Ensured the safe sourcing, handling and distribution of food products in collaboration with relevant authorities to meet food safety standards and mitigate potential risks to public health

Value Creation Opportunities

- Proactive regulatory engagement enables smooth policy implementation, reduces compliance risks and strengthens licence to operate
- Alignment with national sustainability, food security and economic development priorities supports a resilient retail ecosystem

Value Creation Indicators

- Fulfilment of regulatory expectations set by Bank Negara Malaysia and Bursa Malaysia
- Continued collaboration with the government on initiatives such as *Sumbangan Tunai Rahmah* and *Sumbangan Asas Rahmah*

Alignment

Capitals:



Material Sustainability Matters:



UN SDGs:



Key Risks:



Engagement Frequency

- Annually ● Ongoing ● Quarterly ● Periodically ● As required

ENGAGING STAKEHOLDERS FOR SUSTAINABLE VALUE

Cont'd

Customers

Why They Matter

Customers are a key stakeholder of the Group, shaping our business growth through influencing product offerings and supporting revenue generation.

Engagement Platform

- Customer satisfaction surveys
- Social media and customer service hotline
- In-store feedback

Key Concerns

- Ensure product availability and affordability
- Maintain high standards of outlet cleanliness
- Deliver consistent product and service standards
- Enhance customer experience and ensure effective complaint resolution
- Safeguard customer data privacy and information security

Our Responses

- Maintained competitive pricing strategies while ensuring optimal stock levels across outlets through streamlined inventory management
- Enhanced outlet cleanliness through regular cleaning schedules to ensure hygiene standards are consistently met
- Implemented quality control measures for products and services, including regular product inspections and customer satisfaction surveys
- Strengthened data privacy protocols by complying with relevant data protection laws and implementing secure systems for handling and storing customer data, safeguarding customers' personal information

Value Creation Opportunities

- Consistent access to affordable, essential products strengthens customer loyalty and repeat purchases
- Enhanced in-store experience and efficient complaint resolution improve customer satisfaction and brand trust
- Robust data protection safeguards customer confidence in digital and bulk-purchase platforms which expands customer access and improve purchasing convenience

Value Creation Indicators

- Achieved a Customer Satisfaction Score of 92.00%
- 532.0 million transactions throughout the Group through multichannel platforms
- Expansion of outlets to the East Coast and Northern Peninsular States
- Implementation of electronic shelf labels to improve pricing accuracy and promotional effectiveness

Alignment

Capitals:



Material Sustainability Matters:



UN SDGs:



Key Risks:



Engagement Frequency

- Annually
- Ongoing
- Quarterly
- Periodically
- As required

ENGAGING STAKEHOLDERS FOR SUSTAINABLE VALUE

Cont'd

Employees

Why They Matter

The dedication and expertise of our employees underpin operational efficiency, customer satisfaction and business growth.

Engagement Platform

- Internal communication platforms
- Employee performance reviews
- Training programmes and workshops
- Employee surveys and feedback sessions

Key Concerns

- Provide career development and training opportunities
- Ensure workplace health and safety
- Foster an inclusive work environment
- Offer fair wages and benefits

Our Responses

- Provided continuous learning and development programmes, including in-house training and clearly defined career progression plans to support employee growth
- Implemented an Occupational Health and Safety ("OHS") policy, conducting regular risk assessments, OHS training and safety audits, to promote a safe and healthy workplace
- Offered equal opportunities and non-discriminatory employment practices, with career advancement and salary progression linked to individual performance

Value Creation Opportunities

- Investment in training and career development builds a skilled, engaged workforce and strengthens operational excellence
- Fair remuneration and recognition programmes support talent attraction in a competitive retail labour market
- A safe, inclusive and equitable workplace enhances employee well-being, productivity and retention

Value Creation Indicators

- 25,647 employees employed across operations, with 1,797 employees receiving internal promotions
- 120,494 training hours delivered during the year
- Employment of 138 differently-abled individuals, supporting inclusive employment

Alignment

Capitals:



Material Sustainability Matters:

EHSW HRLP TETD EMP DEI

UN SDGs:



Key Risks:

MS

Engagement Frequency

Annually Ongoing Quarterly Periodically As required

ENGAGING STAKEHOLDERS FOR SUSTAINABLE VALUE

Cont'd

Suppliers

Why They Matter

Suppliers ensure a reliable supply of quality products and provide differentiated offerings, allowing the Group to maintain operational efficiency and drive business growth.

Engagement Platform

- Supplier meetings and negotiations
- Supplier performance assessments
- Contracts and agreements

Key Concerns

- Engage in fair and efficient procurement practices
- Enhance payment terms and support business continuity

Our Responses

- Maintained transparent, fair and efficient procurement processes by clearly defining supplier selection criteria, regularly reviewing supplier performance and ensuring equal opportunities for all potential suppliers
- Ensured timely payments by adhering to agreed payment terms and fostering long-term, mutually beneficial partnerships with suppliers

Value Creation Opportunities

- Long-term, transparent supplier relationships enhance supply reliability, cost efficiency and product quality
- Collaboration with suppliers supports continuous improvement in sustainability, operational standards and innovation
- Strong local sourcing strengthens domestic supply chains, reduces disruption risks and contributes to domestic economic value creation

Value Creation Indicators

- 99.98% of suppliers engaged are Malaysian-based companies
- Onboarded 26 new local vendors and suppliers

Alignment

Capitals:



Material Sustainability Matters:



UN SDGs:



Key Risks:



Engagement Frequency

- Annually
- Ongoing
- Quarterly
- Periodically
- As required

ENGAGING STAKEHOLDERS FOR SUSTAINABLE VALUE

Cont'd

Media

Why They Matter

The media plays an important role in shaping the Group's reputation, enhancing our visibility and keeping the public and customers informed of key developments and initiatives.

Engagement Platform

- Press releases and media briefings
- Social media and digital communication
- Interviews and media inquiries

Key Concerns

- Enhance transparency in disclosing corporate and sustainability efforts
- Ensure timely and accurate communication of business updates
- Manage public relations and crisis communication effectively

Our Responses

- Provided accurate, timely and clear updates on corporate and sustainability initiatives through press releases, annual reports and the Group's website
- Engaged with media professionals to ensure transparent communication
- Implemented a crisis communication plan to manage potential issues swiftly and responsibly, minimising reputational risks

Value Creation Opportunities

- Transparent and timely communication enhances corporate credibility and public trust
- Proactive media engagement strengthens brand visibility and supports effective reputation management
- Clear crisis communication mitigates reputational risks and ensures stakeholder confidence
- Social media engagement improves brand awareness and publicity

Value Creation Indicators

- Improved revenue/sales as a result of brand exposure

Alignment

Capitals:



Material Sustainability Matters:



UN SDGs:



Key Risks:



Engagement Frequency

- Annually
- Ongoing
- Quarterly
- Periodically
- As required

ENGAGING STAKEHOLDERS FOR SUSTAINABLE VALUE

Cont'd

Local Community

Why They Matter

The local community is an important stakeholder, contributing a loyal customer base, workforce and support for our sustainable growth and social responsibility initiatives.

Engagement Platform

- Corporate Social Responsibility ("CSR") programmes and community outreach
- Local hiring initiatives
- Public engagement and sponsorships

Key Concerns

- Engagement and partnerships in community development initiatives that support social well-being
- Minimising our operations' environmental impact
- Creating job opportunities and encouraging local hiring

Our Responses

- Supported community welfare initiatives through regular CSR programmes, including donations to local causes and participation in community development projects
- Reduced environmental impact through sustainability efforts including waste and emissions reduction, and the adoption of energy-efficient technologies
- Prioritised local hiring by recruiting from surrounding communities and partnering with job fairs and educational institutions to support local employment growth

Value Creation Opportunities

- Job creation, local hiring and community partnerships contribute to inclusive economic growth and social resilience
- Supporting education, health and community programmes improves well-being and quality of life of local communities
- Community investments strengthen social licence to operate and reinforce long-term stakeholder trust

Value Creation Indicators

- Invested RM6.0 million into community welfare and engagement initiatives, supporting 60,912 beneficiaries
- Ongoing support for disaster relief, assistance to homes and orphanages, and aid to underserved communities
- Continued focus on local hiring across headquarters and retail outlets

Alignment

Capitals:



Material Sustainability Matters:



UN SDGs:



Key Risks:



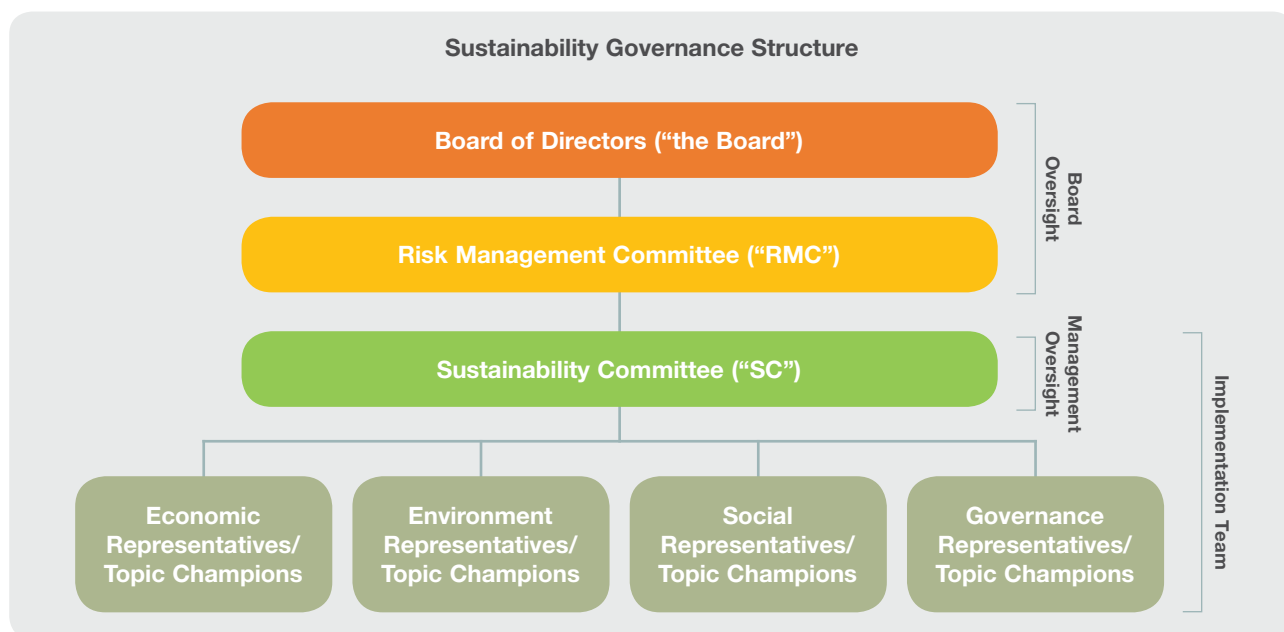
Engagement Frequency

- Annually
- Ongoing
- Quarterly
- Periodically
- As required

GOVERNANCE AND OVERSIGHT OF SUSTAINABILITY

Effective governance underpins the Group's sustainability strategy by providing clear oversight and accountability for sustainability and climate initiatives. The sustainability governance structure defines roles and responsibilities across the Board of Directors, Risk Management Committee and Sustainability Committee, as set out in the Terms of Reference, to support consistent oversight of sustainability and climate-related matters across the Group's operations.

The structure facilitates the identification and management of sustainability and climate-related risks and opportunities, strengthens performance monitoring and aligns sustainability priorities with long-term business ambitions.



Board Oversight

the Board

The Board holds ultimate responsibility for 99 Speedmart's sustainability strategic direction and provides oversight of the Group's sustainability and climate-related risks and opportunities across environmental, social and governance matters. The Board's Terms of Reference incorporate oversight of these sustainability and climate-related risks and opportunities.

In carrying out its duties, the Board:

- Provides oversight of and approves the Group's sustainability agenda, statements, policies and strategies, as well as sustainability and climate-related risks and opportunities that may affect 99 Speedmart's long-term performance and resilience
- Approves the integration of sustainability and climate-related risks and opportunities into the Group's overall strategy and enterprise risk management framework
- Considers sustainability and climate-related risks and opportunities when reviewing 99 Speedmart's strategy, performance objectives and risk management processes, including alignment with the Group's business model, long-term business strategy and stakeholder expectations
- Reviews and evaluates material transactions and investments in relation to their potential implications with regards to the Group's sustainability and climate-related risks and opportunities
- Ensures governance structures, resources and reporting mechanisms are established to support the management and disclosure of sustainability and climate-related matters

Frequency of Meetings:

The Board receives updates on sustainability- and climate-related matters through the Group's top-5 and top-10 risk registers, reviewed at each quarterly Board meeting. More comprehensive assessment and tracking of sustainability targets are conducted biannually.

Reporting Mechanisms:

Sustainability and climate-related matters are reported primarily through formal reports (Word documents) and presentations (PDF or PowerPoint slides) at the RMC meeting. Key discussion points are documented in the meeting minutes by the Company Secretary.

GOVERNANCE AND OVERSIGHT OF SUSTAINABILITY

Cont'd

Management Oversight

RMC

The RMC supports the Board in the identification and oversight of risks affecting the Group, including sustainability- and climate-related risks. The RMC operates through a process that includes risk identification and assessment, risk prioritisation, monitoring and mitigation, reporting and escalation, and review and continuous improvement. It monitors mitigation plans, tracks key risk indicators and escalates sustainability and climate-related risks and opportunities to the Board for consideration in strategic planning and decision-making.

In carrying out its responsibilities, the RMC:

- Reviews the Group's sustainability- and climate-related policies, initiatives, targets and Sustainability Statement prior to submission to the Board for approval
- Provides guidance and input on sustainability and climate-related risks and opportunities and their integration into the Group's risk management framework
- Reviews the Group's risk profile to ensure the integration of sustainability and climate-related risks and opportunities and develops mitigation plans as risks are identified
- Oversees the adequacy and effectiveness of internal controls, data governance and assurance processes relating to sustainability and climate reporting
- Reviews performance evaluations of the Board and senior management in relation to their oversight and management of material sustainability and climate-related risks and opportunities

Frequency of Meetings:

The RMC meets on a quarterly (4 times per year) basis, with further meetings scheduled as needed.

Reporting Mechanism:

Sustainability- and climate-related matters are reported primarily through formal reports (Word documents) and presentations (PDF or PowerPoint slides) at the RMC meeting. Key discussion points are documented in the meeting minutes by the Company Secretary.

Implementation Team

SC

Identifying, monitoring and managing sustainability and climate-related risks and opportunities is coordinated through the SC, which comprises members of senior management and topic champions.

In carrying out its responsibilities, the SC:

- Supports the RMC in identifying, assessing and managing sustainability and climate-related risks and opportunities and facilitates their progressive integration into the Group's risk management processes
- Develops, implements and monitors sustainability policies, strategies, initiatives and targets in alignment with the Group's business objectives
- Integrates sustainability and climate-related considerations into operational planning and business activities across the Group
- Collaborates with business units and departments to ensure activities align with the Group's sustainability targets and initiatives
- Executes sustainability and climate-related initiatives, action plans and controls across operations
- Monitors, tracks and compiles sustainability and climate-related data and performance metrics to measure progress against established targets
- Provides periodic analysis and reports on sustainability performance and implementation progress to the RMC, which may subsequently report key updates to the Board

Frequency of Meetings:

The SC convenes quarterly (4 times per year) and may schedule additional meetings as required.

Reporting Mechanism:

Sustainability- and climate-related matters are reported primarily through formal reports (Word documents) and presentations (PDF or PowerPoint slides) at the RMC meeting. Key discussion points are documented in the meeting minutes by the Company Secretary.

GOVERNANCE AND OVERSIGHT OF SUSTAINABILITY

Cont'd

SETTING AND MONITORING OF SUSTAINABILITY AND CLIMATE TARGETS

Sustainability and climate targets for the year are proposed by the Optimisation and Sustainability Officer during the weekly management meeting held in January. Following management deliberation, the CEO approves the targets, either as proposed or with modifications, and the Board subsequently reviews and endorses them at the first-quarter Board meeting.

For monitoring purposes, sustainability targets for FY2025 are tracked on a bi-annual basis. Any incidents or events that may result in deviations from the targets are highlighted during weekly management meetings. Bi-annual reviews are conducted to assess progress, identify gaps and implement corrective actions where required.

Commencing in FY2026, sustainability target monitoring will be conducted on a quarterly basis following the Group's adoption of a carbon accounting and sustainability data management platform, enabling structured and data-driven sustainability performance tracking. The Sustainability Department will coordinate and consolidate data from relevant topic champions across the Group. Progress updates will be presented at weekly management meetings and reported quarterly to the Board to support regular oversight, identify deviations and guide corrective actions.

ENHANCING BOARD SKILLS

The Nomination and Remuneration Committee ("**NRC**") conducts an annual review of the Board, covering the required mix of skills and experience of Directors, overall Board effectiveness, succession planning and boardroom diversity, encompassing gender, age, ethnicity and other dimensions. The assessment is conducted through structured questionnaires completed by each Director, comprising the following sections:

- Board and Board Committees Evaluation
- Directors' Self and Peer Evaluation
- Assessment on Character, Experience, Integrity, Competence and Time Commitment
- Assessment on Mix of Skills and Experience
- Evaluation of the Level of Independence of an Independent Director

Ongoing capacity building is an integral part of our sustainability governance approach. Members participate in targeted training programmes, workshops, conferences and industry events to enhance their understanding of sustainability trends, regulatory developments and emerging risks and opportunities.

For more information on the training and development programmes attended by members of the Board, please refer to the "Corporate Governance Overview Statement" section of the Annual Report.

GOVERNANCE AND OVERSIGHT OF SUSTAINABILITY

Cont'd

DIRECTOR EXPERTISE AND EXPERIENCE SKILLS MATRIX

The Board maintains a diverse mix of skills and experience to support effective oversight and strategic decision-making. An annual assessment is conducted to review the competencies represented among Directors and to ensure alignment with the Group's business needs and governance responsibilities.

The table below summarises the Board's key competencies by area of expertise.

Assessment Area	Description	Number of Directors
Retail Operations	Experience in retail operations, store management and day-to-day business execution.	6
Legal & Regulatory	Expertise in legal matters, regulatory compliance and corporate governance obligations.	7
Finance & Accounting	Knowledge in accounting, auditing, financial reporting and financial management.	6
Project Management & Engineering	Competence in planning, executing and overseeing projects, including engineering or technical matters.	5
Business Management	Strategic leadership and management of overall business operations.	7
Taxation	Understanding of tax regulations, compliance and strategic tax planning.	3
Human Resource & Talent Management	Expertise in human capital management and employee development.	6
Banking	Knowledge of banking operations and financial services.	2
Information Technology & Digital Strategy	Knowledge in IT systems, digital transformation and technology-driven business solutions.	3
Marketing & Sales	Experience in marketing, sales and customer engagement.	4
Sustainability	Experience in environmental, social and governance initiatives and sustainable business practices.	6
Risk Management & Internal Controls	Experience in enterprise risk management, internal controls and compliance monitoring.	6
Brand & Product Management	Expertise in brand strategy, product development and consumer marketing.	1

OUR KEY BUSINESS, SUSTAINABILITY AND CLIMATE-RELATED RISKS AND OPPORTUNITIES

The operating environment trends discussed in the preceding section provide the strategic context in which 99 Speedmart operates and shape the key risks and opportunities facing the Group. In response, Management has identified the sustainability and climate-related risks and opportunities that may affect the Group's business model, performance and long-term value creation, considering potential impacts across the six capitals and relevant time horizons. The following section outlines these sustainability and climate-related risks and opportunities together with the Group's corresponding mitigation measures and strategic responses.

Legend:

Risk
Rating:

Low

Medium

High

Extreme

Risk
Likelihood:

Rare

Unlikely

Possible

Likely

Almost Certain

Risk
Impacts:



Insignificant



Minor



Moderate



Major



Catastrophic

Time
Horizons:

Short-Term

ST

Medium-Term

MT

Long-Term

LT

OUR KEY BUSINESS, SUSTAINABILITY AND CLIMATE-RELATED RISKS AND OPPORTUNITIES

Cont'd

CGP Changes in Government Policy

Changes in government policies, laws or regulations such as labour requirements, minimum wage adjustments, taxation, price controls, operating hours, environmental regulations and consumer protection laws affecting the retail sectors may impact the Group's operating costs, outlet operations, supply chain efficiency and overall business performance.

Risk Drivers

- Delayed or inconsistent dissemination of information relating to regulatory requirements

Impact on Value Creation

- **Financial:** Increased operating costs due to changes in taxation, minimum wage and price control policies
- **Human:** Higher labour costs and compliance requirements arising from labour law amendments
- **Manufactured:** Additional capital expenditure to comply with new licensing requirements

Response and Mitigation Actions

- Maintain proactive engagement with regulators and participate in training programmes/seminars by industry associations to receive timely updates on regulatory changes
- Implement a Legal and Compliance framework with regular monitoring of applicable laws and regulations
- Conduct annual compliance reviews, targeted training on amended laws and regulations, as well as internal briefing sessions to ensure group-wide adherence

Opportunities Arising from This Risk

- Enable proactive response and adaptability to policy and regulatory changes
- Improve cost efficiency and operational resilience by leveraging government programmes, incentives and tax benefits
- Utilise new regulatory requirements to drive improvements in systems, reporting and internal controls, supporting more informed decision-making

Department In Charge

Legal

Risk Concentration

- Head Office & Central Functions
- Outlets Operations

Risk Likelihood

Possible

Risk Impact



Moderate

Risk Rating

Medium

Time Horizon

ST

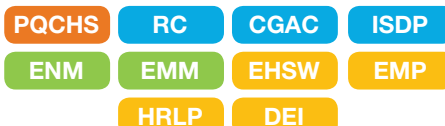
Stakeholders



Focus Area



Material Matters



OUR KEY BUSINESS, SUSTAINABILITY AND CLIMATE-RELATED RISKS AND OPPORTUNITIES

Cont'd

NP

Negative Publicity

Refers to the risk of harm to the Group's reputation arising from adverse media coverage, social media backlash, or viral incidents, whether due to the Group's actions, statements, operational matters, or external events, which may erode public trust, weaken brand perception and negatively affect customer confidence and business performance.

Risk Drivers

- Inappropriate or poorly communicated decisions, actions, or statements by the Company or Senior Management
- Internal or external incidents amplified through various media platforms including social media
- Rapid spread of unverified or misleading information involving the Group or Senior Management

Impact on Value Creation

- **Social & Relationship:** Negative publicity may affect customer trust, weaken relationships with suppliers, regulators and business partners and damage stakeholder confidence in the brand
- **Financial:** Reputational damage can lead to reduced customer traffic, lower sales, higher marketing and remediation costs and potentially legal or regulatory exposure
- **Human:** Prolonged negative public attention may affect employee morale, engagement and retention, making it more challenging to attract and retain talent

Response and Mitigation Actions

- Ensured consistent conduct across the Group through established standard operating procedures ("SOPs") with defined roles, responsibilities and workflows
- Proactively monitored media, social media and customer feedback channels to identify emerging issues and enable timely intervention
- Established structured complaint-handling and response mechanisms, supported by coordinated engagement between public relations and customer service teams
- Maintained crisis and reputation management arrangements

Opportunities Arising from This Risk

- Timely and professional handling of complaints can turn negative experiences into positive engagements, improving customer loyalty
- Clear crisis communication and business continuity arrangements enable faster, coordinated responses during reputational incidents, enhancing operational resilience
- Effective engagement with media, customers and partners supports long-term relationships and protects brand equity

Department In Charge

Branch Operations Department

Risk Concentration

- Head Office & Central Functions (Media Interface)
- Outlet Operations
- Customers & Communities Feedback

Risk Likelihood

Possible

Risk Impact



Moderate

Risk Rating

Medium

Time Horizon

ST

Stakeholders



Focus Area



Material Matters

CS

PQCHS

CE

OUR KEY BUSINESS, SUSTAINABILITY AND CLIMATE-RELATED RISKS AND OPPORTUNITIES

Cont'd

DSC

Disruption of Supply Chain

Refers to potential interruptions in the sourcing, transportation or distribution of goods that may affect product quality, availability and the Group's ability to meet delivery commitments to outlets. This includes disruptions involving perishable goods, dry food, household and other essential retail items.

Risk Drivers

- Delivery delays arising from peak-season demand, driver availability issues and inadequate logistics or transportation planning
- Operational disruptions due to vehicle breakdowns linked to insufficient maintenance and inspection practices

Impact on Value Creation

- **Manufactured:** Disruptions in supplier deliveries or logistics operations may lead to stock shortages, delayed replenishment and underutilisation of distribution centres DCs and retail outlets
- **Financial:** Supply interruptions can result in lost sales, higher procurement, logistics costs and reduced operating margins
- **Social & Relationship:** Prolonged disruptions may strain relationships with suppliers, distributors and customers, affecting reliability and long-term partnerships

Response and Mitigation Actions

- Collaborate with suppliers to align supply and demand expectations
- Establish and maintain SOPs with clear workflows and roles for logistics and delivery operations
- Strengthen delivery capacity through advanced planning to ensure timely distribution to outlets
- Maintain standby repair teams and preventive maintenance to minimise vehicle breakdowns
- Coordinate closely with outlets to enable early and optimised delivery scheduling

Opportunities Arising from This Risk

- Diversifying suppliers, maintaining buffer stock and monitoring logistics enable the Group to support operational continuity during disruptions
- Proactive supply chain planning helps optimise inventory levels and minimise emergency procurement costs
- Collaborative planning and engagement with suppliers and distributors foster trust, reliability and long-term partnerships
- A robust and flexible supply chain supports faster rollout of new outlets and better responsiveness to market demand

Department In Charge

DC

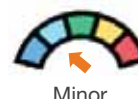
Risk Concentration

- Head Office & Central Functions
- Outlets Operations
- Suppliers & Manufacturers

Risk Likelihood

Possible

Risk Impact



Risk Rating

Medium

Time Horizon

MT LT

Stakeholders



Focus Area



Material Matters

SSC

CS

ENM

EMM

OUR KEY BUSINESS, SUSTAINABILITY AND CLIMATE-RELATED RISKS AND OPPORTUNITIES

Cont'd

FFR

Flood & Fire Risk

Encompasses the potential adverse impact of fire or flooding incidents on the Group. Such events can disrupt business operations, threaten the safety of employees and stakeholders by causing damage to retail outlets, warehouses, inventories and critical assets, as well as result in financial losses, regulatory implications and reputational impact.

Risk Drivers

Flood Risk

- Physical damage to outlets, warehouses and inventory resulting in operational disruption and repair costs
- Business interruption from forced closures and restricted transportation, disrupting supply chain and logistics operations

Fire Risk

- Ineffective enforcement of health and safety practices and controls
- Fire incidents arising from negligence, sabotage or electrical faults
- Inadequate maintenance or expired fire protection equipment
- Limited fire safety awareness among outlet and warehouse personnel

Impact on Value Creation

- Manufacture:** Fire and flood incidents damaging retail outlets and inventories, as well as reducing availability of goods
- Human:** Such incidents pose safety risks to employees, potentially resulting in injuries, trauma and reduced workforce availability, as well as affecting morale and productivity
- Financial:** Asset damage, business interruption and recovery costs may lead to financial losses, increased insurance claims and higher operating expenses

Response and Mitigation Actions

Flood

- Implemented business continuity plans ("BCP") to ensure continuity of critical operations during and after flood events
- Adopted flood risk prevention measures
- Established early warning and preparedness mechanisms to enable timely response

Fire

- Formed a Health, Safety, Environment (HSE) Committee that ensures workplace safety and compliance with applicable safety standards, supported by fire safety policies
- Established fire prevention and protection measures as well as Emergency Evacuation Plan and response arrangements
- Implemented risk transfer and capability enhancement measures

Opportunities Arising from This Risk

- Effective fire protection systems and plans, flood prevention measures and insurance coverage help minimise asset damage, financial losses and recovery costs
- Regular drills, training and clear emergency procedures enhance staff readiness, safety awareness and confidence during emergencies
- Demonstrated risk preparedness and compliance may improve relationships with insurers, regulators and business partners, potentially leading to more favourable insurance terms

Department In Charge

All Operations
(Shared Risk)

Risk Concentration

- Outlet Operations
- Distribution Centres

Risk Likelihood

Possible

Risk Impact



Moderate

Risk Rating

Medium

Time Horizon

MT LT

Stakeholders



Focus Area



Material Matters

ENM

EMM

EHSW

TETD

OUR KEY BUSINESS, SUSTAINABILITY AND CLIMATE-RELATED RISKS AND OPPORTUNITIES

Cont'd

MANAGEMENT OF OUR RISKS AND OPPORTUNITIES

Effective risk management is fundamental to achieving sustainable long-term growth and protecting enterprise value. Accordingly, sustainability- and climate-related risks are fully embedded within the Group's Enterprise Risk Management ("ERM") framework and are managed with the same discipline, consistency and oversight as other strategic, operational, financial and compliance risks.

This integrated approach ensures that emerging sustainability and climate-related risks are systematically identified, assessed, prioritised and mitigated, while supporting informed decision-making, capital allocation and long-term resilience.

Governance and Oversight

Oversight of the Group's risk management framework is provided by the RMC, which plays a central role in supervising the identification, assessment and management of material risks, including those related to sustainability and climate change.

The RMC:

- Reviews the Group's overall risk profile, including ESG and climate-related risks
- Ensures that material risks are appropriately identified, evaluated and mitigated
- Monitors alignment with the Group's risk appetite and tolerance thresholds
- Promotes a risk-aware culture by ensuring that management and relevant teams are equipped with adequate policies, controls, training and resources

The RMC works closely with management to ensure that the Group's risk management practices remain responsive to regulatory developments, stakeholder expectations and evolving sustainability and climate-related considerations.

OUR KEY BUSINESS, SUSTAINABILITY AND CLIMATE-RELATED RISKS AND OPPORTUNITIES

Cont'd

01

Risk Identification

Risk identification is an ongoing and structured process carried out across the Group's operations, supported by regular engagement between the RMC and management.

In identifying risks, the Group considers:

- Strategic, operational, financial, legal and compliance risks;
- Sustainability and ESG-related risks, including climate-related physical and transition risks;
- Internal and external developments such as regulatory changes, market dynamics, supply chain dependencies, operational incidents and reputational factors.

Identified risks are documented in the Group's risk register and reviewed periodically to ensure continued relevance and completeness.

02

Risk Assessment

Methodology

The identified risks are assessed utilising a standardised risk assessment methodology, which evaluates both the likelihood of occurrence and the magnitude of potential impact, taking into account the effectiveness of existing controls.

A. Likelihood Assessment

Likelihood is assessed based on the expected frequency of occurrence, ranging from Rare to Almost Certain, with reference to defined time horizons (from exceptional circumstances to occurrence within the next 12 months). This ensures consistent evaluation across different risk types, including climate-related risks that may materialise over varying timeframes.

B. Impact Assessment

Impact is assessed across both financial and non-financial dimensions, including:

- Financial performance (revenue and profit impact)
- Legal, regulatory and compliance consequences
- Health and safety implications
- Operational disruption
- Reputation and media exposure

Impact levels range from Insignificant to Catastrophic, from manageable short-term impacts to events that could significantly impair the Group's long-term viability, reflecting the potential severity of consequences.

C. Control Effectiveness

The Group also evaluates the effectiveness of existing controls, categorised as:

- Satisfactory: controls are well-designed, operating effectively and compliant
- Some weaknesses: controls are generally effective but require improvement
- Weak: controls are inadequate and require remediation

This assessment informs management's prioritisation of mitigation actions and resource allocation.

Risk Rating and Prioritisation

The results of the likelihood and impact assessments are plotted on a risk rating matrix, producing an overall risk rating of Low, Medium, High or Extreme.

This structured approach enables the Group to:

- Prioritise material risks, including those related to climate change and sustainability
- Focus management attention on High and Extreme risks
- Ensure consistency in risk evaluation across business units and risk categories

OUR KEY BUSINESS, SUSTAINABILITY AND CLIMATE-RELATED RISKS AND OPPORTUNITIES

Cont'd

03

Risk Management and Mitigation

Once risks are assessed and prioritised, appropriate mitigation strategies and action plans are developed and implemented by management.

The RMC:

- Oversees the implementation and effectiveness of mitigation measures
- Monitors key risks on an ongoing basis
- Ensures that material sustainability and climate-related risks are actively managed and reported

Risk mitigation may include strengthening internal controls, enhancing operational procedures, investing in systems and infrastructure, improving supplier and contractor management and providing targeted training to employees.

04

Continuous Monitoring and Review

Risk management is a continuous and dynamic process. The Group regularly reviews our risk profile to reflect changes in the operating environment, regulatory landscape, climate-related developments and stakeholder expectations.

Through this disciplined approach, the Group aims to:

- Enhance organisational resilience;
- Support sustainable value creation; and
- Ensure alignment with IFRS sustainability disclosure requirements, including the identification, assessment and management of sustainability- and climate-related risks that could reasonably be expected to affect the Group's financial performance, position or future prospects.

Our Strategy and Approach to Sustainability

“Supporting long-term resilience for our business and communities”

Chapter 5

Our Sustainability Approach | Page 77

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Focus Area 4: Fostering Employee Well-being and Community Engagement | Page 101

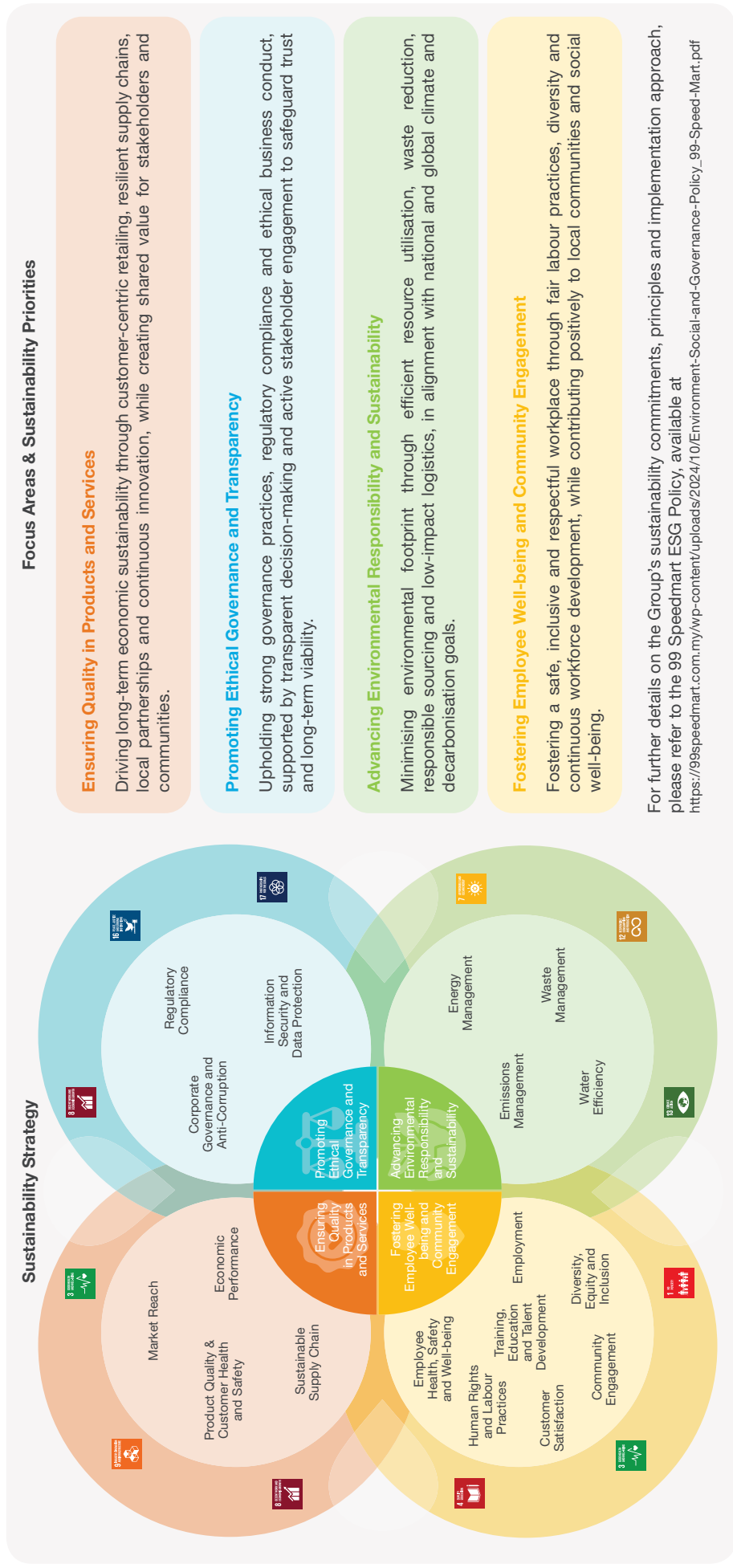
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OUR SUSTAINABILITY APPROACH

At 99 Speedmart, sustainability is factored into our business strategy to support responsible growth, operational resilience and long-term value creation. The Group's efforts are guided by four key sustainability priorities and their respective focus areas, which reflect the most relevant considerations across our retail value chain and inform the development and implementation of initiatives across the Group.



MATERIALITY SUSTAINABILITY MATTERS

To effectively manage and report sustainability performance, the Group conducts an annual materiality assessment to identify and prioritise the sustainability matters most relevant to our business. This ensures 99 Speedmart focuses on areas with the highest impact on operations and the greatest significance to stakeholders. In FY2025, Employee Health, Safety and Well-being was elevated to critical importance following a materiality review, reflecting heightened stakeholder expectations for safe working environments across the Group's retail, warehousing and distribution operations, where safeguarding employee well-being remains essential.

The following matrix illustrates the relative importance of each material sustainability matter, categorised as critical, very high or high importance.

Step 1

Review & Identification

Update and refine key sustainability matters to reflect the Group's strategy, external environment, global standards and stakeholder expectations.

Step 2

Stakeholder Engagement

Gather insights through surveys and dialogues to understand evolving priorities and value creation priorities.

Step 3

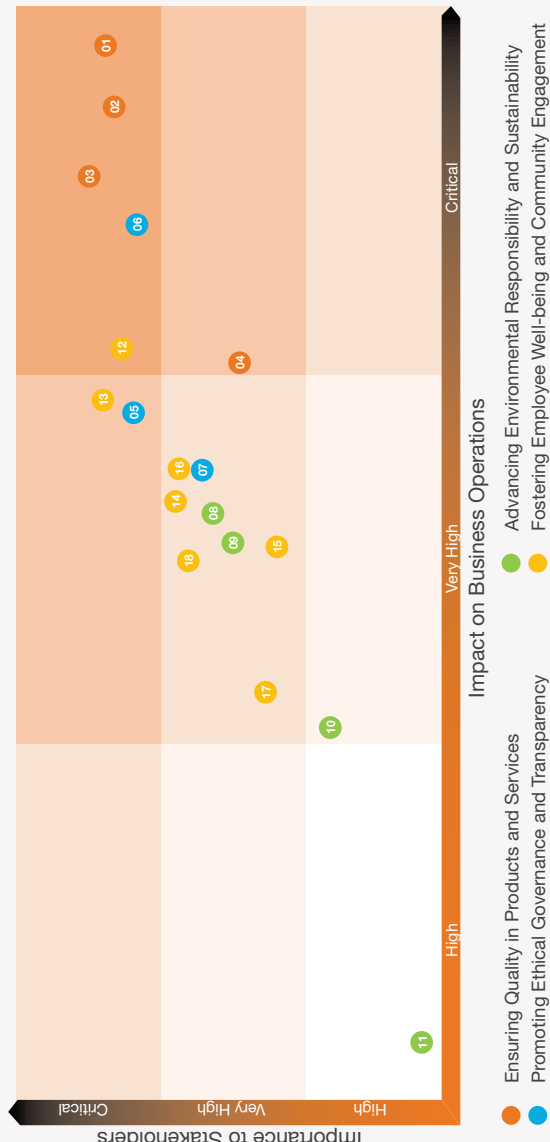
Prioritisation

Evaluate and rank matters based on their potential impact on the Group's ability to create value over time and their significance to stakeholders.

Step 4

Validation & Monitoring

Confirm priorities with management and the board, and regularly review and update them to ensure alignment with emerging trends, risks and opportunities.



Focus Area 1: Ensuring Quality in Products and Services



Material Sustainability Matters	
Economic Performance	EP
Market Reach	MR
Product Quality, Customer Health and Safety	PQCHS
Sustainable Supply Chain	SSC

80

FE

Management Approach and Performance Overview

Identifying suitable locations for new outlets to strengthen market presence and accessibility



Enhancing the 99 Bulksales e-commerce platform and expanding its geographical reach

RM11,433.2 million

Employee Wages
and Benefits
RM882.7 million

Community Investments
RM6.0 million



Revenue Growth
14.5 %
Compared to
FY2024



DSC MS



8 BUDGETING AND ECONOMIC GROWTH

1. ENSURING QUALITY IN PRODUCTS AND SERVICES

Cont'd

MR

Market Reach

Our 2030 Target:
4,250 outlets

Market reach expansion remains central to the Group's strategy, supported by disciplined network growth, operational scale and supply chain readiness. This enables us to broaden our presence and strengthen community access to affordable daily essentials across Malaysia, while creating sustainable long-term value.

Management Approach and Performance Overview

- **Our Expansion Progress:** In FY2025, the Group remains on track and achieved our near-term target of 3,000 outlets nationwide. Our expansion will continue across all states, with particular focus on the East Coast and East Malaysia, where demand for value-driven neighbourhood retail formats remains resilient.
- **Disciplined Site Selection and Location Criteria:** New outlets are established selectively to enhance market penetration and serve larger customer catchment areas, while preserving same-store sales performance to avoiding market saturation. In assessing potential locations, the Group considers factors such as an estimated catchment of approximately 1,500 households per outlet and proximity within a 100-kilometre driving distance from an existing distribution centre to support logistics efficiency.

Long-Term Network Growth Outlook

The Group has established a longer-term business development target of 4,250 outlets by 2030, subject to market conditions, operational capacity and ongoing performance assessments.



PQCHS

Product Quality & Customer Health and Safety

Maintaining product quality and safeguarding customer health and safety remain fundamental to the Group's operations. As a convenience retail chain serving daily consumer needs through an extensive neighbourhood outlet network, we are committed to providing products that are reliable, safe and compliant with applicable regulatory and quality standards. Rigorous health and safety practices are upheld to protect customers and other stakeholders while ensuring consistent operational performance.

Management Approach and Performance Overview

- **Quality Assurance and Inspection Processes:** Products sourced from suppliers are subject to health and safety inspections, either conducted by the suppliers or through internal verification processes, in accordance with applicable regulations and recognised frameworks such as the Health and Safety Act 1994 and Hazard Analysis and Critical Control Point ("HACCP") standards, or their equivalent.

Product Quality and Safety	FY2024	FY2025
Number of reported cases/incidents related to product safety and quality incidents	0	0



1. ENSURING QUALITY IN PRODUCTS AND SERVICES

Cont'd

SSC

Sustainable Supply Chain

Long-standing supplier relationships underpin product quality, supply reliability and operational continuity. The Group collaborates with suppliers to maintain a resilient and efficient supply chain, ensuring the consistent availability of essential goods across the outlet network.

Fair and transparent procurement practices are embedded throughout the sourcing process, reinforcing accountability and integrity across the supply chain.

Management Approach and Performance Overview

- Local Supplier Prioritisation: Procurement practices prioritise local suppliers to support domestic supply networks, enhance supply reliability and reduce logistics complexity.
- Supplier Collaboration and Demand Planning: Our data-driven demand planning approach includes coordinating with our suppliers through regular exchanges of sales and demand insights. This enables our suppliers to better anticipate requirements and maintain optimal inventory buffers, typically ranging from 10% to 20%, supporting supply continuity and responsiveness to demand fluctuations.
- Supply Continuity and Risk Management: The Group maintains alternative sourcing arrangements for key product categories as part of our approach to managing supply-related risks and supporting business continuity.

Capitals:

Stakeholders:

Risks:

DSC

SDGs:

Note: ¹ Values in FY2024 have been revised to reflect adjustment to figures.

Procurement Budget		FY2024	FY2025
Local Suppliers		99.95% ¹	99.98%
Foreign Suppliers		0.05% ¹	0.02%

Measuring Our Progress

The Group uses defined metrics and targets to measure performance on material matters and to assess progress against strategic objectives. The metrics disclosed are decision-useful, comparable and consistent with the Group's operating context, supporting the assessment of risks and opportunities that may affect enterprise value.

Targets are established across short-, medium- and long-term horizons to promote accountability and performance discipline. Where longer-term quantitative targets have not been set, performance is actively monitored, and the Group will continue to enhance target-setting as data quality and operational maturity improve.

Material Topic	FY2025 Targets	Measurement Unit	Baseline (FY2024)	FY2025 Performance	FY2026 Targets (Short-Term)	FY2028 Targets (Medium-Term)	FY2030 Targets (Long-Term)
Sustainable Supply Chain	Maintain a local product sourcing rate of over 95%	Percentage	99.95%	99.98%	≥95%	≥95%	≥95%

Focus Area 2: Promoting Ethical Governance and Transparency

Material Sustainability Matters

Regulatory Compliance

RC

Corporate Governance and Anti-Corruption

CGAC

Information Security and Data Protection

ISDP

2. PROMOTING ETHICAL GOVERNANCE AND TRANSPARENCY

RC

Regulatory Compliance

Robust governance guides our business conduct and risk management. Our policies and controls set standards for employee conduct, support decision-making and reinforce accountability across the organisation. Supported by our Legal and Compliance framework, we ensure that business practices remain aligned with our corporate values, regulatory requirements and stakeholder’s interests.

Management Approach and Performance Overview

- **Conflict of Interest Policy:** Provides guidance on identifying and managing conflicts of interest to uphold impartiality and fairness in business decisions.
- **Whistleblowing Policy:** Enables stakeholders to report unethical behaviour or misconduct through confidential channels, ensuring protection for whistleblowers.
- **Anti-Bribery and Anti-Corruption Policy:** Outlines the Group’s zero-tolerance approach towards bribery and corruption, ensuring compliance with legal and regulatory requirements.
- **Privacy Policy:** Safeguards customer and stakeholder data, ensuring that personal information is managed in accordance with relevant data protection regulations.
- **Code of Conduct and Business Ethics (“COBE”):** Establishes standards for ethical behaviour, requiring that all employees act with integrity, professionalism and accountability.
- **Environment, Social and Governance (“ESG”) Policy:** Articulates our commitment to integrating sustainability into our business operations, aligning with ESG principles and industry best practices.



CGAC

Corporate Governance and Anti-Corruption

99 Speedmart adopts a zero-tolerance approach to corruption, guided by our Anti-Bribery and Anti-Corruption Policy and reinforced through defined processes and systems.

Management Approach and Performance Overview

- **Board Oversight and Accountability:** Oversight is provided by the Board, which sets the tone from the top in line with the principles of the Malaysian Code of Corporate Governance (“MCCG”).
- **Board Diversity and Representation:** The Group remains committed to Board diversity and balanced representation. In FY2025, women comprised 44% of Board members, exceeding the MCCG’s recommended minimum of 30%.
- **Anti-Bribery and Anti-Corruption (“ABAC”) Training:** Mandatory ABAC onboarding training is provided to new employees across all categories during orientation, reinforcing awareness of ethical conduct and compliance expectations from the outset.

Board Diversity (%)

Gender

Men
55.56%

Women
44.44%

Age

40-49
years old
22.22%

50-59
years old
33.34%

60 and
above
44.44%

100%

Employees received training on
anti-corruption during onboarding

Zero

Confirmed incidents of
corruption or whistleblowing



2. PROMOTING ETHICAL GOVERNANCE AND TRANSPARENCY

Cont'd

ISDP

Information Security and Data Protection

Information security and data protection are essential to sustain stakeholder trust and operational integrity. The Group implements controls to protect our systems and safeguard employee and customer data in line with applicable data protection requirements.

Management Approach and Performance Overview

- Regulatory Compliance and Policy Framework:** Data protection practices are guided by the Personal Data Protection Act ("PDPA") 2010 and its amendments, as well as the Group's Privacy Policy, which governs the responsible collection, use and protection of personal information to support data security.

Zero

Cybersecurity breaches and loss of customer data

- Digitalisation and System Enhancements:** Introduction of electronic shelf labelling for promotional items enabled centralised control of promotional pricing, improved pricing accuracy and reduced manual intervention at the outlet level.

- Customer Data Protection Measures:** Customer data is primarily collected through the 99 Bulksales e-commerce platform, with access controlled via SMS-based activation to enhance user awareness of account logins and transactions. Credit card information is retained by third-party bank merchants to ensure payment data is managed in accordance with stringent security standards.

Capitals:



Stakeholders:



Risks:

CGP NP

SDGs:



Introduction of Electronic Shelf Labelling

Focus Area 3: Advancing Environmental Responsibility & Sustainability

SPEEDMART



FOTON

ANGKATAN MOTOR

OFFICIAL VEHICLE DELIVERY CEREMONY

MAKES DELIVERY OF MALAYSIA'S FIRST FULLY ELECTRIC FOTON eAUMARK LIGHT-DUTY TRUCKS



Material Sustainability Matters

Energy Management	ENM
Emissions Management	EMM
Waste Management	WM
Water Efficiency	WE

3. ADVANCING ENVIRONMENTAL RESPONSIBILITY AND SUSTAINABILITY

ENM

EMM

Managing Climate Impact: Energy and Emissions Management

Climate change is a material consideration for the Group, with implications for operating costs, asset resilience, regulatory compliance and long-term value creation. As a nationwide retail network with energy-intensive outlets and logistics operations, our exposure to climate-related transition and physical risks is closely linked to how effectively we manage energy consumption and GHG emissions across our operations.

Energy and emissions management therefore sit at the core of the Group's climate strategy. Our approach focuses on reducing energy demand, increasing the consumption of self-generated renewable energy and progressively decarbonising our operations and logistics network. These actions support cost efficiency, strengthen operational resilience and position the Group to respond to evolving climate-related regulations, market expectations and stakeholder requirements.

Guided by our climate risk and opportunity assessment, we prioritise initiatives that deliver measurable improvements in energy efficiency, reduce Scope 1 and Scope 2 emissions and enable the transition towards lower-carbon operations. Performance is monitored through energy and emissions metrics, supported by continuous data improvement and external validation where applicable.



Capitals:



Stakeholders:



Risks:



SDGs:



3. ADVANCING ENVIRONMENTAL RESPONSIBILITY AND SUSTAINABILITY

Cont'd

ENM EMM Managing Climate Impact: Energy and Emissions Management

Management Approach and Performance Overview

Climate Scenario Analysis

We recognise that climate change presents risks and opportunities that may affect the Group's business model, operations and financial performance. To understand these potential impacts, the Group has undertaken a qualitative climate scenario analysis using a range of global warming pathways. The analysis assesses how varying climate outcomes may influence the resilience of our operations, assets and value chain and informs strategic and risk management decisions.

Climate scenarios are typically described as "high transition risk with low physical risk" or "low transition risk with high physical risk," reflecting the inverse relationship between emissions mitigation and global warming. The Intergovernmental Panel on Climate Change ("IPCC"), established by the United Nations, is the leading international body for the assessment of climate change science, impacts and response strategies. The IPCC uses combined Shared Socio-economic Pathways ("SSPs") and Representative Concentration Pathways ("RCPs"), referred to as SSP-RCP scenarios, to model varying levels of mitigation and adaptation challenges.

The Group's scenario analysis covers SSP1-1.9 (high transition risk), SSP5-8.5 (high physical risk) and the intermediate SSP2-4.5 baseline scenario to evaluate potential impacts under different conditions.

Scenarios	Key References	Global Context	Implications for Malaysia and 99 Speedmart
1.5°C	IPCC SSP1-1.9	Strong global climate action with accelerated decarbonisation and adoption of renewable energy and low-carbon technologies.	Malaysia may experience relatively lower physical climate impacts compared to higher warming pathways. For 99 Speedmart, operating conditions are expected to remain generally stable, with limited physical disruption. However, stronger policy and regulatory emphasis on energy efficiency and emissions reduction may influence operating costs and compliance requirements, while also presenting opportunities to improve operational efficiency.
2-3°C	IPCC SSP2-4.5	Moderate progress towards global climate goals with continued reliance on fossil fuels and inconsistent policy implementation.	Malaysia may face increased climate variability, including more frequent extreme weather events. For 99 Speedmart, this may result in periodic operational disruptions at certain outlets, supply chain delays and higher maintenance costs. Variability in regulatory requirements may introduce uncertainty in energy costs and operational planning.
3-4°C	IPCC SSP5-8.5	Limited global climate action with ongoing high emissions and slow adoption of mitigation and adaptation measures.	Malaysia is likely to experience more frequent and severe physical climate impacts. For 99 Speedmart, this could lead to recurring operational disruptions, higher repair and insurance costs and increased exposure of assets in higher-risk locations. Under this scenario, adaptation and business continuity measures would become increasingly important to maintain operational stability.

3. ADVANCING ENVIRONMENTAL RESPONSIBILITY AND SUSTAINABILITY Cont'd

ENM

EMM

Managing Climate Impact: Energy and Emissions Management

Transition Risks: Policy & Legal

Description

Risks arising from evolving climate-related policies, regulations, energy reforms and disclosure requirements, alongside opportunities to improve cost efficiency and resilience through energy efficiency and low-carbon operations.

Risk Concentration

Outlet operations, distribution and logistics, supplier and contractor relationships

Scenario Implications

1.5°C (SSP1-1.9):

Strong climate policies and higher compliance expectations increase short-term operating and capital costs. Meanwhile, improved energy efficiency and operational discipline support cost stability and margin resilience over the medium- to long-term.

2-3°C (SSP2-4.5):

Inconsistent and delayed policy implementation leads to volatile energy and compliance costs. Near-term impacts include uncertainty in planning and cost pass-through pressures.

3-4°C (SSP5-8.5):

Limited transition pressure in the near term reduces immediate compliance costs. However, long-term exposure increases as physical risks intensify and transition adjustments become more abrupt.

Current and Anticipated Potential Impacts

Business model and value chain

- The Group's operations involve energy use across retail outlets, warehouses and distribution activities, which may expose the business to changes in energy prices and climate-related regulatory requirements. At present, impacts are indirect and largely relate to operating cost variability. Over time, evolving policy and legal requirements may influence operating practices and certain aspects of the value chain, including supplier and logistics arrangements. These developments may also present opportunities to improve operational efficiency.

Strategy and decision-making

- Currently, climate-related policy and legal matters are considered primarily in the context of regulatory compliance and cost management. Looking ahead, the Group expects that such considerations may be more systematically incorporated into selected strategic and investment decisions, particularly where they are relevant to operational efficiency and regulatory readiness.

Resource allocation

- At present, resource allocation related to transition considerations is incremental and focused on efficiency measures with near-term benefits. Over time, additional capital expenditure may be required to maintain operational efficiency and manage potential regulatory and cost exposures.

Financial position and performance

- In the short-term, the Group may experience modest increases in operating costs arising from energy price movements or compliance requirements. Over the medium- to long-term, failure to adapt to evolving transition requirements could result in higher operating costs or reduced asset efficiency, while effective management may support more stable operating performance.

Potential Arising Opportunities

Cost efficiency

- Energy efficiency measures and renewable energy adoption may reduce long-term exposure to energy price volatility and policy-driven cost increases.

Improved capital allocation discipline

- Embedding climate and energy considerations into capex approvals lowers lifecycle costs and improves asset productivity.

Regulatory readiness and investor confidence

- Early alignment with evolving climate regulations and disclosure requirements reduces compliance risk and supports stable access to capital.

Access to incentives and sustainable finance

- Eligible energy and efficiency investments may unlock incentives and lower cost of capital.

3. ADVANCING ENVIRONMENTAL RESPONSIBILITY AND SUSTAINABILITY

Cont'd

ENM EMM Managing Climate Impact: Energy and Emissions Management

Physical Risks: Flood Risk	
Description Risk of physical damage and business disruption from increased frequency and severity of flooding, including flash floods and prolonged inundation, with opportunities to strengthen operational resilience through adaptive design and planning.	Risk Concentration Flood-prone retail outlets, warehouses and distribution centres
Scenario Implications	
1.5°C (SSP1-1.9): Physical climate risks are relatively low, though localised flooding may occur. 99 Speedmart's operations are generally stable, with targeted adaptation measures helping to maintain continuity and reduce recovery time.	2-3°C (SSP2-4.5): Increased climate variability may cause more frequent heavy rainfall and flooding. Potential impacts include periodic outlet disruptions, supply chain delays, and higher maintenance and insurance costs, requiring enhanced site screening, contingency logistics and business continuity planning.
3-4°C (SSP5-8.5): Severe and frequent flooding could lead to prolonged disruption at outlets, warehouses and DCs. This scenario may result in recurring operational interruptions, higher repair and insurance costs and increased asset exposure, making robust adaptation and disaster recovery measures critical for operational stability.	Potential Arising Opportunities Operational resilience and continuity Flood-resilient outlet and logistics design reduces downtime, limits revenue disruption and stabilises earnings during extreme weather events. Risk-informed asset and network planning Integrating flood risk into site selection, store formats and lease decisions strengthens long-term asset resilience and protects capital deployed in higher-exposure locations.
Current and Anticipated Potential Impacts	
Business model and value chain Certain retail outlets and logistics activities are located in areas that may be affected by flooding. Currently, flood events may result in temporary operational disruption, including short-term outlet closures or delays in distribution. Over time, an increase in the frequency or severity of flooding events could lead to more frequent operational interruptions in affected locations. Assessing flood-prone sites and diversifying sourcing arrangements can reduce exposure to operational disruption.	
Strategy and decision-making Flood risk is presently managed through site-level operational controls, emergency procedures and insurance arrangements. Looking forward, physical climate risks may increasingly inform decisions related to site selection, asset maintenance and business continuity planning.	
Resource allocation Current expenditure associated with flood risk is primarily reactive, relating to repairs, maintenance and insurance. In the future, additional resources may be allocated towards measures intended to reduce exposure to flood-related disruption, particularly for higher-risk locations.	
Financial position and performance Flood-related financial impacts are currently episodic and generally limited to short-term revenue disruption and repair costs. If flood risks increase, the Group could be exposed to higher operating costs, greater earnings variability and, in certain circumstances, potential asset impairment. Timely risk management measures may mitigate, but not eliminate these effects.	

3. ADVANCING ENVIRONMENTAL RESPONSIBILITY AND SUSTAINABILITY Cont'd

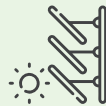
ENM EMM Managing Climate Impact: Energy and Emissions Management

Mitigation and Adaptation Initiatives Addressing Our Transition Risks: Policy and Legal

Priority Areas



01 Operational Energy Efficiency



02 On-Site Renewable Energy Generation



03 Low-Carbon Operations and Logistics



04 Use of Carbon Credits

Sustainability-related Investment Allocated:
RM52.0 million

01) Operational Energy Efficiency

Initiatives focused on reducing absolute energy consumption and improving energy intensity across outlets, warehouses and offices.



Upgraded 1,356 outlets with energy-efficient inverter air-conditioning systems (Suruhanjaya Tenaga 4-Star rated and above)



Retrofitted and installed glass-door display freezers and non-heated high-efficiency freezers and chillers in 1,449 outlets, significantly reducing cooling losses



Replaced conventional lighting with light-emitting diode ("LED") lighting across outlets



Installed air curtain systems to minimise cold air leakage and reduce cooling loads

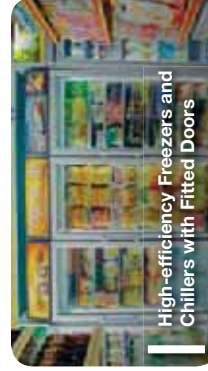


Deployed energy-efficient appliances and systems under the Sustainable Outlets Pilot Programme



Implemented continuous energy monitoring and optimisation at headquarters, distribution centres and retail outlets

Total Investment:
RM39.3 million



3. ADVANCING ENVIRONMENTAL RESPONSIBILITY AND SUSTAINABILITY

Cont'd

ENM

EMM

Managing Climate Impact: Energy and Emissions Management

Mitigation and Adaptation Initiatives Addressing Our Transition Risks: Policy and Legal

02) On-Site Renewable Energy Generation

Initiatives that increase self-generated clean energy and reduce reliance on grid electricity.



Installed solar photovoltaic ("PV") systems, with capacity of approximately 9,486 MWp

Total Investment:
RM10.0 million

Solar PV System
Installations



317
Outlets



16
DCs

Solar PV Capacity (kWp)

9,486.95

3,324.36

FY2024

FY2025



03) Low-Carbon Operations and Logistics

Initiatives aimed at reducing GHG emissions across energy use, logistics and business activities.



Replaced 109 ageing distribution lorries with more fuel-efficient models, phasing out vehicles over 10 years old

Total EV delivery
trucks Investment:
RM2.6 million



Introduced 10 EV delivery trucks to support lower-emission logistics operations



Deployment of EV Delivery Trucks and Upgrade of Ageing Distribution Lorries

3. ADVANCING ENVIRONMENTAL RESPONSIBILITY AND SUSTAINABILITY Cont'd

ENM EMM

Managing Climate Impact: Energy and Emissions Management

04) Use of Carbon Credits

The Group has retired a number of carbon credits as a supplementary measure to offset a portion of GHG emissions, complementing our broader sustainability efforts. Carbon credits and renewable energy certificates ("RECs") may be used by the Group to offset up to 10% of its GHG emissions in any year up to 2030. These instruments support, but do not replace, the Group's direct emissions reduction efforts, including energy efficiency improvements, renewable energy deployment and operational decarbonisation.

Verification, Type and Integrity of Credits

On 7 January 2025, the Group retired 2,000 Verified Carbon Units ("VCUs") under the Verified Carbon Standard ("VCS"), administered by Verra. Each VCU represents one metric tonne of carbon dioxide equivalent ("tCO₂e") reduced or removed, such that the retirement is equivalent to offsetting approximately 2,000 tCO₂e of emissions. The retirement was recorded in the Verra Registry, ensuring traceability and preventing double counting.

The retired VCUs were generated from the Kuamut Rainforest Conservation Project in Sabah, Malaysia. These credits are nature-based, representing emissions avoidance and/or removal through rainforest conservation, and hold Climate, Community & Biodiversity ("CCB") – Climate Gold certification, reflecting verified environmental and social co-benefits.

Credibility and Limitations

In assessing the use of carbon credits, the Group considered third-party verification, formal retirement and registry transparency. The Group recognises inherent uncertainties associated with carbon credits, including permanence, measurement assumptions and long-term project performance. Accordingly, carbon credits and RECs are utilised on a limited and controlled basis and are not regarded as substitutes for direct emissions reduction measures.



Project: Kuamut Rainforest Conservation Project

Credits retired: 2,000 VCUs

Retirement date: 7 January 2025

Standard: Verified Carbon Standard

Additional certification: CCB – Climate Gold

Description: The project covers 83,381 hectares of lowland and hill mixed dipterocarp forest and generates, on average, over 800,000 tCO₂e of verified carbon units annually. It benefits approximately 3,000 local community members across the Karamuak and Kuamut village clusters and protects habitats for 29 mammal and 12 bird species listed on the International Union for Conservation of Nature ("IUCN") Red List.

Formerly designated as a Class II production forest and subject to repeated logging, the project prevents further commercial exploitation and supports forest regeneration. It has received an 'A' rating from BeZero and an 'A' rating from Sylvera, reflecting strong performance in additionality, carbon integrity and co-benefits.

3. ADVANCING ENVIRONMENTAL RESPONSIBILITY AND SUSTAINABILITY

Cont'd

ENM EMM Managing Climate Impact: Energy and Emissions Management

Mitigation and Adaptation Initiatives Addressing Our Transition Risks: Flood

Priority Areas

01



Business Continuity and Financial Protection

02



Climate Risk Monitoring and Early Warning

03



Operational Preparedness and Response Capability

04



Resilient Site Selection and Preventive Controls

01) Business Continuity and Financial Protection

Continuity and financial protection measures were introduced to minimise operational disruption and potential financial losses arising from flood events.

- Implemented a Group-wide Business Continuity Plan ("BCP") to ensure the continuity of critical operations during and after flood events
- Integrated flood scenarios into operational planning to minimise disruption and recovery time
- Maintains insurance coverage for flood-related risks to mitigate potential financial losses arising from asset damage and business interruption

03) Operational Preparedness and Response Capability

Clear response procedures and preparedness measures are in place to safeguard employees, assets and operations during flood incidents.

- Implemented Flood Response SOPs and provides staff training to ensure effective on-site response during flood events
- Maintains flood-preparedness equipment, such as sandbags, with clearly defined roles and responsibilities to support coordinated response efforts

04) Resilient Site Selection and Preventive Controls

Flood risk considerations are embedded into site selection and facility planning processes to reduce long-term exposure to physical climate risks.

- Prioritises elevated or flood-resilient locations and avoids flood-prone areas when selecting sites for new outlets and facilities
- Integrates flood risk assessments into outlet planning, design and expansion decisions to enhance asset resilience

02) Climate Risk Monitoring and Early Warning

Active monitoring of climate and weather conditions supports early identification of flood risks and enables timely response across operations.

- Conducts regular monitoring of climate and weather conditions, including rainfall patterns and flood alerts, to anticipate potential flood risks
- Operates an instant notification and escalation system to facilitate timely communication, supported by reporting of local conditions and management follow-up to ensure prompt action

3. ADVANCING ENVIRONMENTAL RESPONSIBILITY AND SUSTAINABILITY

Cont'd

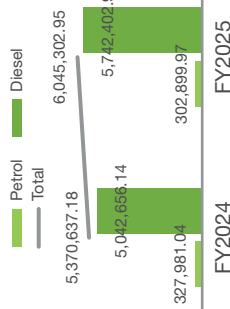
ENM EMM Managing Climate Impact: Energy and Emissions Management

The Group's operational energy efficiency initiatives are underpinned by externally certified building performance outcomes.

99 Speedmart's headquarters and 10 retail outlets continue to hold GreenRE Platinum certification, while two distribution centres maintain GreenRE Silver certification. These certifications remain valid during the reporting year and reflect sustained compliance with stringent criteria covering energy efficiency, renewable energy integration, water conservation, indoor environmental quality and emissions management.

Certified outlets have demonstrated energy efficiency improvements exceeding 30%, relative to applicable GreenRE baselines, providing independent validation of the effectiveness of the Group's outlet design standards, energy management practices and capital investments. The GreenRE-certified assets serve as reference sites for scaling energy efficiency and low-carbon design principles across the broader retail network.

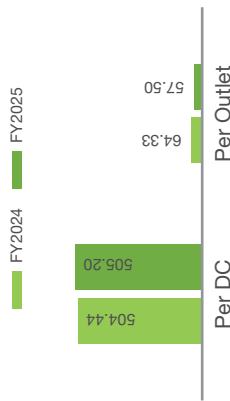
Fuel Consumption (Litres)



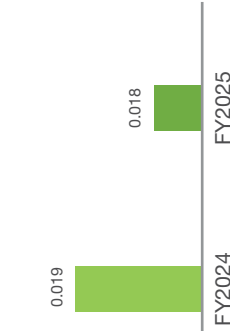
Electricity Consumption (kWh)



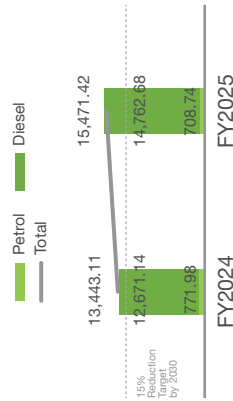
Carbon Intensity (tCO₂e/unit)



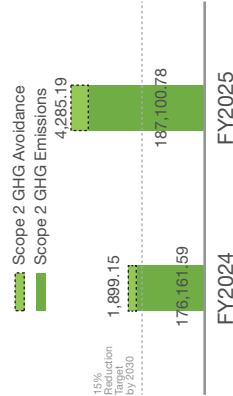
Carbon Intensity (tCO₂e/RM'000 revenue)



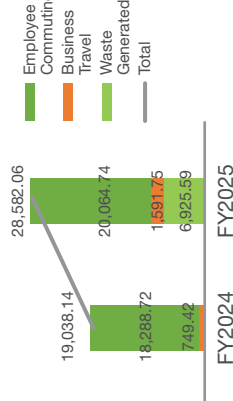
Scope 1 GHG Emissions (tCO₂e)



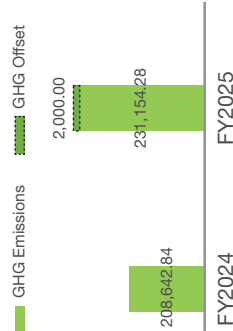
Scope 2 GHG Emissions (tCO₂e)



Scope 3 GHG Emissions (tCO₂e)



Total GHG Emissions (tCO₂e)



3. ADVANCING ENVIRONMENTAL RESPONSIBILITY AND SUSTAINABILITY

Cont'd

EMM

EMM

Managing Climate Impact: Energy and Emissions Management

Methodology

GHG Emissions Measurement Methodology

The Group measures and reports Scope 1, Scope 2, and Scope 3 GHG emissions in accordance with the GHG Protocol Corporate Accounting and Reporting Standard. The reporting boundary includes both the Group's organisational and operational boundaries, applying the operational control approach as defined in the GHG Protocol. Where direct emissions measurement systems are not in place across the Group's operations, emissions are quantified using indirect measurement methodologies, whereby emissions are calculated based on activity data and applicable emission factors. This methodology is applied consistently across reporting periods to ensure comparability and reliability.

- Scope 1 GHG Emissions: Scope 1 GHG emissions comprise direct emissions from sources owned or controlled by the Group, primarily arising from the combustion of fuels. The Group reports Scope 1 emissions using the fuel-based method and spend-based method. Emissions are calculated by applying relevant emission factors to fuel consumption data, with emission factors derived from the UK Government GHG Conversion Factors 2024 and 2025.
- Scope 2 GHG Emissions: Scope 2 GHG emissions represent indirect emissions from the generation of purchased electricity consumed by the Group. The Group reports Scope 2 emissions using the location-based method, which reflects the average emissions intensity of the electricity grids from which electricity is sourced. Emission factors are sourced from the Malaysia Grid Emissions Factor ("GEF") 2024, published by the National Energy Commission on 23 February 2026.

Note: Scope 2 GHG emissions for FY2024 have been restated to reflect the updated 2024 emission factor published by the National Energy Commission in 2025.

- Scope 3 GHG Emissions: The Group measures Scope 3 GHG emissions using a combination of calculation methodologies, reflecting differences in data availability, data quality and the characteristics of individual value chain activities. During the reporting period, the Group identified, measured and disclosed Scope 3 emissions for Category 5 (Waste Generated in Operations), Category 6 (Business Travel) and Category 7 (Employee Commuting). Emission factors are sourced from the UK Government GHG Conversion Factors for 2024 and 2025.

Where the allocation of emissions is required, the Group applies the physical allocation method as the primary basis, reflecting underlying physical relationships such as distance travelled. The economic allocation method is applied only where physical activity data are not available or do not appropriately represent the causal relationship between the activity and the resulting emissions.

Activity Data Used for GHG Emissions Measurement

- Scope 1 GHG Emissions: Activity data for Scope 1 GHG emissions are derived from fuel consumption by company-owned or controlled vehicles, including petrol and diesel. Fuel consumption data are obtained from fleet card transaction records.
- Scope 2 GHG Emissions: Activity data for Scope 2 GHG emissions comprise quantities of purchased electricity consumed and measured in kilowatt-hours. Electricity consumption data are obtained from utility invoices issued by electricity providers.
- Scope 3 GHG Emissions:
 - o Activity data for Category 5 (Waste Generated in Operations) were estimated based on sampled 2-week data, scaled by the number of outlets and weeks in the year.

Note: Scope 3 GHG emissions from waste are presented for FY2025 only, as this category was newly included and not reported in FY2024.

- o Activity data for Category 6 (Business Travel) comprises:
 - Air travel: Flight activity data, including origin and destination airport codes, which are used to determine flight distances for emissions calculation; and
 - Land travel: Total mileage for business purposes claimed by employees, supplemented by estimated transport mode distribution where disaggregated trip-level data are not available. This approach is applied consistently across operating entities.
- o Activity data for Category 7 (Employee Commuting) were collected using a sampling approach through a Google survey form, capturing estimated distances travelled by employees and their transport mode distribution. This methodology allows the Group to estimate employee commuting emissions for 100% of employees during the reporting period

Use of Estimates, Assumptions, and Proxy Data

Where activity data are not available on a timely basis, the Group applies reasonable estimates based on historical data. In instances where data are incomplete or unavailable, proxy data or the most recent relevant industry averages were used. Key estimates, assumptions and data limitations are reviewed periodically and refined as data availability and data quality improve.

3. ADVANCING ENVIRONMENTAL RESPONSIBILITY AND SUSTAINABILITY Cont'd

ENM EMM Managing Climate Impact: Energy and Emissions Management

Our Climate Transition Plan

99 Speedmart's climate transition plan sets out a structured pathway to manage climate-related transition risks and reduce GHG emissions, building on the operational, energy and logistics initiatives already implemented and described above. The plan prioritises direct emissions reduction within operations, supported by renewable energy deployment, energy efficiency improvements and progressive fleet electrification, while maintaining cost efficiency and operational reliability across the Group's extensive retail network.

Strategy and Transition Objectives

The Group's transition strategy is anchored on scaling proven measures that reduce Scope 1 and Scope 2 emissions and energy intensity across outlets, distribution centres and offices. These measures are expected to drive an absolute decoupling of emissions from business growth over time.

In line with this strategy, the Group has established the following long-term climate-related targets:



Install solar PV systems at 30% of outlets by 2030



Achieve a 30% improvement in energy intensity per outlet by 2030



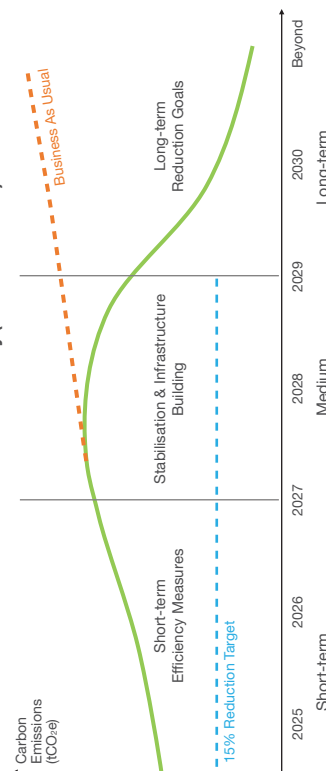
Transition 30% of logistics and passenger vehicle fleets to EVs by 2030



Reduce combined Scope 1 and Scope 2 CO₂ emissions by 15% by 2030

These targets reflect a phased transition approach that balances emissions reduction ambition with commercial practicality, technological readiness and capital allocation discipline.

Indicative Emissions Pathway (FY2025-FY2030)



Key Assumptions and Dependencies

The successful execution of the climate transition plan is subject to several key assumptions and dependencies, including:

- Continued availability of viable energy-efficient technologies and solar PV solutions
- Physical suitability of outlets and facilities for solar PV installation
- Stable access to capital expenditure aligned with business growth and asset renewal cycles

Resourcing and Implementation

Implementation of the transition plan is resourced through planned capital expenditure embedded within normal business investment and asset replacement cycles, rather than standalone climate-specific funding.

Operational teams are responsible for execution, supported by external technology providers, certified professionals and third-party verification bodies where applicable. Progress is monitored through energy consumption data, GHG emissions measurement and external certifications, enabling ongoing evaluation of performance against targets and informing future investment decisions.

3. ADVANCING ENVIRONMENTAL RESPONSIBILITY AND SUSTAINABILITY

Cont'd

WM

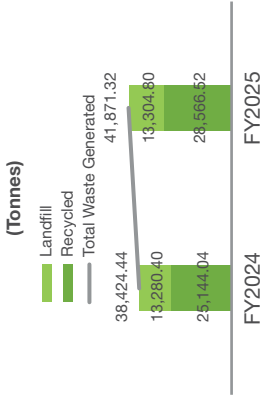
Waste Management

Effective waste management remains a key focus area across our operations. The Group continues to implement measures to promote waste segregation, responsible recycling practices and the adoption of circular economy principles to reduce waste generation and our environmental impact.

Management Approach and Performance Overview

- Green Practices and Responsible Procurement:** Embedded the 3Rs (Reduce, Reuse, Recycle) and a green procurement approach into daily operations to encourage environmentally responsible product use.
- Plastic Reduction Initiatives:** Continued customer-facing initiatives, including the Bag-for-Life Reusable Bag and Plastic-Free Campaign, to reduce single-use plastic bags through durable, reusable alternatives.
- High-Recycling Waste Regime:** Maintain ongoing structured recycling practices to recover recyclable materials such as metals, plastics and cardboard.
- Circular Economy and Waste Upcycling:** Continued collaborating with BioLoop using Black Soldier Fly ("BSF") technology to upcycle expired dried waste packaging and food items into value-added outputs such as animal feed and organic fertiliser.
- Food Waste Redistribution:** Collaborated with Yayasan Food Bank to redistribute surplus food, contributing RM4.3 thousand worth of food donations.

Waste Generation (Tonnes)



Note: The total waste directed to disposal is an estimated figure extrapolated from data collected through a sampling approach over a two-week period

Breakdown of Recycled Waste

Cardboard	Plastic
28,086.16 tonnes	444.09 tonnes
Metal/Iron	Aluminium
34.09 tonnes	2.18 tonnes
Food Waste (via BioLoop)	
48.94 tonnes	

Capitals:



Stakeholders:



SDGs:



WE

Water Efficiency

Water is used primarily for basic operational needs across 99 Speedmart's outlets and facilities. While the Group's operations are not water-intensive in nature, prudent water use and basic monitoring practices remain in place as part of responsible operational management.

Management Approach and Performance Overview

- Monitoring and Management Practices:** Continued utilisation of water meters at selected outlets to support basic monitoring and management of water consumption.
- Efficiency and Continuous Improvement:** Water efficiency management practices remain in place to encourage responsible usage and to identify opportunities for incremental improvements, where appropriate.

Water Consumption (Megalitres)



Capitals:



Stakeholders:



SDGs:



3. ADVANCING ENVIRONMENTAL RESPONSIBILITY AND SUSTAINABILITY

Cont'd

Measuring Our Progress

The Group applies defined metrics and targets to assess our performance on material environmental matters and to track progress in managing environmental risks and opportunities. The disclosed metrics are decision-useful and comparable, supporting the evaluation of 99 Speedmart's potential environmental impacts.

Targets are set across short-, medium- and long-term horizons to support accountability and continuous improvement. Where longer-term quantitative targets have not been defined, performance is monitored, and the Group will refine our target-setting approach as data availability and measurement capabilities advance.

Material Topic	FY2025 Targets	Measurement Unit	Baseline (FY2024)	FY2025 Performance	FY2026 Targets (Short-Term)	FY2028 Targets (Medium-Term)	FY2030 Targets (Long-Term)
Energy Management	Achieve a minimum 30% energy replacement rate for the total electricity consumption at DCs in Peninsular Malaysia through solar PV systems	Percentage	-	32.9%	≥30%	≥35%	≥40%
	Achieve a cumulative total of 300 outlets equipped with solar PV systems	Number of outlets	-	317	550	1,100	1,600
	Achieve a cumulative total of 1,500 outlets equipped with new inverter air-conditioning systems	Number of outlets	-	1,507	67% of total outlets	90% of total outlets	100% transition
	Deploy energy efficient chillers across a cumulative total of 1,500 outlets	Number of outlets	-	1,417	67% of total outlets	90% of total outlets	95% of total outlets

3. ADVANCING ENVIRONMENTAL RESPONSIBILITY AND SUSTAINABILITY

Cont'd

Measuring Our Progress

Material Topic	FY2025 Targets	Measurement Unit	Baseline (FY2024)	FY2025 Performance	FY2026 Targets (Short-Term)	FY2028 Targets (Medium-Term)	FY2030 Targets (Long-Term)
Emissions Management	Establish a GHG emissions reduction target baseline	tCO ₂ e	- Scope 1: 13,443.11 tCO₂e - Scope 2: 176,161.59 tCO₂e - Scope 3: 19,038.14 tCO₂e	Maintain Scope 1 and 2 emissions within a carbon ceiling of 230,000 tCO ₂ e	Limit Scope 1 and 2 emissions ≤ 230,000 tCO ₂ e	Achieve peak emissions at 230,000 tCO ₂ e for Scope 1 and 2	Reduce net Scope 1 and 2 emissions to 178,500 tCO ₂ e, (15% reduction from the carbon ceiling)
	Scope 1 - Commission at least 10 EV trucks - Replace ≥100 ageing transporter trucks to newer models	Number of trucks	Replaced 100 lorries/trucks to newer models	10 EV trucks commissioned 109 ageing trucks replaced	EV fleet ratio: 5%	15%	30%
	Scope 2 - Implement energy efficiency programme in line with energy management targets - Avoid >6,000 tCO₂e via solar PV systems	Percentage	-	4,285.19 tCO₂e avoided 10.62% carbon intensity reduction per outlet	8% carbon intensity reduction per outlet	20% reduction	40% reduction
	Scope 3 - Continue monitoring limited Scope 3 GHG emissions - Category 6 (Business Travel) - Category 7 (Employee Commute)	Qualitative	-	- Employee Commuting: 20,064.74 tCO₂e - Business Travel: 1,591.75 tCO₂e	Continue monitoring of Scope 3 GHG emissions		



Focus Area 4: Fostering Employee Well-being and Community Engagement

Material Sustainability Matters

Customer Satisfaction	CS
Employee Health, Safety and Well-being	EHSW
Human Rights and Labour Practices	HRLP
Training, Education and Talent Development	TETD
Employment	EMP
Diversity, Equity and Inclusion	DEI
Community Engagement	CE



4. FOSTERING EMPLOYEE WELL-BEING AND COMMUNITY ENGAGEMENT

CS

Customer Satisfaction

Following a customer-first approach, 99 Speedmart implements a range of customer satisfaction initiatives to gather insights into customer expectations and guide improvements in operational excellence and product quality, continuously enhancing the shopping experience as the nation's leading mini-market chain.

Management Approach and Performance Overview

We strengthen service quality through providing regular operational training, recognising our top-performing managers annually and resolving customer complaints promptly, typically within one to three working days.

Our mobile application with image data capturing functions enable us to simplify inventory management and enhance data accuracy, streamlining operations and increasing operational efficiency.

Additionally, we conducted our annual customer satisfaction survey across our outlets, assessing the following key aspects:

Outlet Cleanliness

Stock Availability

Staff Courtesy

Price Competitiveness

Recommendation Likelihood

Customer Satisfaction Score

FY2025

FY2024

92.00%

91.17%

Feedback was also provided on our outlets, products and services. In FY2025, we achieved an average of 92% satisfaction score.

Capitals:

Stakeholders:

Risks:

DSC

NP

SDGs:

EHSW

Employee Health, Safety and Well-being

Acknowledging our responsibility to safeguard employees, the Group upholds stringent occupational health and safety (“OHS”) standards to minimise risks and protect the well-being of personnel across our headquarters, outlets, and warehouses.

Management Approach and Performance Overview

- 99 Speedmart’s Commitment to Health and Safety:** The Group safeguards workforce health, safety and well-being through maintaining safe equipment and work systems, clearly communicating safety practices, maintaining a comfortable workplace, providing relevant training programmes and implementing proactive safety improvements.

- OHS Policy:** Guided by our OHS Policy, we uphold strict safety standards, conduct regular Hazard Identification, Risk Assessment and Risk Control (“HIRARC”) assessments, and comply with OSHA regulations.

- Workplace Safety Monitoring:** During the year, incidents related to the offloading of goods at outlets and warehouses were observed to be more prevalent. To address this risk, in FY2025, all newly deployed transporters and lorries will be equipped with hydraulic tailgates to facilitate safer handling of goods and reduce the risk of manual handling injuries.

A total of **1,200** employees received health and safety training in FY2025

Provided **16,322** hours of Health and Safety training, strengthening awareness and compliance

Lost Time Injury Frequency Rate

FY2024

FY2025

0.11

0.93

Capitals:

Stakeholders:

Risks:

CGP

SDGs:

4. FOSTERING EMPLOYEE WELL-BEING AND COMMUNITY ENGAGEMENT

Cont'd

HRLP

Human Rights and Labour Practices

99 Speedmart respects the fundamental rights of our workers, upholding fair labour policies that promote ethical employment practices, prohibit forced and child labour in all forms, and prevent discrimination, fostering a safe and harassment-free workplace.

Management Approach and Performance Overview

- Our Code of Conduct and Business Ethics ("COBE") and the Employee Handbook outline the Group's zero-tolerance stance against forced labour, child labour, discrimination and harassment in compliance with the relevant labour rights.
- The Group maintains a whistleblowing channel to enable the confidential reporting of unethical practices, protecting employees from retaliation.

Zero

Adjudicated cases against the company due to discrimination or harassment

Capitals:



Stakeholders:



Risks:



SDGs:



TETD

Training, Education and Talent Development

The Group supports employee development and fosters a culture of continuous learning by providing practical, industry-relevant training aligned with individual career pathways and organisational objectives. We build a future-ready workforce through a combination of internal and external upskilling programmes, such as structured training in collaboration with *Universiti Kebangsaan Malaysia* ("UKM"), strengthening long-term business resilience.

Management Approach and Performance Overview

- Training: We conducted a total of 158 training modules in FY2025, encompassing upskilling programmes, health and safety modules as well as linked training with UKM.
- Employee Engagement: The Group actively engaged with our employees to foster a motivated working environment and increase productivity through activities including employee dialogues and annual dinner events.

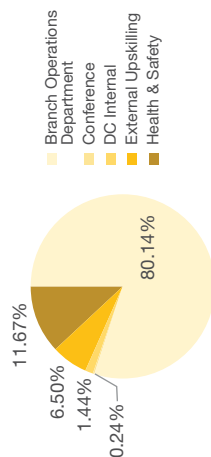
120,494 training hours
& **989** training programmes
delivered to 99 Speedmart
employees

18,304

Total employees
attended and
received training

In partnership with UKM,
5,180 employees attended a
total of
158 modules, amounting to
20,720 training hours

Types of Training Programmes



Capitals:



Stakeholders:



Risks:



SDGs:



4. FOSTERING EMPLOYEE WELL-BEING AND COMMUNITY ENGAGEMENT

Cont'd

TETD

Training, Education and Talent Development



HQ Cybersecurity Act Awareness Session



Communication and Negotiation Mastering Skills



HQ Fire Drill Briefing



OSH Coordinator Training



Public Awareness on Fire Safety Organisation



Professional Certificate in Retail Management Graduation Ceremony



SEHATI: Perkoso Health Screening

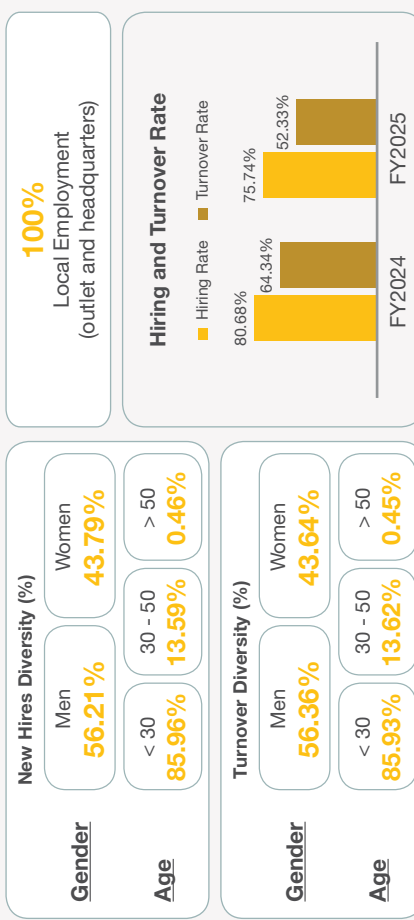
4. FOSTERING EMPLOYEE WELL-BEING AND COMMUNITY ENGAGEMENT Cont'd

EMP Employment

Responsible employment practices are essential to attract and retain a skilled workforce, while fair working conditions and employment stability support employee well-being, productivity and organisational performance. We provide fair employment opportunities through responsible workforce planning and the recruitment of local talent, supporting local economic development.

Management Approach and Performance Overview

- **Local Hiring Initiatives:** We have maintained a 100% local workforce across our outlet over the past two years, supporting local economic development and empowering our communities.
- **Recruitment:** The Group recruited 19,425 employees during the year in line with business expansion, primarily for non-executive roles.



DEI Diversity, Equity and Inclusion

99 Speedmart values workplace diversity, embedding it into our recruitment practices to foster an inclusive and meritocratic workplace that provides equal opportunities regardless of background. This diversity of perspectives and talents drives innovation and supports the Group's long-term competitiveness and growth.

Management Approach and Performance Overview

- **Merit-Based Promotions:** Employee performance and promotions are strictly merit-based and reviewed objectively, without any discrimination.
- **Hiring Practices:** Guided by our Non-Discrimination Policy, Fit and Proper Policy and Sustainability Policy, we maintain fair and equal hiring practices.
- **Diversity and Inclusion:** Promoted diversity and inclusivity across the workforce and hiring practices, fostering a welcoming working environment.

25,647
Total Workforce Strength

Employee Diversity (%) Gender

Men
51.96%

Women
48.04%

Age

< 30
72.96%

30 - 50
25.83%

> 50
1.21%

Employee Diversity (%) Employment Category

Permanent
96.71%

Contract (Local & Foreigner)
3.29%

138
differently-abled individuals employed



4. FOSTERING EMPLOYEE WELL-BEING AND COMMUNITY ENGAGEMENT

Cont'd

CE

Community Engagement

The Group builds strong relationships with local communities through a range of outreach efforts and social welfare programmes. Our support includes providing aid to underserved communities, contributing to non-profit organisations and participating in community-based programmes, enhancing community well-being.

Management Approach and Performance Overview

- Internship Programme:** 99 Speedmart welcomed a total of 39 interns, equipping them with real-world experience and industry insights, with the aim of developing future-ready talent and supporting the Group's talent pipeline.
- CSR Initiatives:** Continued empowering the local communities through numerous initiatives including financial contributions, blood donation campaign and community sporting events, focusing on social welfare, community support and long-term value creation.

RM6.0 million

Invested in community engagement initiatives

254

CSR events and programmes conducted across all states

60,912

Beneficiaries reached through CSR programmes

39

Number of interns

Education



Contributes to educational and youth programmes through financial contributions, skill development initiatives and academic recognition

Community Welfare



Provides financial assistance and relief support to vulnerable communities, including festive contributions, food aid and disaster relief initiatives

Sports & Youth Development



Promotes active lifestyles and youth engagement support for sports programmes, community sporting events and sponsorship of Paralympic athletes

Health & Community Wellbeing



Promotes public health and community wellbeing through initiatives such as blood donation programmes, health awareness campaign and health dialogues

Environmental Protection



Supports environmental conservation through sponsoring the rehabilitation of white lions and community cleaning programmes

Capitals:



Stakeholders:



SDGs:



4. FOSTERING EMPLOYEE WELL-BEING AND COMMUNITY ENGAGEMENT Cont'd

CE

Community Engagement

Education



Financial Contributions to Tunku Abdul Rahman University and Yayasan Perpustakaan Raja Tun Uda during 37th Anniversary Annual Dinner



Donations to Persatuan Bolasepak Penampang and Fakulti Kejuruteraan Kimia, UTM Shah Alam programmes



Raya Donations to Majlis Agama Islam Selangor and Majlis Daerah Kuala Langat



Chinese New Year Donations to Home for Special People, Cheras & Sherun Old Folks Home

Health and Community Wellbeing



14th Blood Donation Campaign



Donation of 190 Automated External Defibrillator ("AED") Units



Deepavali Donations to the Community in Bluit and Teluk Intan



Flood Relief Programme

Community Welfare



Sponsorship for Paralympic Athletes



Sports and Youth Development



Environmental Protection



Donation to Zoo Negara for White Lion Rehabilitation Programme



Hari Cuci Malaysia 2025



4. FOSTERING EMPLOYEE WELL-BEING AND COMMUNITY ENGAGEMENT

Cont'd

Measuring Our Progress

The Group uses defined metrics and targets to measure performance on material social matters and to assess progress in managing people-, customer- and community-related risks and opportunities. The metrics disclosed are relevant and comparable, supporting an understanding of how social factors may affect long-term value creation.

Targets are established across short-, medium- and long-term horizons to drive performance discipline. Where longer-term quantitative targets are not yet in place, performance continues to be monitored, with ongoing enhancements to metrics and targets as data quality and operational maturity improve.

Material Topic	FY2025 Targets	Measurement Unit	Baseline (FY2024)	FY2025 Performance	FY2026 Targets (Short-Term)	FY2028 Targets (Medium-Term)	FY2030 Targets (Long-Term)
Employee Health, Safety and Well-being	Achieve zero cases of major health and safety-related injuries/incidents	Number of cases	6	55	0		
Training & Education	Attain a total of 120,000 training hours	Number of training hours	83,279 Training Hours	120,494 total training hours	Average 7 hours per employee	Average 8 hours per employee	
Diversity, Equity and Inclusion (DEI)	Maintain at least 40% female representation in the workforce	Percentage	47.97%	48.04%	Maintain gender equality within ±10% variance		
	Ensure that more than 90% of employees earn wages above the statutory minimum	Percentage	96.15%	93.45%		>90%	
Employment	Provide employment opportunities to over 24,000 individuals	Number of individuals	22,921	25,647		>27,000	
	Hire 100% local employees at the outlet level	Percentage	100%	100%		100%	
	Limit the employment of foreign workers to below 5%	Percentage	3.85%	3.29%		<5%	

PRESCRIBED TABLE

99 Speed Mart Retail Holdings Berhad
IFRS S1Date & Time: 2026-04-21 12:20:03
FYE 31/12/2025

Sustainability Matter	Metric	Measurement Unit	2025	Target	Assurance	Remarks
Waste Management	Total Waste Generated from Operations	Tonnes	41,871.32	-	No assurance	Data only covers our Malaysia Operations, and does not cover our operations in China.
Waste Management	Waste Diverted from Landfill	Tonnes	28,566.52	-	No assurance	Data only covers our Malaysia Operations, and does not cover our operations in China.
Waste Management	Waste Directed to Landfill	Tonnes	13,304.80	-	No assurance	Data only covers our Malaysia Operations, and does not cover our operations in China.
Waste Management	Rate of Waste Diverted from Landfill	Percentage	68.22%	-	No assurance	Data only covers our Malaysia Operations, and does not cover our operations in China.
Water Consumption	Amount of Water used from Operations	Megaliters	374.66	-	No assurance	Data only covers our Malaysia Operations, and does not cover our operations in China.

This report was generated on the Bursa Malaysia CSI Platform on 2026-04-21 12:20:03

Page 1 of 2

PRESCRIBED TABLE

Cont'd

99 Speed Mart Retail Holdings Berhad
IFRS S2Date & Time: 2026-04-21 12:20:03
FYE 31/12/2025

Sustainability Matter	Metric	Measurement Unit	2025	Target	Assurance	Remarks
GHG emissions	Scope 1	Metric tonnes of carbon dioxide equivalents (tCO2e)	15,471.42	Combined Scope 1 and Scope 2 reduction of 15% by FY2030 compared to FY2024 Baseline.	No assurance	Data only covers our Malaysia Operations, and does not cover our operations in China.
GHG emissions	Scope 2 Location-based	Metric tonnes of carbon dioxide equivalents (tCO2e)	18,700.78	Combined Scope 1 and Scope 2 reduction of 15% by FY2030 compared to FY2024 Baseline.	No assurance	Data only covers our Malaysia Operations, and does not cover our operations in China.
GHG emissions	Scope 2 Market-based	Metric tonnes of carbon dioxide equivalents (tCO2e)	Nil	Combined Scope 1 and Scope 2 reduction of 15% by FY2030 compared to FY2024 Baseline.	No assurance	The Company did not subscribe to any market-based instruments for electricity.
GHG emissions	Total Scope 3 Emissions	Metric tonnes of carbon dioxide equivalents (tCO2e)	28,582.06	-	No assurance	Data only covers our Malaysia Operations, and does not cover our operations in China.
GHG emissions	Scope 3 Cat.5: Waste generated in operations	Metric tonnes of carbon dioxide equivalents (tCO2e)	6,925.59	-	No assurance	Data only covers our Malaysia Operations, and does not cover our operations in China.
GHG emissions	Scope 3 Cat.6: Business travel	Metric tonnes of carbon dioxide equivalents (tCO2e)	1,591.75	-	No assurance	Data only covers our Malaysia Operations, and does not cover our operations in China.
GHG emissions	Scope 3 Cat.7: Employee commuting	Metric tonnes of carbon dioxide equivalents (tCO2e)	20,064.74	-	No assurance	Data only covers our Malaysia Operations, and does not cover our operations in China.

GRI CONTENT INDEX

Statement of use	99 Speed Mart Retail Holdings Berhad has reported the information cited in this GRI content index for the period 1 January 2025 until 31 December 2025 with reference to the GRI Standards.
GRI 1 used	GRI 1: Foundation 2021

GRI Standard	Disclosure	Reference
GRI 2: General Disclosures 2021	2-1 Organisational details	9, 11-13, 15-18
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	2-3 Reporting period, frequency and contact point	3-6
	2-6 Activities, value chain and other business relationships	9, 11-13, 15
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	205-1 Operations assessed for risks related to corruption	84
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GRI 303: Water and Effluents 2018	3-3 Management of material topic	98
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GRI 305: Emissions 2016	3-3 Management of material topic	91-93
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GRI 306: Waste 2020	3-3 Management of material topic	98
	306-2 Management of significant waste-related impacts	98
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GRI 401: Employment 2016	3-3 Management of material topic	105
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	403-2 Hazard identification, risk assessment, and incident investigation	102
	403-5 Worker training on occupational health and safety	102, 104
	403-9 Work-related injuries	102
GRI 404: Training and Education 2016	3-3 Management of material topic	103-104
	404-2 Programmes for upgrading employee skills and transition assistance programmes	103-104
GRI 405: Diversity and Equal Opportunity 2016	3-3 Management of material topic	105
	405-1 Diversity of governance bodies and employees	105
GRI 406: Non-discrimination 2016	3-3 Management of material topic	103, 105
GRI 409: Forced or Compulsory Labor 2016	3-3 Management of material topic	103
GRI 413: Local Communities 2016	3-3 Management of material topic	106-107
	413-1 Operations with local community engagement, impact assessments, and development programmes	106-107
GRI 416: Customer Health and Safety 2016	416-1 Assessment of the health and safety impacts of product and service categories	81-82
	416-2 Incidents of non-compliance concerning the health and safety impacts of products and services	81-82
	3-3 Management of material topic	81-82
GRI 418: Customer Privacy 2016	3-3 Management of material topic	85
	418-1 Substantiated complaints concerning breaches of customer privacy and losses of customer data	85

IFRS CONTENT INDEX

IFRS S1	Theme	Reference
Governance		
27	The governance body(s) or individual(s) responsible for oversight of sustainability-related risks and opportunities.	
27 (a) (i)	Responsibilities for sustainability-related risks and opportunities reflected in the terms of reference, mandates, role descriptions and other related policies applicable to that body(s) or individual(s).	Governance and Oversight of Sustainability, pg. 64-65, IAR Our Key Business, Sustainability and Climate-related Risks and Opportunities, pg. 68-72, IAR
27 (a) (ii)	Body(s) or individual(s) who determines whether appropriate skills and competencies are available or will be developed to oversee strategies designed to respond to sustainability-related risks and opportunities.	Governance and Oversight of Sustainability, pg. 64-65, IAR
27 (a) (iii)	Frequency of body(s) or individual(s) informed about sustainability-related risks and opportunities.	Governance and Oversight of Sustainability, pg. 64-65, IAR
27 (a) (iv)	Approach utilised by body(s) or individual(s) when taking into account sustainability-related risks and opportunities when overseeing the entity's strategy, its decisions on major transactions and its risk management processes and related policies, including whether the body(s) or individual(s) have considered trade-offs associated with those risks and opportunities.	Value Creation Model, pg. 49-53, IAR
27 (a) (v)	Body(s) or individual(s) who oversee the setting of targets related to sustainability-related risks and opportunities and monitor progress towards those targets, including if related performance metrics are included in remuneration policies.	Governance and Oversight of Sustainability, pg. 64-65, IAR
27	Management's role in the governance processes, controls and procedures to monitor, manage and oversee sustainability related risks and opportunities	
27 (b) (i)	Role delegation to a specific management-level position or management-level committee and oversight over that position or committee.	Governance and Oversight of Sustainability, pg. 64-65, IAR
27 (b) (ii)	Controls and procedures to support the oversight of sustainability-related risks and opportunities and if they are integrated with other internal functions.	Governance and Oversight of Sustainability, pg. 64-65, IAR
Strategy		
30	Sustainability-related risks and opportunities	
30 (a)	Sustainability-related risks and opportunities that could reasonably be expected to affect the entity's prospects.	Our Key Business, Sustainability and Climate-related Risks and Opportunities, pg. 68-72, IAR Materiality Sustainability Matters, pg. 78, IAR
30 (b)	Specification of the time horizons by short, medium or long term, over which the effects of each of the sustainability-related risks and opportunities are expected to occur.	Our Key Business, Sustainability and Climate-related Risks and Opportunities, pg. 68-72, IAR

IFRS CONTENT INDEX

Cont'd

IFRS S1	Theme	Reference
33	Strategy and decision-making	
33 (b)	Progress against plans the entity has disclosed in previous reporting periods, including quantitative and qualitative information.	Measuring Our Progress, pg. 82, 99-100, 108, IAR
33 (c)	Trade-offs between sustainability-related risks and opportunities that the entity considered.	Value Creation Model, pg. 49-53, IAR
Risk Management		
44	The processes and related policies the entity uses to identify, assess, prioritise and monitor sustainability-related risks	
44 (a) (i)	The inputs and parameters the entity uses.	Our Key Business, Sustainability and Climate-related Risks and Opportunities, pg. 68-72, IAR
44 (a) (iii)	Assessment of the nature, likelihood and magnitude of the effects of those risks.	
44 (a) (iv)	Prioritisation of sustainability-related risks relative to other types of risk.	
44 (a) (v)	Approach to monitoring sustainability-related risks.	
44 (b)	The processes used to identify, assess, prioritise and monitor sustainability-related opportunities.	Materiality Sustainability Matters, pg. 78, IAR
Metrics and Targets		
50	Information on metric(s)	
50 (a)	Metric definition(s)	Ensuring Quality in Products and Services, pg. 81-82, IAR
50 (b)	If a metric is an absolute measure, a measure expressed in relation to another metric or a qualitative measure.	Promoting Ethical Governance and Transparency, pg. 84-85, IAR Advancing Environmental Responsibility and Sustainability, pg. 87-100, IAR Fostering Employee Well-being and Community Engagement, pg. 102-108, IAR
50 (c)	If a metric is validated by a third party.	Inside this Report, pg. 4, IAR
51	Targets progress monitoring	
51 (a)	The metric used to set the target and to monitor progress towards reaching the target.	Ensuring Quality in Products and Services, pg. 81-82, IAR
51 (b)	The specific quantitative or qualitative target the entity has set or is required to meet.	Promoting Ethical Governance and Transparency, pg. 84-85, IAR Advancing Environmental Responsibility and Sustainability, pg. 87-100, IAR
51 (c)	The period over which the target applies.	Fostering Employee Well-being and Community Engagement, pg. 102-108, IAR
51 (d)	The base period from which progress is measured.	
51 (e)	Any milestones and interim targets.	Ensuring Quality in Products and Services, pg. 82, IAR
51 (f)	Performance against each target and an analysis of trends or changes in the entity's performance.	Advancing Environmental Responsibility and Sustainability, pg. 99-100, IAR Fostering Employee Well-being and Community Engagement, pg. 108, IAR

IFRS CONTENT INDEX

Cont'd

IFRS S2	Theme	Reference
Governance		
6 (a)	The governance body(s) or individual(s) responsible for oversight of climate-related risks and opportunities.	
6 (a) (i)	Responsibilities for climate-related risks and opportunities reflected in the terms of reference, mandates, role descriptions and other related policies applicable to that body(s) or individual(s).	Governance and Oversight of Sustainability, pg. 64-65, IAR Management of Our Risks and Opportunities, pg. 73, IAR
6 (a) (ii)	Body(s) or individual(s) who determine whether appropriate skills and competencies are available or will be developed to oversee strategies designed to respond to climate-related risks and opportunities.	Governance and Oversight of Sustainability, pg. 64-65, IAR
6 (a) (iii)	Frequency of body(s) or individual(s) informed about climate-related risks and opportunities.	
6 (a) (iv)	Approach utilised by body(s) or individual(s) when taking into account climate-related risks and opportunities when overseeing the entity's strategy, its decisions on major transactions and its risk management processes and related policies, including whether the body(s) or individual(s) have considered trade-offs associated with those risks and opportunities.	Value Creation Model, pg. 49-53, IAR
6 (a) (v)	Approach utilised by body(s) or individual(s) when overseeing the setting of targets related to climate-related risks and opportunities and monitoring progress towards those targets, including whether and how the related performance metrics are included in remuneration policies.	Governance and Oversight of Sustainability, pg. 64-65, IAR
6 (b)	Management's role in the governance processes, controls and procedures to monitor, manage and oversee climate-related risks and opportunities	
6 (b) (i)	Role delegation to a specific management-level position or management-level committee and oversight over that position or committee.	Governance and Oversight of Sustainability, pg. 64-65, IAR
6 (b) (ii)	Controls and procedures to support the oversight of climate-related risks and opportunities and if they are integrated with other internal functions.	
Strategy		
10	Climate-related risks and opportunities	
10 (a)	Climate-related risks and opportunities that could reasonably be expected to affect the entity's prospects.	Our Key Business, Sustainability and Climate-related Risks and Opportunities, pg. 68-72, IAR Advancing Environmental Responsibility and Sustainability, pg. 88-90, IAR
10 (b)	Explanation of identified climate-related risks to be a climate-related physical risk or climate-related transition risk.	Advancing Environmental Responsibility and Sustainability, pg. 88-90, IAR

IFRS CONTENT INDEX

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IFRS S2	Theme	Reference
10 (c)	Specify time horizons-short, medium and long-term for each climate-related risk and opportunity the entity has identified and the effects of each climate-related risks and opportunities that could reasonably be expected.	Our Key Business, Sustainability and Climate-related Risks and Opportunities, pg. 68, IAR Advancing Environmental Responsibility and Sustainability, pg. 87-90, IAR
10 (d)	Definition of 'short term', 'medium term' and 'long term' and the linkage to the planning horizons used by the entity for strategic decision-making.	Inside this Report, pg. 3, IAR
13	Business Model and Value Chain	
13 (a)	Description(s) of the current and anticipated effects of climate-related risks and opportunities on the entity's business model and value chain.	Our Key Business, Sustainability and Climate-related Risks and Opportunities, pg. 68, IAR Advancing Environmental Responsibility and Sustainability, pg. 87-90, IAR
13 (b)	Description(s) on where the climate-related risks and opportunities are concentrated in the business model and value chain.	Our Key Business, Sustainability and Climate-related Risks and Opportunities, pg. 68, IAR Advancing Environmental Responsibility and Sustainability, pg. 87-90, IAR
14	Strategy and decision-making	
14 (a) (i)	Current and anticipated changes to the entity's business model, including its resource allocation, to address climate-related risks and opportunities.	Key Market Trends and Strategic Responses, pg. 54-55, IAR Advancing Environmental Responsibility and Sustainability, pg. 87-90, IAR
14 (a) (ii) (iii)	Current and anticipated direct and indirect mitigation and adaptation efforts.	Our Key Business, Sustainability and Climate-related Risks and Opportunities, Strengthening Resilience, pg. 68, IAR Advancing Environmental Responsibility and Sustainability, pg. 88-95, IAR
14 (a) (iv)	Describe any climate-related transition plan, including information about key assumptions used in developing its transition plan, and dependencies on which the entity's transition plan relies.	Advancing Environmental Responsibility and Sustainability, pg. 97, IAR
14 (a) (v)	Describe plans to achieve any climate-related targets, including any greenhouse gas emissions targets.	Advancing Environmental Responsibility and Sustainability, pg. 97, 99-100, IAR
14 (b)	Describe how the entity resources and plans to resource the climate-related initiatives as listed under 14(a).	Management Discussion & Analysis, pg. 41-42, IAR Advancing Environmental Responsibility and Sustainability, pg. 87-90, IAR
16	Financial position, financial performance and cash flows	
16 (a)	Impact of climate-related risks and opportunities on financial position, financial performance and cash flows for the reporting period.	Advancing Environmental Responsibility and Sustainability, pg. 89-93, IAR
16 (c) (i)	Investment and disposal plans.	Management Discussion & Analysis, pg. 44, IAR

IFRS CONTENT INDEX

Cont'd

IFRS S2	Theme	Reference
16 (c) (ii)	Anticipated changes to financial position considering funding sources to implement its strategy.	Chairman’s Statement, pg. 22, IAR Advancing Environmental Responsibility and Sustainability, pg. 91-93, IAR
17	Disclose quantitative information as either a single value or a defined range.	Advancing Environmental Responsibility and Sustainability, pg. 91-93, IAR
22	Climate resilience	
22 (a) (i)	The implications, if any, of the assessment for the entity's strategy and business model, including the response to the effects identified in the climate- related scenario analysis.	Advancing Environmental Responsibility and Sustainability, pg. 87-90, IAR
22 (b) (i)	Climate-related scenario analysis	
22 (b) (i) (1)	The climate-related scenarios used for the analysis and the sources of those scenarios.	Advancing Environmental Responsibility and Sustainability, pg. 88-90, IAR
22 (b) (i) (2)	If the analysis included a diverse range of climate-related scenarios.	
22 (b) (i) (3)	If the climate-related scenarios used for the analysis are associated with climate-related transition risks or climate-related physical risks.	
22 (b) (i) (4)	If the climate-related scenarios are aligned with the latest international agreement on climate change.	
22 (b) (i) (6)	The time horizons used in the analysis.	
22 (b) (i) (7)	The scope of operations in the analysis.	
Risk Management		
25	The processes and related policies the entity uses to identify, assess, prioritise and monitor climate-related risks	
25 (a) (i)	The inputs and parameters the entity uses.	Our Key Business, Sustainability and Climate-related Risks and Opportunities, pg. 73-75, IAR Advancing Environmental Responsibility and Sustainability, pg. 88-90
25 (a) (ii)	If climate-related scenario analysis is used to inform the identification of climate-related risks.	
25 (a) (iii)	The assessment of the nature, likelihood and magnitude of the effects of those risks.	
25 (a) (iv)	The prioritisation of climate-related risks relative to other types of risks.	
25 (a) (v)	The approach to monitoring climate-related risks.	

IFRS CONTENT INDEX

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IFRS S2	Theme	Reference
25 (b)	The processes used to identify, assess, prioritise and monitor climate-related opportunities, including information about whether and how the entity uses climate-related scenario analysis to inform its identification of climate-related opportunities.	Our Key Business, Sustainability and Climate-related Risks and Opportunities, pg. 68, 73-75, IAR
25 (c)	The extent to which, and how, the processes for identifying, assessing, prioritising and monitoring climate-related risks and opportunities are integrated into and inform the entity’s overall risk management process.	
Metrics and Targets		
29	Information relevant to the cross-industry metric categories	
29 (a)	GHG emissions	
29 (a) (i) (1) (2) (3)	Disclose the absolute gross greenhouse gas emissions generated during the reporting period, expressed as metric tonnes of CO2 equivalent (Scope 1, 2 & 3).	Advancing Environmental Responsibility and Sustainability, pg. 95-96, IAR
29 (a) (ii)	Measurement of greenhouse gas emissions in accordance with the Greenhouse Gas Protocol.	
29 (a) (iii) (1)	Disclose the measurement approach, inputs and assumptions the entity uses to measure its greenhouse gas emissions.	
29 (a) (iii) (3)	Any changes the entity made to the measurement approach, inputs and assumptions during the reporting period and reasons for those changes.	
29 (a) (iv)	For Scope 1 and Scope 2: the consolidated accounting group.	
29 (a) (v)	Disclosure of location-based Scope 2 greenhouse gas emissions.	
29 (a) (vi) (1)	Disclose the categories of Scope 3 greenhouse gas emissions measured by the entity, in accordance with the Scope 3 categories described in the Greenhouse Gas Protocol Corporate Value Chain (Scope 3) Accounting and Reporting Standard (2011).	
33	The targets the entity has set to monitor progress towards achieving its strategic goals and any targets it is required to meet by law or regulation.	

IFRS CONTENT INDEX

Cont'd

IFRS S2	Theme	Reference
33 (a)	The metric used to set the target.	Advancing Environmental Responsibility and Sustainability, pg. 99-100, IAR
33 (b)	The objective of the target.	
33 (c)	The scope and boundary of the target.	
33 (d)	The period over which the target applies.	
33 (e)	The base period from which progress is measured.	
33 (f)	Any milestones and interim targets.	
33 (g)	If the target is quantitative, whether it is an absolute target or an intensity target.	
33 (h)	If the latest international agreement on climate change, including jurisdictional commitments that arise from that agreement, has informed the target.	
34 (a) (b) (c) (d)	Disclose information about the entity's approach in setting and reviewing each target and how it monitors progress against each target.	
36 (a) (b)	Disclose information on the types of GHG emissions covered by the target and whether the target covered Scope 1, Scope 2 and Scope 3 GHG emissions.	Advancing Environmental Responsibility and Sustainability, pg. 93, IAR
36(e)	Plan on the use of carbon credits to offset GHG emissions, including: • How much target relies on carbon credits and how they are used • Which third-party schemes will verify or certify the credits • The type of credit (nature-based or technology-based) and whether the offset involves emissions reduction or removal • Any other details needed to help users understand the credibility and integrity of the carbon credits the entity plans to use	

BOARD OF DIRECTORS' PROFILE (GROUP PHOTO)

1 Leong Sau Chan

2 Lee Lay Liang

3 Ho Tat Heng

4 Ting Seng Hook @
Ting Seng Hee

5 Nirmalah A/P V.thurai

6 Lee Yan Zhong

7 Serina Binti Abdul Samad

8 Dato' Abdul Latif Bin
Abu Seman

9 Dato' Chua Tia Guan

10 Lee Thiam Wah

11 Ng Lee Tieng



BOARD OF DIRECTORS' PROFILE (GROUP PHOTO)

Cont'd



BOARD OF DIRECTORS' PROFILE



DATO' CHUA TIA GUAN

Non-Independent Non-Executive Chairman
Malaysian | Aged 57 | Male

Date of Appointment
28 November 2023

Academic/Professional Qualifications

- Bachelor of Accounting (Hons) from the University of Malaya
- Chartered Accountant of Malaysian Institute of Accountants (MIA)
- Certified Public Accountant of The Malaysian Institute of Certified Public Accountants (MICPA)
- Associate of Chartered Tax Institute of Malaysia (CTIM)
- Approved Income Tax Agent licensed by Ministry of Finance

Present Appointments

- Non-Independent Non-Executive Chairman of the Company
- Chairman of the Executive Committee of Newscape Capital Sdn Bhd which operates Burger King Malaysia and Singapore
- Co-founder and Head of Tax & Financial Consulting of Asia Business Centre Group
- Director/Partner in several private limited companies and limited liability partnership
- Member/Co-chair in various government committees (PEMUDAH, Taxation & SST)
- Non-Independent Non-Executive Chairman of Kossan Rubber Industries Berhad

Working Experiences/Past Directorships

- Senior positions in two (2) international accounting firms
- Independent Non-Executive Chairman of Success Transformer Corporation Berhad
- Member of Tax Reform Committee of Ministry of Finance
- Board Member of Secretariat for the Advancement of Malaysian Entrepreneurs (SAME) of Prime Minister's Department
- Head of Economic Survey Unit of the Associated Chinese Chambers of Commerce and Industry of Malaysia (ACCCIM)



LEE THIAM WAH

Executive Director and Chief Executive Officer
Malaysian | Aged 61 | Male

Date of Appointment
15 May 2023

Academic/Professional Qualifications

- Executive Master of Business Administration from Southern University College

Present Appointments

- Founder, Executive Director & Chief Executive Officer of the Group
- Member of the Risk Management Committee
- Director of Malaysian subsidiaries of the Group
- Director of several private limited companies
- Honorary President of the Associated Chinese Chambers of Commerce and Industry of Malaysia (ACCCIM)

Working Experiences/Past Awards

- Over 38 years of retail experience, from sole proprietorship (Pasar Raya Hiap Hoe) and franchising (Pasar Mini 99) to building Malaysia's largest mini-market chains (99 Speedmart)
- Awarded Business Excellence Person of The Year 2024 by Sin Chew Daily, EY Entrepreneur of the Year 2015 by Ernst & Young, Outstanding Entrepreneur Award by the Chinese Chamber of Commerce & Industry Kuala Lumpur and Selangor in 2014 and Outstanding Entrepreneurship Award by Asia Pacific Enterprise Asia in 2014

Family Relationship with any Director(s) and/or Substantial Shareholders(s) of the Company

- Spouse of Madam Ng Lee Tieng
- Father of Mr Lee Yan Zhong
- Brother of Ms Lee Lay Liang
- Cousin of Ms Leong Sau Chan

BOARD OF DIRECTORS' PROFILE

Cont'd

**NG LEE TIENG**

Non-Independent Non-Executive Director
 Malaysian | Aged 46 | Female

Date of Appointment
 6 June 2023

Academic/Professional Qualifications

- Executive Master of Business Administration from Southern University College

Present Appointments

- Non-Independent Non-Executive Director of the Company
- Chief Executive Officer of Cosmo Restaurants Sdn Bhd, Burger King Singapore Pte Ltd and The Bakery Depot Pte Ltd
- Director of Malaysian subsidiaries of the Group
- Director of several private limited companies

Working Experiences

- With over 28 years of experience in the retail industry, overseeing functions ranging from purchasing and human resources to operations and business development across the Group's Malaysian subsidiaries

Family Relationship with any Director(s) and/or Substantial Shareholders(s) of the Company

- Spouse of Mr Lee Thiam Wah, who is a substantial shareholder of the Company
- Mother of Mr Lee Yan Zhong
- Sister-in-law of Ms Lee Lay Liang
- Cousin-in-law of Ms Leong Sau Chan

**LEE LAY LIANG**

Executive Director
 Malaysian | Aged 50 | Female

Date of Appointment
 28 November 2023

Academic/Professional Qualifications

- Executive Master of Business Administration from Southern University College

Present Appointments

- Executive Director and Director of Finance Department of the Group
- Director of Malaysian subsidiaries of the Group
- Director of several private limited companies

Working Experiences

- Over 31 years of retail experience, covering accounting and administrative aspects across the Group's Malaysian subsidiaries

Family Relationship with any Director(s) and/or Substantial Shareholders(s) of the Company

- Sister of Mr Lee Thiam Wah, who is a substantial shareholder of the Company
- Sister-in-law of Madam Ng Lee Tieng
- Aunt of Mr Lee Yan Zhong
- Cousin of Ms Leong Sau Chan

BOARD OF DIRECTORS' PROFILE

Cont'd



HO TAT HENG

Senior Independent Non-Executive Director
Malaysian | Aged 54 | Male

Date of Appointment
8 January 2024

Academic/Professional Qualifications

- Diploma in Commerce (Financial Accounting) with Distinction from Tunku Abdul Rahman College
- Fellow of Association of Chartered Certified Accountants (ACCA)

Present Appointments

- Senior Independent Non-Executive Director of the Company
- Chairperson of the Audit Committee of the Company
- Independent Non-Executive Director of JCY International Berhad
- Director of a private limited company
- Senior Independent Non-Executive Director of 1 Doc International Berhad

Working Experiences

- Bringing 20 years of experience at CIMB Investment Bank Berhad, advancing from Executive to Head and Managing Director of Corporate Finance
- Executive Director, ZJ Advisory Sdn Bhd



NIRMALAH A/P V.THURAI

Independent Non-Executive Director
Malaysian | Aged 69 | Female

Date of Appointment
8 January 2024

Academic/Professional Qualifications

- Bachelor of Arts (Honours) in Mass Communication from Universiti Sains Malaysia (1978)

Present Appointments

- Independent Non-Executive Director of the Company
- Chairperson of the Nomination & Remuneration Committee and Member of the Risk Management Committee of the Company
- Trainer at ECI HR Solutions Sdn Bhd
- Business Coach of Asia School of Business

Working Experiences

- Research Officer at Sahabat Alam Malaysia
- Lecturer at Universiti Teknologi MARA
- Over 39 years with Nestlé (Malaysia) Berhad and its affiliates, covering market research, marketing, country business management, group corporate affairs and corporate nutrition and consumer engagement

BOARD OF DIRECTORS' PROFILE

Cont'd

**SERINA BINTI ABDUL SAMAD**

Independent Non-Executive Director
 Malaysian | Aged 56 | Female

Date of Appointment
 8 January 2024

Academic/Professional Qualifications

- Bachelor of Laws (Hons) from Coventry University
- Masters in Counselling from HELP University

Present Appointments

- Independent Non-Executive Director of the Company
- Chairperson of the Risk Management Committee and Member of the Audit Committee of the Company
- Co-founder and Co-Deputy Managing Partner, Azmi & Associates (2000)
- Director of private limited company

Working Experiences/Past Directorships

- Called to the Bar of England and Wales and is a member of Lincoln's Inn, England
- An advocate and solicitor of the High Court of Malaya and member of the Malaysian Bar
- Legal Associate at KM Chye & Partners
- Legal Associate at Hisham, Sobri & Kadir
- Independent Director of Etiqa General Insurance Berhad
- Board Member of Universiti Teknologi Malaysia

**DATO' ABDUL LATIF BIN ABU SEMAN**

Independent Non-Executive Director
 Malaysian | Aged 64 | Male

Date of Appointment
 8 January 2024

Academic/Professional Qualifications

- Bachelor of Economics from the University of Malaya
- Master in Policy Analysis from Saitama University, Japan

Present Appointments

- Independent Non-Executive Director of the Company
- Member of the Audit Committee and Member of the Nomination & Remuneration Committee of the Company
- Council Member of Malaysia National Industry Excellence Award Council 2022-2026
- Asian Productivity Organization (APO) Technical Expert

Working Experiences

- Bringing 39 years of experience with Malaysia Productivity Corporation at the national level and across all states in Malaysia including Sabah & Sarawak encompassing areas in management development, policy research, benchmarking and best practices, productivity & quality promotions and joint ventures, doing business and regulatory reforms, progressing from Consultant to Director General
- Productivity and Quality Improvement resource person deputed to Commonwealth, OECD, ASEAN and APO members countries

BOARD OF DIRECTORS' PROFILE

Cont'd



TING SENG HOOK @ TING SENG HEE

Independent Non-Executive Director
Malaysian | Aged 64 | Male

Date of Appointment
14 March 2024

Academic/Professional Qualifications

- Graduate Diploma in Marketing of The Chartered Institute of Marketing (CIM) UK
- Member of The Chartered Institute of Marketing (CIM) UK

Present Appointments

- Independent Non-Executive Director of the Company
- Member of the Risk Management Committee and Member of the Nomination & Remuneration Committee of the Company
- Personal Business Management Coaching Services
- Director of a private limited company

Working Experiences

- Spanning 28 years with A. Clouet (Malaysia) Sdn Bhd, rising from Sales Executive to Group Chief Executive Officer, managing sales, budgeting and business operations in Malaysia, Vietnam, Singapore, Australia, Indonesia and Brunei



LEE YAN ZHONG

Alternate Director to Mr Lee Thiam Wah
Malaysian | Aged 25 | Male

Date of Appointment
28 November 2023

Academic/Professional Qualifications

- Bachelor of Science in Philosophy, Politics and Economics from King's College London

Present Appointments

- Alternate Director to Mr Lee Thiam Wah, the Chief Executive Officer of the Group
- Optimisation & Sustainability Officer of the Group
- Director of several private limited companies

Family Relationship with any Director(s) and/or Substantial Shareholders(s) of the Company

- Son of Mr Lee Thiam Wah, who is a substantial shareholder of the Company
- Son of Madam Ng Lee Tieng
- Nephew of Ms Lee Lay Liang

BOARD OF DIRECTORS' PROFILE

Cont'd

**LEONG SAU CHAN**

Alternate Director to Ms Lee Lay Liang
Malaysian | Aged 48 | Female

Date of Appointment
28 November 2023

Academic/Professional Qualifications

- Bachelor of Arts in International Business Administration from University of Northumbria

Present Appointments

- Alternate Director to Ms Lee Lay Liang, the Executive Director of the Group
- Director of Business Development Department of the Group
- Director of a Malaysian subsidiary of the Group
- Director of several private limited companies

Working Experiences

- Over 25 years of retail experience, covering outlet setup and daily operations, administration, outlet expansion and licensing, as well as property and trademark acquisitions across the Group's Malaysian subsidiaries

Family Relationship with any Director(s) and/or Substantial Shareholders(s) of the Company

- Cousin of Mr Lee Thiam Wah, who is a substantial shareholder of the Company
- Cousin of Ms Lee Lay Liang
- Cousin-in-law of Madam Ng Lee Tieng

Notes:-

1. The details of Board Committees held by the Directors and the number of board meetings attended by them are disclosed in the Corporate Governance Overview Statement.
2. Save as disclosed, none of the Directors have:-
 - Any other directorship in public companies and listed issuers;
 - Any family relationship with any Director and/or major shareholder;
 - Any convictions for offences within the past five (5) years other than traffic offences, if any; and
 - Any public sanction or penalty imposed by the relevant regulatory bodies during the financial year under review.
3. Save as disclosed below, none of the Directors have any conflict of interest or potential conflict of interest, including interest in any competing business, with the Group:-
 - (i) Dato' Chua Tia Guan is a Chairman of the Executive Committee of Newscape Capital Sdn Bhd, which is the ultimate holding company of Cosmo Restaurants Sdn Bhd and Burger King Singapore Pte Ltd, the holding company of the Burger King franchise in Malaysia and Singapore respectively.
 - (ii) Dato' Chua Tia Guan has direct interest in Asia Business Centre Sdn Bhd, Asia Business Advisory Sdn Bhd, Asia Business Wealth Management Sdn Bhd, Forum Motivasi PLT and Velodrom Harmoni PLT, the firms that provide tax and other related advisory services to the Group. He will maintain strict independence and avoid any involvement in matters involving Asia Business Centre Group and the Group.
 - (iii) Mr Lee Thiam Wah, Madam Ng Lee Tieng, Ms Lee Lay Liang, Mr Lee Yan Zhong and Ms Leong Sau Chan are interested in various Recurrent Recurrent Related Party Transactions which are carried out in the ordinary course of business as disclosed in the Circular to shareholders in relation to the Proposed Renewal Shareholders' Mandate for Recurrent Related Party Transactions of a Revenue or Trading Nature ("Circular of RRPT") where the annual mandate is to be sought.

KEY SENIOR MANAGEMENT'S PROFILE



LEE THIAM WAH

Executive Director and Chief Executive Officer
Malaysian | Aged 61 | Male

Appointment Date to Current Position

15 May 2023

The profile of Mr Lee Thiam Wah is set out on page 122 of this Integrated Annual Report.



LEE LAY LIANG

Executive Director
Malaysian | Aged 50 | Female

Appointment Date to Current Position

1 January 2024

The profile of Ms Lee Lay Liang is set out on page 123 of this Integrated Annual Report.



LEONG SAU CHAN

Alternate Director to Ms Lee Lay Liang
Malaysian | Aged 48 | Female

Appointment Date to Current Position

1 January 2024

The profile of Ms Leong Sau Chan is set out on page 127 of this Integrated Annual Report.

KEY SENIOR MANAGEMENT'S PROFILE

Cont'd



YONG ENG KWANG
Chief Operating Officer
 Malaysian | Aged 40 | Male

Appointment Date to Current Position

1 January 2024

Academic/Professional Qualifications

- Master of Management (Distinction) from Open University Malaysia
- Member of Malaysian Institute of Management

Present Appointment

- Chief Operating Officer of the Group

Working Experiences

- Over 19 years of managerial and leadership experience with the Group in the retail industry, spearheading daily operations, manpower planning and recruitment, talent development, industrial relations, government and regulatory affairs, public relations, customer experience and operational risk management.



ONG YEE PENG
Chief Financial Officer
 Malaysian | Aged 35 | Female

Appointment Date to Current Position

1 January 2024

Academic/Professional Qualifications

- Bachelor of Business, double major in International Business and Accounting from Edith Cowan University
- Fellow of Association of Chartered Certified Accountants (ACCA)
- Member of Malaysian Institute of Accountants (MIA)

Present Appointment

- Chief Financial Officer of the Group

Working Experiences

- Audit Assistant Manager at Crowe Horwath Malaysia
- Corporate Specialist Assistant Manager at Paul Hype Page Consulting Pte Ltd, Singapore
- Assistant Finance Manager at Golden Screen Cinemas Sdn Bhd, Cinead Sdn Bhd and Glitters Café Sdn Bhd
- Assistant Finance Manager at Mac Food Services (M) Sdn Bhd
- Audit Manager at Crowe Malaysia PLT
- Accountant at 99 Speed Mart Sdn Bhd
- Over 13 years of experience in auditing and accounting

KEY SENIOR MANAGEMENT'S PROFILE

Cont'd



FOO MENG KEET

General Manager of East Malaysia Operations
Malaysian | Aged 45 | Male

Appointment Date to Current Position

1 January 2024

Academic/Professional Qualifications

- Bachelor of Food Science and Technology from Universiti Putra Malaysia
- Master of Business Administration from Universiti Utara Malaysia

Present Appointment

- General Manager of East Malaysia Operations of the Group

Working Experiences

- Quality Assurance Executive at Soon Soon Oilmills Sdn Bhd
- Spanning about 18 years with Nestle Products Sdn Bhd, engaging with sales, marketing and distribution
- Over 21 years of experience in the fast-moving consumer goods (FMCG) retail industry



YONG KIN ONN

Director of Management Information System
Malaysian | Aged 68 | Male

Appointment Date to Current Position

1 January 2024

Academic/Professional Qualifications

- Bachelor of Science from University of Guelph

Present Appointment

- Director of Management Information System Department of the Group

Working Experiences

- Programmer at Information Systems Research Sdn Bhd
- Freelance programmer
- Software Manager at Information Systems Research Sdn Bhd
- Software Manager at Spektrum Imej (M) Sdn Bhd
- Management Information System Assistant General Manager at The Store Corporation Berhad
- Over 39 years of experience in the IT industry

KEY SENIOR MANAGEMENT'S PROFILE

Cont'd

**MAK POOI HIN**

General Manager of Account
 Malaysian | Aged 61 | Male

Appointment Date to Current Position

1 January 2024

Academic/Professional Qualifications

- Bachelor of Business Administration from National Chengchi University

Present Appointment

- General Manager of Account Department of the Group

Working Experiences

- Assistant Account Manager at Chunghwa Picture Tubes Sdn Bhd
- Account Officer at The Store Corporation Berhad, Able Steel Pipes Sdn Bhd and Care Coils Sdn Bhd
- Over 36 years of experience in accounting

**CHIA YONG CHERNG**

Director of Distribution Centre
 Malaysian | Aged 47 | Male

Appointment Date to Current Position

1 January 2024

Academic/Professional Qualifications

- Bachelor of Arts in International Business Administration from University of Northumbria

Present Appointment

- Director of Distribution Centre Department of the Group

Working Experiences

- Over 16 years of retail experience, covering distribution centres daily operations, logistics planning of distributions from Distribution Centres to outlets, manpower planning and recruitment, talent development initiatives, rising from Branch Leader to Director of Distribution Centre Department of the Group

KEY SENIOR MANAGEMENT'S PROFILE

Cont'd



MOHD MAHRUS BIN MOHD FAIZAIL

Senior Manager of Branch Administration
Malaysian | Aged 39 | Male

Appointment Date to Current Position

1 January 2024

Academic/Professional Qualifications

- Bachelor of Applied Arts with Honours from Universiti Malaysia Sarawak

Present Appointment

- Senior Manager of Branch Administration of the Group

Working Experiences

- Administrative Officer at Fiverules Dynamic Sdn Bhd
- Over 14 years of experience in the retail industry, encompassing outlets daily operations, customer services, government affairs, rising from Assistant Branch Manager to Senior Manager of Branch Administration of the Group



TEE TIAN HOCK

Senior Manager of Project Department
Malaysian | Aged 51 | Male

Appointment Date to Current Position

1 January 2024

Academic/Professional Qualifications

- Executive Master of Business Administration from Southern University College

Present Appointments

- Senior Manager of Project Department of the Group
- Legal Representative and Executive Director of China subsidiaries of the Group

Working Experiences

- Supervisor at Jastar Food Industries Sdn Bhd/Linaco Food Industries Sdn Bhd
- Retails Development and Technical Supervisor at 99 Speed Mart Sdn Bhd
- Director of Star Pisces Café Sdn Bhd
- Maintenance and Equipment Executive to Project Manager at 99 Speed Mart Sdn Bhd
- Over 28 years of experience in the retail industry

Other information in respect to the Key Senior Management ("KSM"):

1. Save for Mr Lee Thiam Wah, Ms Lee Lay Liang and Ms Leong Sau Chan, none of the other KSM have any family relationships with any Director and/or major shareholder of the Company.
2. Saved as disclosed, none of the other KSM has any conflict of interest or potential conflict of interest, including interest in any competing business, with the Group:-
 - (i) Ms Leong Sau Chan, Mr Yong Eng Kwang, Mr Yong Kin Onn and Mr Mak Pooi Hin have equity ownership in J&C Pacific Sdn Bhd.
 - (ii) Ms Lee Lay Liang, Mr Chia Yong Chong and Mr Tee Tian Hock have equity ownership in both J&C Pacific Sdn Bhd and Radiant Globaltech Berhad, the holding company of Arms Software International Sdn Bhd, Radiant Global Solutions Sdn Bhd, Radiant Global ADC Sdn Bhd and World Pos Sdn Bhd.
3. None of the KSM have any conviction for offences within the past five (5) years (other than traffic offences, if any) or have any public sanction or penalty imposed on them by any regulatory bodies during the financial year under review.
4. Save for Mr Lee Thiam Wah, Ms Lee Lay Liang and Ms Leong Sau Chan, none of the KSM have any directorship in listed or non-listed public companies.

CORPORATE GOVERNANCE OVERVIEW STATEMENT

INTRODUCTION

The Board of Directors (“**the Board**”) of 99 Speed Mart Retail Holdings Berhad (“**99 Speedmart**” or “**the Company**”) are committed to achieving and sustaining a high standard of corporate governance within the Company and its subsidiaries (“**the Group**”) with the ultimate objective of enhancing business integrity, accountability and transparency while maintaining effective oversight of management, investors’ confidence as well as delivering long-term shareholder value while taking into account the interest of other stakeholders.

The Board is pleased to set out the Corporate Governance Overview Statement (“**CGOS**”) with an overview of the Company’s corporate governance practices during the financial year under review with reference to the following three (3) key principles outlined in the Malaysian Code on Corporate Governance 2021 (“**MCCG**”):-

Principle A

Board Leadership
& Effectiveness

Principle B

Effective Audit
& Risk Management

Principle C

Integrity in Corporate Reporting
& Meaningful Relationship
with Stakeholders

This statement is prepared in compliance with Paragraph 15.25 of the Main Market Listing Requirements (“**MMLR**”) of Bursa Malaysia Securities Berhad (“**Bursa Securities**”) and it is to be read together with the Corporate Governance Report (“**CG Report**”) which is made available on the Company’s website at www.99speedmart.com.my as well as via an announcement on the website of Bursa Securities. The CG Report provides the detailed explanation of the Company’s application of the practices as set out in the MCCG during the financial year under review.

PRINCIPLE A – BOARD LEADERSHIP AND EFFECTIVENESS

Part I: Board Responsibilities

1. Roles and responsibilities

The Board is accountable to the shareholders and holds ultimate responsibility for overseeing the Group’s performance and affairs. Significantly, the Board also ensures that the business objectives of the Group are aligned with the expectations of the shareholders with the aim of enhancing long-term shareholders’ value whilst considering the interests of other stakeholders.

Additionally, the Board is responsible for ensuring that the Group’s operations are effectively managed in a manner that is aligned with these business objectives, complies with regulatory and ethical standards and upholds high standards of transparency, accountability and governance.

The Directors are cognisant of their duty to act in good faith, exercise reasonable care, skill and diligence and act in the best interests of the Group and its stakeholders. In discharging its duties and responsibilities effectively, the Board adheres to the Board Charter and Limits of Authority Manual which outlines the duties and responsibilities of the Board, as well as matters that the Board may delegate to the Board Committees, the Chief Executive Officer (“**CEO**”) and Management. The Board Charter of the Company is consistent with the practices set out in the MCCG. The Board Charter may be reviewed and updated from time to time to ensure it remains relevant and is consistent with the provisions of the applicable rules and regulations.

The roles and responsibilities of the Board are set out in the Board Charter, which is available on the Company’s website at www.99speedmart.com.my.

CORPORATE GOVERNANCE OVERVIEW STATEMENT

Cont'd

PRINCIPLE A – BOARD LEADERSHIP AND EFFECTIVENESS *cont'd*

Part I: Board Responsibilities *cont'd*

2. Separation of positions of the Chairman and Chief Executive Officer

There is a clear division of responsibilities between the Chairman and CEO cum Executive Director for ensuring there is a balance of power and authority to promote accountability and unfettered powers in decision making in the Company.

The Board is led by a Non-Independent Non-Executive Chairman, Dato' Chua Tia Guan. He is responsible for the effective functioning of the Board and implementation of the Board's policies and decisions. Meanwhile, the CEO cum Executive Director, Mr Lee Thiam Wah, is responsible for ensuring the effective implementation of the Group's business plan and policies established by the Board, as well as managing the daily conduct of the business and affairs to ensure its smooth operation.

The separation of the roles of the Chairman and CEO ensures an appropriate balance of power and authority, preventing the undue concentration of decision-making in any one (1) individual. The details of the responsibilities of the Chairman and CEO are clearly set out in the Board Charter.

The Board maintains the perspective that the Chairman should not be involved in any Board Committees to preserve checks and balances and maintain objectivity. The Chairman's participation in Board Committees could lead to potential conflicts of interest, including the risk of self-review, which may compromise the Chairman's objectivity. As such, the Chairman of the Board does not serve as a member of any Board Committee, in accordance with the MCCG.

3. Supply of and Access to Information

All Directors have full and unrestricted access to all information within the Group whether as a full board or in their individual capacity, in furtherance of their duties and responsibilities as Directors of the Company.

The full Board or in their individual capacity, in furtherance of their duties, shall be able to obtain independent professional or other advice at the Company's expenses through an agreed procedure laid down formally.

The Board meets on a scheduled basis, at least four (4) times a year to oversee and monitor the development of the Group. Additional meetings will be held on ad hoc basis to deliberate on matters requiring its immediate attention. Meeting materials are uploaded electronically into a digital platform prior to the meetings, which allows Board papers and other information to be securely and remotely accessible by all Directors in a timely manner.

Key Senior Management ("KSM") may be invited to attend the Board meetings to present and provide detailed presentation and clarification of relevant agenda items to enable the Board to arrive at a decision.

4. Sustainability Management

The Board together with the Management fully acknowledge its collective responsibility to promote and integrate sustainability across a broad spectrum of critical areas. This includes ensuring the well-being of employees and stakeholders through robust health and safety practices, minimising the Group's environmental impact and upholding high standards of social responsibility and governance. By prioritising these areas, the Board and the Management strive to create long-term value while ensuring the sustainable growth and ethical integrity of the Company. Further information on the Company's approach towards sustainability is provided in the Sustainability Statement on page 48 to page 119 of this Integrated Annual Report.

CORPORATE GOVERNANCE OVERVIEW STATEMENT

Cont'd

PRINCIPLE A – BOARD LEADERSHIP AND EFFECTIVENESS *cont'd*

Part I: Board Responsibilities *cont'd*

5. Company Secretaries

The Board is supported by two (2) suitably qualified, competent and capable Company Secretaries who play a vital role in advising the Board on matters relating to the Company's Constitution, Board policies and procedures and compliance with the relevant regulatory requirements, codes or guidance and legislations to ensure the Board effectively applies corporate governance practices in alignment with stakeholders' expectations. The Directors have unrestricted access to the advice and services of the Company Secretaries to enable them to discharge their duties effectively and the Board's procedures are adhered to at all times.

The Board is also regularly updated and kept informed of the latest developments in the legislation and regulatory framework affecting the Group and advised on the proposed content and timing of material announcements to be made to regulatory authorities.

The Company Secretaries attended all Board and Board Committee meetings and are responsible for ensuring the meeting procedures are followed including disseminating complete and accurate meeting materials in a timely manner to allow Board members to have sufficient time to review the relevant documents prior to meetings. The Company Secretaries also facilitate the communication of key decisions and policies between the Board, Board Committees and Management.

The information of the Company Secretaries' qualification can be found in Corporate Information of this Integrated Annual Report.

6. Board Charter

The Board Charter is a primary document, which serves as a structured guide on matters pertaining to the Board's operations, taking into consideration all applicable laws, rules and regulations as well as best practises. The Board Charter is designed to provide guidance and clarity to both Directors and Management regarding the roles of the Boards and its Board Committees, the requirements of Directors in fulfilling their stewardship role and the Board's operating practices. It also serves as a reference for Board activities.

The Board will review and update the Board Charter from time to time to reflect the changes to the Company's policies and procedures to ensure the Board Charter remains consistent with the Board's objectives, current laws and practices. The Board Charter was adopted on 15 February 2024 and is available on the Company's website at www.99speedmart.com.my.

The Board has also put in place the following policies:

Code of Conduct and Business Ethics

The Group had developed a Code of Conduct and Business Ethics for all the Directors and employees to ensure that the Directors, employees and business partners adhere to the Group's commitment to the highest ethical standards and law in day-to-day business operation. The Code of Conduct and Business Ethics is available on the Company's website at www.99speedmart.com.my.

Whistleblowing Policy

The Whistleblowing Policy was developed by the Group and administered by Audit Committee ("AC"). The Group undertakes to provide an avenue for both internal and external parties including employees, business associates or members of the public to voice their grievances and raise their concerns of any unlawful, unethical situation or suspected misconduct directly to the AC, on a dedicated channel of reporting as set out in the Whistleblowing Policy.

The Company's Whistleblowing Policy which can be viewed in detail at the Company's website at www.99speedmart.com.my.

CORPORATE GOVERNANCE OVERVIEW STATEMENT

Cont'd

PRINCIPLE A – BOARD LEADERSHIP AND EFFECTIVENESS *cont'd*

Part I: Board Responsibilities *cont'd*

6. Board Charter *cont'd*

Anti-Bribery & Anti-Corruption Policy (“ABAC Policy”)

In compliance with the Section 17A of the Malaysian Anti-Corruption Commission Act 2009 (“**MACCA**”) and guided by the principles of the Ministerial Guidelines on Adequate Procedures pursuant to Section 17A(5) of the MACCA and Paragraph 15.29 of the MMLR of Bursa Securities in relation to anti-bribery, the Board had adopted an ABAC Policy as a guideline to all the Directors, employees and business associates of the Group in relation to the Group’s core values and expectations, as well as policies and procedures in dealing with bribery and corruption matters, which is available on the Company’s website, www.99speedmart.com.my.

The Board has adopted a zero-tolerance approach against all form of bribery and corruption and takes a strong stance against such acts.

Fit and Proper Policy

In complying with Paragraph 15.01A of the MMLR of Bursa Securities, the Board has adopted a Directors’ Fit and Proper Policy which sets out the approach, guidelines and procedures that ensure a formal, rigorous and transparent process is adhered to for the appointment and re-election of the Directors of the Group. The said policy is available on the Company’s website, www.99speedmart.com.my.

Conflict of Interest Policy

The Board acknowledges that effective management of Conflict of Interest (“**COI**”) is critical to safeguarding the Group against risks that may affect its operations and reputation. To support this, the Board has implemented a COI Policy that sets out the disclosure obligations for Directors, KSM, employees involved in decision-making, as well as suppliers, vendors and business associates who engage with the Group. The Policy provides guidance on addressing situations involving actual, potential or perceived COI as and when they arise. It aims to ensure that such conflicts are identified promptly and managed in a transparent and effective manner. The said policy is available on the Company’s website, www.99speedmart.com.my.

Part II: Board Composition

1. Board Size, Composition and Diversity

During the financial year under review, the Board consists of nine (9) members comprising one (1) Non-Independent Non-Executive Chairman, two (2) Executive Directors, one (1) Non-Independent Non-Executive Director, one (1) Senior independent Non-Executive Director and four (4) Independent Non-Executive Directors, along with two (2) Alternate Directors to Executive Directors, as follows:

Name	Designation and Directorate	Gender
Dato’ Chua Tia Guan	Non-Independent Non-Executive Chairman	Male
Lee Thiam Wah	Executive Director and CEO	Male
Ng Lee Tieng	Non-Independent Non-Executive Director	Female
Lee Lay Liang	Executive Director	Female
Ho Tat Heng	Senior Independent Non-Executive Director	Male
Nirmalah A/P V.Thurai	Independent Non-Executive Director	Female
Serina Binti Abdul Samad	Independent Non-Executive Director	Female
Dato’ Abdul Latif Bin Abu Seman	Independent Non-Executive Director	Male
Ting Seng Hook @ Ting Seng Hee	Independent Non-Executive Director	Male
Lee Yan Zhong	Alternate Director to Lee Thiam Wah	Male
Leong Sau Chan	Alternate Director to Lee Lay Liang	Female

CORPORATE GOVERNANCE OVERVIEW STATEMENT

Cont'd

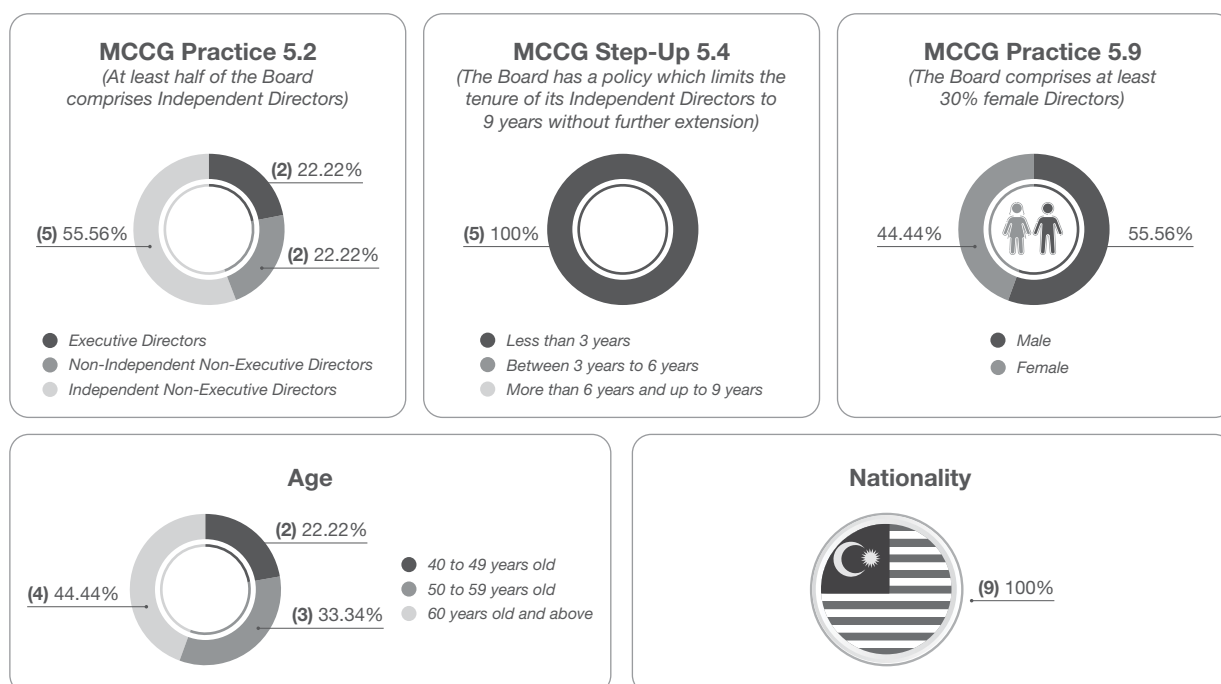
PRINCIPLE A – BOARD LEADERSHIP AND EFFECTIVENESS *cont'd*

Part II: Board Composition *cont'd*

1. Board Size, Composition and Diversity *cont'd*

The Board's composition complies with Paragraph 15.02(1) of the MMLR of Bursa Securities, which requires at least two (2) directors or one-third (1/3) of the Board, whichever is higher, to be independent. This is also consistent with Practice 5.2 of the MCCG that recommended the Company, as a Large Company, to have a Board comprised of a majority of independent members. This composition facilitates an effective and impartial check and balance mechanism on the Board's deliberations and decision-making processes. The wide spectrum of knowledge, skills and experience of the Board members strengthen the leadership necessary for the stewardship of the Group. The profiles of each Director are presented on page 122 to page 127 of this Integrated Annual Report.

The summary of the Board composition as of 31 December 2025 is set out as below:-



The Board acknowledges the importance of board diversity and has adopted a Diversity Policy that outlines its commitment to fostering diversity in the composition of both the Board and senior management. The Company recognises that a diverse Board and senior management shall possess a balance of experience, cultural backgrounds, age, gender, perspectives, competencies, knowledge and skills.

The Board embraces that a wide range of perspectives is critical to maintaining effective corporate governance and strategic decision-making in the fast-changing business environment. The Board is also committed to supporting the work of the Group to look for new and innovative ways to promote a diverse and inclusive workforce at every level of the organisation.

CORPORATE GOVERNANCE OVERVIEW STATEMENT

Cont'd

PRINCIPLE A – BOARD LEADERSHIP AND EFFECTIVENESS *cont'd*

Part II: Board Composition *cont'd*

2. Independent Non-Executive Directors

The Board recognises the importance of maintaining independence and objectivity in the decision-making process. The Independent Non-Executive Directors are independent from management and are free from any business or other relationship with the Company that could potentially influence or compromise the exercise of their independent judgement. This independence plays a vital role in providing effective checks and balances in the Board's operations, ensuring that all matters are evaluated with fairness, balance and impartiality, ultimately safeguarding the long-term interests of the Company.

The presence of Independent Non-Executive Directors safeguards the interest of the stakeholders in ensuring that the highest standard of conduct and integrity are maintained. Their role is to ensure that any decision of the Board is deliberated fully and objectively with regards to the long-term interest of all stakeholders.

During the financial year under review, the Board via the Nomination and Remuneration Committee ("NRC") assessed the independence of its Independent Non-Executive Directors and reaffirmed their independence in accordance with the criteria of Independent Non-Executive Directors as provided in the MMLR of Bursa Securities.

As at the date of issuance of this Integrated Annual Report, none of the Independent Non-Executive Directors had served the Company for a cumulative term of nine (9) years. Notwithstanding that, the Board acknowledges the recommendation of the MCCG and the same as stated in the Board Charter that the tenure of an independent director should not exceed a cumulative term of nine (9) years. Upon completion of nine (9) years tenure, the Independent Director may continue to serve on the Board subject to the Director's re-designation as a Non-Independent Director.

As the Senior Independent Non-Executive Director, Mr Ho Tat Heng, who also serves as the Chairman of the Audit Committee, acts as a key liaison between the Independent Directors and the Chairman on matters that may be considered sensitive. He is available for confidential discussions with Non-Executive Directors who may have concerns that they believe have not been fully considered by the Board. In addition, he provides an alternative channel of communication for shareholders and other stakeholders to raise concerns or issues, ensuring that such matters are appropriately conveyed to the relevant parties for consideration.

3. Directors' Commitment

The Directors are to devote sufficient time and effort to carry out their responsibilities. In accordance with the Board Charter, it is the duty for the Directors to notify the Chairman before accepting any new directorships, which may give rise to potential conflict of interest notwithstanding that the MMLR of Bursa Securities allow a Director to sit on the board of five (5) listed issuers.

The Board endeavours to meet at quarterly intervals which are scheduled well in advance before the end of the preceding financial year to facilitate the Directors in planning their meeting schedule for the year. The Board is satisfied with the level of commitment demonstrated by the Directors in fulfilling their roles and responsibilities, as all Directors complied with the minimum attendance of at least 50% of Board meetings held during the financial year under review pursuant to the MMLR of Bursa Securities. Additional meetings are convened as necessary to address urgent and important matters that require immediate attention and approval from the Board.

All pertinent issues discussed at the Board meetings in arriving at the decisions and conclusions are properly recorded by the Company Secretaries.

CORPORATE GOVERNANCE OVERVIEW STATEMENT

Cont'd

PRINCIPLE A – BOARD LEADERSHIP AND EFFECTIVENESS *cont'd*

Part II: Board Composition *cont'd*

3. Directors' Commitment *cont'd*

The Board met five (5) times during the financial year under review. Details of the Board members' attendance at the Board meetings for the financial year under review are as follows:-

Director	Designation	Total	Percentage (%)
Dato' Chua Tia Guan	Non-Independent Non-Executive Chairman	5/5	100
Lee Thiam Wah (Alternate Director: Lee Yan Zhong)	Executive Director and CEO	5/5	100
Ho Tat Heng	Senior Independent Non-Executive Director	5/5	100
Ng Lee Tieng	Non-Independent Non-Executive Director	5/5	100
Lee Lay Liang (Alternate Director: Leong Sau Chan)	Executive Director	5/5	100
Nirmalah A/P V.Thurai	Independent Non-Executive Director	4/5	80
Serina Binti Abdul Samad	Independent Non-Executive Director	5/5	100
Dato' Abdul Latif Bin Abu Seman	Independent Non-Executive Director	5/5	100
Ting Seng Hook @ Ting Seng Hee	Independent Non-Executive Director	5/5	100

Aside from Board Meetings, any businesses or urgent matters may also be decided via a directors' resolution in writing to ease the decision-making process.

The Board practices active and open discussions during its meetings to ensure all Directors have the opportunity to participate and contribute to the decision-making process. Robust discussions and vigorous deliberations at both Board and Board Committee meetings facilitate a constructive, insightful and healthy dialogue. Attendance by relevant KSM and external advisers (where necessary) ensures comprehensive discussions and reporting. While the minimum quorum for a Board meeting is two, attendance by all Directors is the norm.

Overall, the Board is satisfied that each Director allocates sufficient time to fulfill their duties, reflecting dedication and diligence. This is evidenced by the attendance record of the Directors as set out herein above.

4. Board Committees

In order to ensure that the Board responsibilities are effectively discharged, the Board delegates certain functions to the following Board Committees to support and assist in discharging fiduciary duties and responsibilities:-



CORPORATE GOVERNANCE OVERVIEW STATEMENT

Cont'd

PRINCIPLE A – BOARD LEADERSHIP AND EFFECTIVENESS *cont'd*

Part II: Board Composition *cont'd*

4. Board Committees *cont'd*

The responsibilities of the Board Committees are guided by their respective Terms of Reference, which are periodically reviewed by the Board. The Board appoints the Chairman and members of each Committee. The Terms of Reference of the respective Board Committees which is available on the Company's website at www.99speedmart.com.my.

In line with Practice 1.4 of the MCCG, the Chairman of the Board, namely Dato' Chua Tia Guan is not a member of the AC and NRC.

The Board is kept informed of the activities of the Board Committees through the reports given by the Chair of the respective Board Committees on key matters discussed within their respective committees at the Board meeting. Notwithstanding this, the Board retains ultimate responsibility for all decisions on matters considered.

a. Audit Committee

The details of the AC are set out in AC Report on page 155 to page 158 of this Integrated Annual Report.

b. Nomination and Remuneration Committee

The details of the NRC are set out in NRC Report on page 159 to page 164 of this Integrated Annual Report.

c. Risk Management Committee

The Risk Management Committee ("RMC") currently consists of four (4) members, the majority of whom are Independent Non-Executive Directors as follows:-

Name of Members	Designation
Serina Binti Abdul Samad	Chairperson, Independent Non-Executive Director
Lee Thiam Wah	Executive Director and CEO
Nirmalah A/P V.Thurai	Independent Non-Executive Director
Ting Seng Hook @ Ting Seng Hee	Independent Non-Executive Director

The RMC met five (5) times during the financial year under review and the details of attendance of each RMC member are as follows:

Name of RMC Member	No. of RMC Meeting Attended	Percentage (%)
Serina Binti Abdul Samad	5/5	100%
Lee Thiam Wah	5/5	100%
Nirmalah A/P V.Thurai	4/5	80%
Ting Seng Hook @ Ting Seng Hee	5/5	100%

The authorities, functions and responsibilities of the RMC are set out in its terms of reference, which is available on the Company's website at www.99speedmart.com.my.

CORPORATE GOVERNANCE OVERVIEW STATEMENT

Cont'd

PRINCIPLE A – BOARD LEADERSHIP AND EFFECTIVENESS *cont'd*

Part II: Board Composition *cont'd*

5. Continuing Education and Development

In addition to the Mandatory Accreditation Programme as required by Bursa Securities, the NRC and Directors will identify and participate in appropriate seminars, conferences and courses to keep abreast of changes in market, legislations and regulations affecting the Group. The Directors are also committed to undertaking additional relevant training programmes and seminars, whether in-house or external, to stay updated on developments in the business environment and to further enhance their skills and knowledge in fulfilling their responsibilities.

The Board through the NRC had conducted a comprehensive assessment of each Director's training needs via its board evaluation assessment.

During the financial year under review, the Directors have attended various training and development programmes to keep abreast of changes in law, regulations, the business environment, risk management practices, general economic and industry developments. The training and development programmes participated by each of the Directors are set out as follows:-

Directors	Trainings/Seminars Attended	Organiser	Date
Dato' Chua Tia Guan	Transfer Pricing & Tax Corporate Governance Seminar 2025	Lembaga Hasil Dalam Negeri Malaysia ("LHDN")	27 May 2025
	Hasil-CTIM Tax Forum Roadshow 2025	Chartered Tax Institute of Malaysia ("CTIM")	18 June 2025
	National Tax Conference 2025	CTIM & LHDN	5 & 6 August 2025
	2026 Budget Seminar	LHDN	14 October 2025
	Mandatory Accreditation Programme Part II: Leading for Impact ("LIP")	Institute of Corporate Directors Malaysia ("ICDM")	26 & 27 November 2025
Lee Thiam Wah	Actionable Compliance, Governance Readiness and Risk Assessment for Cybersecurity Act 2024	Centre for Corporate & Community Development ("UTAR")	21 July 2025
	Mandatory Accreditation Programme Part II: LIP	ICDM	6 & 7 August 2025
Ng Lee Tieng	Actionable Compliance, Governance Readiness and Risk Assessment for Cybersecurity Act 2024	Centre for Corporate & Community Development UTAR	21 July 2025
	Mandatory Accreditation Programme Part II: LIP	ICDM	6 & 7 August 2025
Lee Lay Liang	Actionable Compliance, Governance Readiness and Risk Assessment for Cybersecurity Act 2024	Centre for Corporate & Community Development, UTAR	21 July 2025
	Mandatory Accreditation Programme Part II: LIP	ICDM	30 & 31 July 2025
	Seminar E-Invois dan Sesi Demonstrasi Portal MyInvois (Edisi Mandarin)	LHDN	21 August 2025
	Communication Negotiation Skills	Centre for Corporate & Community Development, UTAR	13 October 2025

CORPORATE GOVERNANCE OVERVIEW STATEMENT

Cont'd

PRINCIPLE A – BOARD LEADERSHIP AND EFFECTIVENESS *cont'd*

Part II: Board Composition *cont'd*

5. Continuing Education and Development *cont'd*

Directors	Trainings/Seminars Attended	Organiser	Date
Ho Tat Heng	New Trade and Tax Realities	EY Asean Tax Forum 2025	20 & 21 May 2025
	The Journey into the AI Age: Game Changer for Your Digital Transformation Era	Bursa Securities	17 June 2025
	TechInsights Series: AI Monitor – Exploring Trends, Innovations, and AI Challenges	Association of Chartered Certified Accountants	25 June 2025
	Actionable Compliance, Governance Readiness and Risk Assessment for Cybersecurity Act 2024	Centre for Corporate & Community Development, UTAR	21 July 2025
	IFRS S1 and IFRS S2-Get Ready for Mandatory Sustainability Reporting	EY Webinar	25 July 2025
	Audit Oversight Board's Conversation with Audit Committee	Securities Commission Malaysia ("SC")	25 November 2025
Nirmalah A/P V.Thurai	Actionable Compliance, Governance Readiness and Risk Assessment for Cybersecurity Act 2024	Centre for Corporate & Community Development, UTAR	21 July 2025
	Boardroom Blindspots: How Our perceptions of risk influence Boardroom	ICDM	3 September 2025
	Mandatory Accreditation Programme Part II: LIP	ICDM	7 & 8 October 2025
Serina Binti Abdul Samad	Actionable Compliance, Governance Readiness and Risk Assessment for Cybersecurity Act 2024	Centre for Corporate & Community Development, UTAR	21 July 2025
	The Statement of Risk Management and Internal Control (SORMIC) Guide 2025	The Institute of International Auditor	21 October 2025
	Audit Oversight Board's Conversation with Audit Committee	SC	25 November 2025
	Mandatory Accreditation Programme Part II: LIP	ICDM	26 & 27 November 2025
Dato' Abdul Latif Bin Abu Seman	Actionable Compliance, Governance Readiness and Risk Assessment for Cybersecurity Act 2024	Centre for Corporate & Community Development, UTAR	21 July 2025
	Mandatory Accreditation Programme Part II: LIP	ICDM	6 & 7 August 2025
Ting Seng Hook @ Ting Seng Hee	Actionable Compliance, Governance Readiness and Risk Assessment for Cybersecurity Act 2024	Centre for Corporate & Community Development, UTAR	21 July 2025
	Mandatory Accreditation Programme Part II: LIP	ICDM	6 & 7 August 2025

CORPORATE GOVERNANCE OVERVIEW STATEMENT

Cont'd

PRINCIPLE A – BOARD LEADERSHIP AND EFFECTIVENESS *cont'd*

Part II: Board Composition *cont'd*

5. Continuing Education and Development *cont'd*

Directors	Trainings/Seminars Attended	Organiser	Date
Lee Yan Zhong (Alternate Director to Lee Thiam Wah)	Carbon Accounting for CFO and Finance Professionals	Malaysian Institute of Accountants	16 January 2025
	Invest ASEAN – Malaysia Conference 2025	Bursa Securities	1 July 2025
	Actionable Compliance, Governance Readiness and Risk Assessment for Cybersecurity Act 2024	Centre for Corporate & Community Development, UTAR	21 July 2025
	Mandatory Accreditation Programme Part II: LIP	ICDM	6 & 7 August 2025
Leong Sau Chan (Alternate Director to Lee Lay Liang)	Actionable Compliance, Governance Readiness and Risk Assessment for Cybersecurity Act 2024.	Centre for Corporate & Community Development, University Tunku Abdul Rahman (UTAR).	21 July 2025
	Mandatory Accreditation Programme Part II: LIP	ICDM	30 & 31 July 2025
	Seminar E-Invois dan Sesi Demonstrasi Portal MyInvois (Edisi Mandarin)	LHDN	21 August 2025

The Company Secretaries regularly circulate relevant guidelines on statutory and regulatory requirements and provide updates to the Board during Board meetings. Additionally, the external auditors also briefed the AC on any current and forthcoming changes to the Malaysian Financial Reporting Standards that may impact the Group's financial statements.

PRINCIPLE B – EFFECTIVE AUDIT AND RISK MANAGEMENT

Part I: Audit Committee

The AC consists of three (3) members, all of whom are Independent Non-Executive Directors who are financially literate and have sufficient understanding of the Group's business. The AC is led by Mr Ho Tat Heng, a Senior Independent Non-Executive Director, who is a member of the Association of Chartered Certified Accountants to assist the Board in its oversight of the Company's financial reporting and in fulfilling its fiduciary responsibilities. The AC therefore meets the requirements of Paragraph 15.09(1)(b) and (c) of the MMLR.

The composition of AC, including its roles and responsibilities, number of meetings and attendance of AC, summary of AC activities and Internal Auditors' activities during the financial year under review were set out in the AC Report on page 155 to page 158 of this Integrated Annual Report.

The Chairman of the AC is not the Chairman of the Board, ensuring that the objectivity of the Board's review of the AC's findings and recommendations remains unaffected.

The AC's terms of reference outline its goals, objectives, duties, responsibilities and the criteria for its composition. This includes a requirement that a former key external audit partner of the Group must observe a cooling-off period of at least three (3) years, before being eligible for appointment as a member of the AC.

CORPORATE GOVERNANCE OVERVIEW STATEMENT

Cont'd

PRINCIPLE B – EFFECTIVE AUDIT AND RISK MANAGEMENT *cont'd*

Part I: Audit Committee *cont'd*

The Board fosters a transparent and professional relationship with both the external and internal auditors through discussions facilitated by the AC. These discussions focus on the external and internal auditors' audit plans, findings and the Group's financial statements. The AC invites the external auditors at least twice a year to discuss their findings and audited financial statements of the Group. The AC met with the external auditors, Messrs Crowe Malaysia PLT three (3) times during the financial year under review without the presence of the Executive Directors and Management.

The Board upholds the integrity of the Company's financial reporting and has established procedures, through the AC, to assess the suitability and independence of the external auditors. These procedures require the external auditors to provide written assurance confirming their independence throughout the audit engagement with the Company, in compliance with the independence criteria set by the Malaysian Institute of Accountants. Furthermore, the Board has determined that certain non-audit services, including management consulting, policy and standard operating procedures documentation, strategic decision-making and internal audit services, cannot be provided by the external auditors.

The AC carried out an assessment of the performance and suitability of the external auditors based on the quality of services, sufficiency of resources, adequacy of resources and trained professional staff assigned to the audit. The AC generally satisfied with the independence, performance and suitability of the external auditors based on the assessment and recommended to the Board and subsequently proposed to shareholders for approval for the re-appointment of Messrs Crowe Malaysia PLT as external auditors of the Company for the financial year ending 31 December 2026.

Part II: Risk Management and Internal Control Framework

The RMC was established by the Board to oversee and outlines the Company's risk management framework and policies.

The Board recognises the critical importance of maintaining a robust system of risk management and internal control to safeguard and enhance shareholders' value. The Board affirms its overall responsibility for the Group's risk management and for reviewing the adequacy and integrity of the Group's risk management framework, which encompasses all subsidiaries within the Group.

To facilitate this, the Board has established an internal audit function that led by the outsourced Internal Auditors who reports directly to the AC. The role of the internal auditors is to ensure the existence of adequate internal controls, which assist Management in addressing operational, regulatory and financial risks.

During the financial year under review, the AC approved the appointment of a new Internal Audit service provider, Resolve IR Sdn. Bhd., after assessing its independence, competency and resources. The change of Internal Auditors did not result in any material effect on the adequacy or effectiveness of the Group's system of internal control.

Further information can be found in the Statement on Risk Management and Internal Control on page 150 to page 154 of this Integrated Annual Report.

CORPORATE GOVERNANCE OVERVIEW STATEMENT

Cont'd

PRINCIPLE C – INTEGRITY IN CORPORATE REPORTING AND MEANINGFUL RELATIONSHIP WITH STAKEHOLDERS

Part I: Communication with Stakeholders

The Board recognises the importance of informing shareholders and other stakeholders of all the significant developments concerning the Group on a timely basis with strict adherence to the MMLR. Shareholders and prospective investors are kept informed of all major developments within the Group by way of announcements made to Bursa Securities on quarterly financial results and corporate website with an overview of the Group's financial and operational performance in a timely manner. The Group constantly maintains transparency in its business activities and will continuously keep shareholders and prospective investors well informed on the Group's activities.

During the financial year under review, the Management has conducted a number of media and analyst briefings as well as issued press statements on the financial affairs of the Company.

The Board supports the use of information technology for effective dissemination of information. The Company has established a website at www.99speedmart.com.my, which serves as a useful reference source of information to shareholders, business partners and other stakeholders. In addition to publishing financial results, Integrated Annual Report and business information, the website has dedicated Corporate Governance sections which included the Board Charter and policies of the Company.

Part II: Conduct of General Meeting

The Annual General Meeting ("AGM") serves as the primary forum for shareholders to engage directly with the Directors and senior management. It provides shareholders with the opportunity to ask questions and seek clarification from the Board following their review of the Group's performance, as presented in the Company's Integrated Annual Report. Board members, Company Secretaries and external auditors will attend the upcoming AGM, offering shareholders the opportunity to inquire in person about the Company's performance and operations.

In line with the MMLR, the Company will implement poll voting for all proposed resolutions set out in the notice of any general meeting. An independent scrutineer will also be appointed to validate the votes cast at any general meeting of the Company.

To ensure shareholders have sufficient time to go through the Integrated Annual Report, it will be circulated at least twenty-eight (28) clear days before the date of the AGM. Shareholders are encouraged to vote on the proposed motions by appointing a proxy in the event they are unable to attend the meeting.

The notice of the AGM of the Company will be circulated to the shareholders at least 28 days before the AGM, which gives shareholders sufficient time to go through the Integrated Annual Report papers supporting the resolutions proposed, which to be in line with Section 316(2) of Companies Act 2016, Paragraph 7.15 of the MMLR and the MCCG. Notice of AGM also will be published in a nationally circulated newspaper alongside an announcement on the website of Bursa Securities. This allows shareholders to have immediate access of the notice of AGM and make the necessary preparations for the AGM.

The Second AGM of the Company was conducted physically on 5 June 2025. Notice of the Second AGM of the Company was issued to shareholders on 25 April 2025, at least 28 days before the AGM. It was made available on the corporate website and advertised in a nationally circulated English daily newspaper. The notice included administrative guide such as details of the meeting, shareholders' right to attend the meeting, their right to appoint a proxy and information as to who may act as proxy.

CORPORATE GOVERNANCE OVERVIEW STATEMENT

Cont'd

PRINCIPLE C – INTEGRITY IN CORPORATE REPORTING AND MEANINGFUL RELATIONSHIP WITH STAKEHOLDERS *cont'd*

Part II: Conduct of General Meeting *cont'd*

The Board of Directors, the Chairs of the Board Committees, Chief Operating Officer, Chief Financial Officer, Company Secretary, and External Auditors were all in attendance to respond to questions raised by shareholders during the session. Mr Lee Yan Zhong, Alternate Director to Mr Lee Thiam Wah, Mr Yong Eng Kwang, Chief Operating Officer and Ms Ong Yee Peng, Chief Financial Officer also provided the shareholders with a slide presentation on Company snapshot, business overview, financial overview, utilisation proceeds and strategic roadmap of the Group.

All resolutions tabled at the Second AGM were voted by poll, and the results were independently verified by an Independent Scrutineer appointed by the Company. The minutes of the Second AGM, along with the complete list of questions and responses, were published on the Company's website within 30 business days of the AGM for shareholders' information.

The forthcoming Third AGM will be held physically, providing an effective platform for communication with shareholders. Shareholders will be allowed to submit their questions electronically through the online platform provided by the share registrar, via Boardroom Smart Investor Portal at <https://investor.boardroomlimited.com>. Shareholders will also be given the opportunity to submit questions up to forty-eight (48) hours prior to the meeting, to allow sufficient time for the Board and Management to review the questions and prepare meaningful responses. Responses to the questions received in advance will be presented and addressed during the meeting.

The minutes of the Third AGM will be available on the Company's corporate website at www.99speedmart.com.my within 30 business days from the Third AGM.

The Board remains fully committed to the ongoing enhancement and strengthening of its governance practices and processes, recognising the critical importance of adapting to evolving standards and expectations. As part of its forward-looking strategies, the Board continuously identifies key focus areas and future priorities that will enable the Group to maintain high standards of corporate governance. A key focus area for the Board is the regular review and updating of its existing policies to ensure they are consistent with the latest legal, regulatory and industry developments. This process is undertaken as and when necessary, to ensure that the Company's policies remain in full compliance with prevailing statutory requirements, regulatory promulgations and globally recognised best practices.

By proactively addressing these areas, the Board aims to ensure that the Group's governance framework remains robust, effective and aligned with both current and future business needs and stakeholder expectations.

STATEMENT BY THE BOARD ON CORPORATE GOVERNANCE OVERVIEW STATEMENT

The Company shall continue to strive for high standards of corporate governance throughout the Group and the highest level of integrity and ethical standards in all of its business dealings.

The Board remains committed to enhancing the Company's corporate governance standards and fostering a culture of ethical conduct, transparency and sustainable value creation. For the year under review, the Board concluded that the Company has in all material aspects satisfactorily complied with the principles and practices set out in the MCCG, except for the departures set out in the CG Report.

This CG Overview Statement together with the CG Report were approved by the Board on 13 April 2026.

ADDITIONAL COMPLIANCE INFORMATION

The information set out below is disclosed in compliance with the Main Market Listing Requirements of Bursa Malaysia Securities Berhad (“Bursa Securities”).

1. UTILISATION OF PROCEEDS

Following the listing of 99 Speed Mart Retail Holdings Berhad’s (“the Company”) on the Main Market of Bursa Securities on 9 September 2024, gross proceeds of RM660.0 million were raised from the Public Issue. Details of utilisation and the unutilised balance as at 31 December 2025 are as follows:

Details of utilisation of proceeds	Estimated timeframe for utilisation from the date of listing	Initial proposed utilisation (RM'000)	Actual utilisation (RM'000)	Deviation ⁽¹⁾ (RM'000)	Balance unutilised (RM'000)
Outlet and Distribution Centre (“DC”) expenditure					
(i) Expansion of network of outlets	Within 36 months	389,000	(195,124)	-	193,876
(ii) Establishment of new DCs	Within 36 months	100,000	(29,819)	-	70,181
(iii) Purchase of delivery trucks	Within 36 months	55,000	(18,063)	-	36,937
(iv) Upgrading of existing outlets	Within 36 months	47,600	(24,379)	-	23,221
Repayment of existing bank borrowings	Within 6 months	45,000	(45,000)	-	-
Defray fees and expenses for the Proposed Public Issue	Within 6 months	23,400	(21,183)	(2,217)	-
Total		660,000	(333,568)	(2,217)	324,215

Note:

(1) The actual listing expenses are lower than budgeted, hence the excess amount not utilised for listing expenses were used to fund general working capital requirements.

The utilisation of the proceeds as disclosed above should be read in conjunction with the Company’s Prospectus dated 15 August 2024.

2. AUDIT AND NON-AUDIT FEES

The amount of audit and non-audit fees paid/payable to external auditors by the Company and its subsidiaries (“the Group”) for the financial year ended 31 December 2025 are as follows:

	Group (RM'000)	Company (RM'000)
Statutory audit	684	42
Non-statutory audit ⁽¹⁾	184	24
Total	868	66

Note:

(1) The non-statutory audit fees were incurred mainly for the review of Statement on Risk Management and Internal Control, corporate income tax compliance and transfer pricing services.

ADDITIONAL COMPLIANCE INFORMATION

Cont'd

3. MATERIAL CONTRACTS INVOLVING DIRECTORS' AND MAJOR SHAREHOLDERS' INTERESTS

There were no material contracts (not being contracts entered into in the ordinary course of business) entered into by the Company and/or its subsidiaries which involve Directors' and major shareholders' interests during the financial year under review.

4. CONTRACTS RELATING TO LOANS

There were no contracts relating to loans entered into by the Company and/or its subsidiaries involving the interest of the Directors or major shareholders during the financial year under review.

5. RECURRENT RELATED PARTY TRANSACTIONS ("RRPT")

At the Second Annual General Meeting ("AGM") of the Company held on 5 June 2025, the Company had obtained a shareholders' mandate to allow the Group to enter into RRPTs. The said mandate took effect on 5 June 2025 and will continue until the conclusion of the forthcoming AGM of the Company.

At the forthcoming AGM to be held on 5 June 2026, the Company intends to seek its shareholders' approval to renew the existing mandate for RRPTs. The details of the shareholders' mandate to be sought will be furnished in the Circular to Shareholders dated 27 April 2026.

Details of RRPTs conducted during the financial year ended 31 December 2025 are as set out as follows:-

Related Party	Nature of Transaction	Value of Transaction (RM'000)
Careon Pharmacy Sdn Bhd	Administrative expenses	8
Cosmo Restaurants Sdn Bhd	Administrative expenses	9,267
J&C Pacific Sdn Bhd	Administrative expenses	55
Nasi Lemak Gempak Sdn Bhd	Administrative expenses	2
Three Star Stationery (M) Sdn Bhd	Administrative expenses	186
Family Network Sdn Bhd	Lease expense	969
Lovely Century Sdn Bhd	Lease expense	764
Eng Lee Hay and Eng Hock Heng @ Ng Hock Keng	Lease expense	19
Eng Yaw Keong and Lim Geok Eng	Lease expense	19
Zing Heing Trading Sdn Bhd	Lease expense	42
Lee Lay Liang	Lease expense	98
Lee Thiam Wah	Lease expense	77
Leong Sau Chan	Lease expense	98
Arms Software International Sdn Bhd	Maintenance and merchant charges expense	194
Radiant Globaltech Berhad	Maintenance and merchant charges expense	130
Radiant Global ADC Sdn Bhd	Maintenance and merchant charges expense	11
World Pos Sdn Bhd	Maintenance and merchant charges expense	366
J&C Pacific Sdn Bhd	Maintenance and merchant charges expense	5,538
Asia Business Centre Sdn Bhd	Professional fees	4
Arms Software International Sdn Bhd	Purchase of property, plant and equipment	160
Careon Pharmacy Sdn Bhd	Purchase of property, plant and equipment	117
Max Bell Sdn Bhd	Purchase of property, plant and equipment	11,019

ADDITIONAL COMPLIANCE INFORMATION

Cont'd

5. RECURRENT RELATED PARTY TRANSACTIONS ("RRPT") *cont'd*

Details of RRPTs conducted during the financial year ended 31 December 2025 are as set out as follows:- *cont'd*

Related Party	Nature of Transaction	Value of Transaction (RM'000)
Radiant Global ADC Sdn Bhd	Purchase of property, plant and equipment	1,428
Three Star Stationery (M) Sdn Bhd	Purchase of property, plant and equipment	156
Careon Pharmacy Sdn Bhd	Purchase of goods, net of rebates	2
Cleanwave International Sdn Bhd	Purchase of goods, net of rebates	46,377
Multihexa Sdn Bhd	Purchase of goods, net of rebates	22,226
Nasi Lemak Gempak Sdn Bhd	Purchase of goods, net of rebates	3,117
Octo Asia Sdn Bhd	Purchase of goods, net of rebates	18,317
Zing Heing Trading Sdn Bhd	Purchase of goods, net of rebates	100,712
J & C Pacific Sdn Bhd	Marketing and commissions income received	5,794
Cosmo Restaurants Sdn Bhd	Marketing and commissions income received	97
Cleanwave International Sdn Bhd	Marketing and commissions income received	30
Cosmo Restaurants Sdn Bhd	Operating lease income	321
Nature Century Development Sdn Bhd	Operating lease income	36
U Stars Pte Ltd	Operating lease income	10
U Stars Supermarket Pte Ltd	Operating lease income	14
Cosmo Restaurants Sdn Bhd	Sale of goods	10
HL Hailam Food Industry Sdn Bhd	Sale of goods	877
Max Bell Sdn Bhd	Sale of goods	31
Nasi Lemak Gempak Sdn Bhd	Sale of goods	577
Lee Thiam Wah	Sale of goods	69
Ng Lee Tieng	Sale of goods	5
J & C Pacific Sdn Bhd	Sponsorship	5
Multihexa Sdn Bhd	Sponsorship	5
Cleanwave International Sdn Bhd	Sponsorship	1
Nasi Lemak Gempak Sdn Bhd	Sponsorship	1
Zing Heing Trading Sdn Bhd	Sponsorship	5
Three Star Stationery (M) Sdn Bhd	Sponsorship	1
Three Star Stationery (M) Sdn Bhd	Printing & stationery expense	342
Zing Heing Logistics Sdn Bhd	Transportation charges	326

6. EMPLOYEES' SHARE SCHEME

The Company did not establish any employee share scheme and does not have any subsisting employee share scheme during the financial year under review.

7. OPERATIONAL LICENSES AND CERTIFICATES

As of 30 March 2026, 99.1% of the Group's total outlets have obtained operational licenses ("OL"), while 99.6% of the total outlets have obtained Certificate of Completion and Compliance ("CCC").

Notwithstanding the above, applications have been put in place with the relevant authorities for the remaining OL and CCC.

STATEMENT ON RISK MANAGEMENT AND INTERNAL CONTROL

INTRODUCTION

Pursuant to Paragraph 15.26(b) of the Main Market Listing Requirements (“**MMLR**”) of Bursa Malaysia Securities Berhad (“**Bursa Securities**”), and guided by the Statement on Risk Management and Internal Control – Guidelines for Directors of Listed Companies (“**SORMIC Guide 2025**”), the Board of Directors (“**Board**”) of 99 Speed Mart Retail Holdings Berhad is pleased to provide the Statement on Risk Management and Internal Control, outlining the nature and scope of risk management and internal control of 99 Speed Mart Retail Holdings Berhad (“**the Company**”) and its subsidiaries (“**the Group**”) for the financial year ended 31 December 2025 (“**FY2025**”).

BOARD RESPONSIBILITY

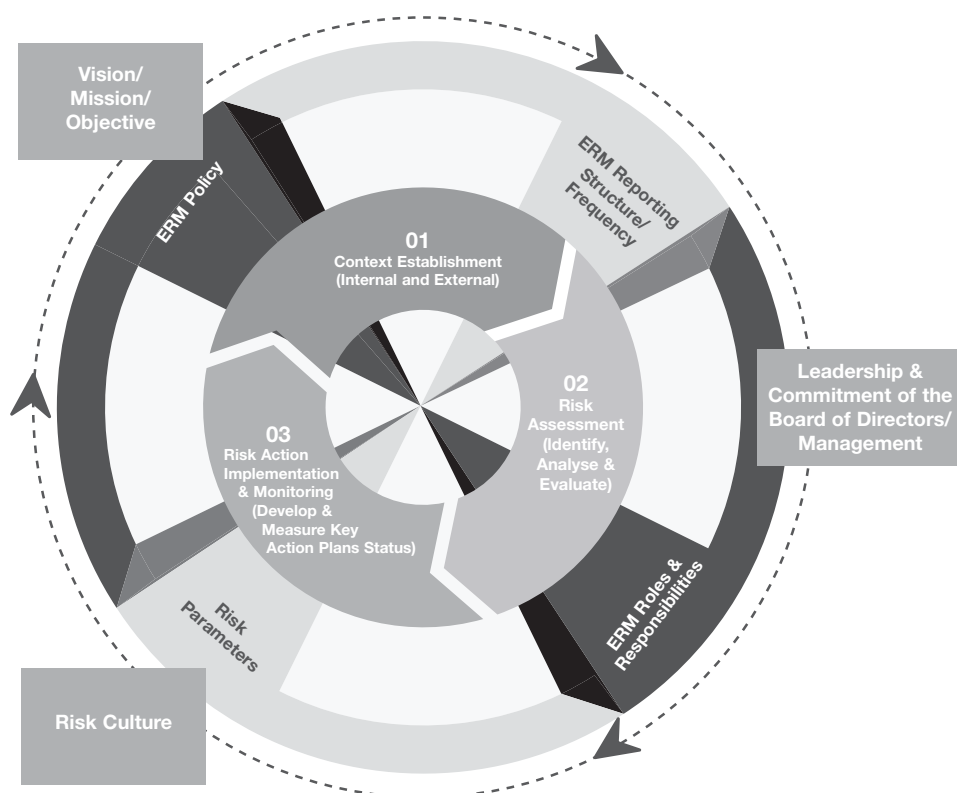
The Board is ultimately responsible for the Group’s risk management and internal control systems; and for reviewing their adequacy and effectiveness to safeguard shareholders’ interests and the Group’s assets. This includes an ongoing process of identifying, evaluating, and managing significant risks faced by the Group in achieving its objectives and strategies.

The Board recognises that risk management and internal control systems are designed to mitigate risks rather than eliminating them. Due to inherent limitations, such systems can only provide reasonable, but not absolute, assurance against material misstatements, losses, or fraud.

To effectively discharge its responsibilities, the Board, through the Risk Management Committee (“**RM**C”), Audit Committee (“**AC**”) and Management Committee (“**MC**”), manage matters regarding risk, compliance, and internal control management.

KEY FEATURES OF RISK MANAGEMENT FRAMEWORK

The management, with the RMC and guidance from the external consultant, have established an Enterprise Risk Management (“**ERM**”) framework which is approved by the Board. The framework includes the reporting structure and principal responsibilities for ERM. The ERM framework is illustrated below:



STATEMENT ON RISK MANAGEMENT AND INTERNAL CONTROL

Cont'd

KEY FEATURES OF RISK MANAGEMENT FRAMEWORK *cont'd*

The principal responsibilities for ERM are illustrated below:

Roles	Principal Responsibilities for ERM
Board	- Overall risk management oversight; - Approve and adopt the ERM Policies and Framework; - Articulate and provide direction on risk appetite, organisational control environment and risk culture at the Organisation; and - Monitor the overall ERM framework's performance and implementation effectiveness at the Organisation.
RMC	- Review the context within which risk is managed in relation to the Organisation's strategic direction and objectives; - Oversee and provide oversight and direction for the implementation of risk management in the organisation and consistent application of ERM principles; and - Periodically review the Organisation's risk management framework and supporting structure, including: - Satisfying itself that appropriate systems are in place to identify, assess and manage the significant risks affecting the Organisation. - Ensuring that the Organisation's staff are clear as to their roles and responsibilities with regards to ERM Framework.
AC	Provide an objective and independent view on the effectiveness of ERM implementation to the Board.
Management Committee	- Recommend ERM policies to the Board and monitor consistent enforcement of the policies across the Group; - Review the risk parameters, risk appetite, risk profiles, risk treatment options and risk action plans; - Provide guidance and advice on appropriateness of risk treatment option selected and risk action plans development; - Ensure organisation is conducted within the agreed risk constraints and operations rules; - Articulate and challenge risk ratings, control effectiveness, risk treatment options and risk action plans identified by Risk Owners; - Ensure that the ERM reports prepared are submitted to the Board on a timely manner, and reports are submitted in the event of any risk(s) that require urgent attention; and - Evaluate the adequacy of ERM tools, resources, trainings and subject matter expert.
Risk Owners	- Identification and assessment of risks, implementation and monitoring of risk action plans and key risk indicators; - Review the organisation's risk registers; - Prepare and report to Management Committee on a timely manner and timely preparation of reports in the event of any risk(s) that require urgent attention; and - Maintain highest alert on both internal and external activities or circumstances that may have adverse risk impacts and consequences to the Organisation.
Risk Co-owners	- Provide support to Risk Owners on key risks identified and to assist in the implementation of risk action plans; and - Engage and discuss with Risk Owners on internal and external activities or circumstances that may give rise to new risks or changes on rating or control effectiveness of existing risks.
Risk Manager	- Ensure effective implementation of ERM activities of the Group; - Receive and review reports on significant risks affecting the Group and recommendations on how such risks are being managed (Risk Action Plan); - Determine risk programmes and priorities; - Review the Group's risk registers; and - To recommend to RMC any matter or issue of significance relating to risk management for RMC's decision or approval;

STATEMENT ON RISK MANAGEMENT AND INTERNAL CONTROL

Cont'd

KEY FEATURES OF RISK MANAGEMENT FRAMEWORK *cont'd*

The principal responsibilities for ERM are illustrated below: *cont'd*

Roles	Principal Responsibilities for ERM
Staff	■ Provide assistance to Risk Owners and/or Risk Co-owners on key risks identified and to support the implementation of risk action plans and key risk indicators; ■ Engage and discuss with Risk Owners and/or Risk Co-owners on internal and external activities or circumstances that may give rise to new risks or changes on rating or control effectiveness of existing risks; and ■ Exercise care to prevent loss, whilst capitalising the opportunity as well as ensuring the operations, reputation and assets are not adversely affected
Internal Audit	■ To assist Board in reviewing the effectiveness of ERM and providing an independent view on specific risks and control issues, trends and events.

The Board entrusts the Management Committee with the responsibility to coordinate risk assessments across the business functions, ensure timely updates to the risk register, monitor the effectiveness of control measures and report to the RMC. The Management Committee recognises its responsibility to ensure that significant risks are managed within acceptable levels in line with the Group's risk parameter. In fulfilling its oversight responsibility, the Board as a whole or through delegation to the RMC, reviews and assesses the adequacy and effectiveness of the risk management process practiced by the Management.

The risk management framework provides a structured approach for Management to undertake risk assessment, ongoing monitoring and risk mitigation efforts in alignment with the Group's strategic direction and risk parameter. The outcomes of these activities are prioritised, with only key and significant risk exposures reported to and deliberated by the Risk Management Committee ("RMC"). During these meetings, the Management Committee ("MC") provide focused updates on priority risk areas.

The structured risk assessment process includes the following:

- conducting risk profiling across business functions, such as operational, financial, compliance, cybersecurity, reputational, sustainability and climate-related risks;
- assessing the likelihood and impact of identified risks and prioritising key risks for management attention and reporting;
- reassessing risk profile to ensure control measures remain adequate, effective and aligned with the Group's risk parameter; and
- monitoring and updating the Group's risk register and system of internal controls to reflect changes in the business environment, stakeholder expectations, sustainability trends and regulatory developments.

These processes have been in place for the year under review and up to the date of approval of this statement for inclusion in this Integrated Annual Report.

The Group has identified the sustainability and climate-related risks and opportunities that may affect its business model, performance, and long-term value creation, taking into account the potential impacts across the six capitals and relevant time horizons. These sustainability and climate-related matters include changes in government policy, negative publicity, supply chain disruption, and flood and fire risk. Further details of the key business, sustainability and climate-related risks and opportunities are set out from page 68 to page 75 in this Integrated Annual Report.

STATEMENT ON RISK MANAGEMENT AND INTERNAL CONTROL

Cont'd

INTERNAL AUDIT FUNCTION

The Group has outsourced their internal audit function to an external consultant i.e. Resolve IR Sdn Bhd ("RESOLVE") which leads by the Executive Director Ms. Melissa Koay who is also a Certified Internal Auditor and has over 25 years of professional service in internal audits, risk management and corporate governance advisory, and plays a critical role in supporting the AC by providing independent and objective assurance on the effectiveness of risk management, internal controls and governance process. The audit team comprises five personnel, including the engagement lead and will present a three-year internal audit plan to provides periodic internal audit report highlighting key findings, risks and recommended actions, tracks management's response and corrective actions. The total cost incurred during the current financial year for the internal audit function of the Group was RM111,000.00, excluding service tax and out-of-pocket expenses. Further details of the internal audit function are set out in the Audit Committee Report of this Integrated Annual Report.

OTHER KEY ELEMENTS OF THE GROUP'S CONTROL ENVIRONMENT

Apart from risk management and internal audit, the Board has instituted the following measures to strengthen the overall internal control systems of the Group.

Organisation Structure and Limit of Authority

- The Group has a defined organisation structure that sets out authority limits and reporting lines aligned with business and operational requirements

Policies and Procedures

- Operational policies - The Group has drawn up and adopted policies and procedures for key processes which are accessible to employees for reference and compliance.
- Employee Conduct & Conflict of Interest - Code of Conduct and Business Ethics together with conflict of interest policies are in place to ensure that employees uphold the highest standards of integrity and take all reasonable steps to avoid actual, potential or perceived conflict of interest that may affect their duties.
- Anti-Bribery and Anti-Corruption Policy - This policy is developed to set out rules and guidance to employees and external parties who perform services for the Group, outlining the Group's expectations on ethical business conduct and its zero tolerance against bribery and corruption.
- Whistleblowing Policy and Channel - This policy and channel provide a secure and confidential avenue for any party to report improper conduct, with appropriate protection accorded to whistleblowers against retaliation.

Communication and Reporting

- Financial reporting for the Group has also been implemented to monitor the management's performance. The financial results are presented quarterly to the Audit Committee and the Board for the purpose of monitoring the Group's progress toward achieving its business objectives. The Board also plays a role in discussing and reviewing the business plans, strategies, performance and risks faced by the Group.
- Weekly meetings are conducted with all Heads of Department to monitor their progress, review operational issues and discussions on emerging risks that may affect the Group.

People

- Employee handbook outlines the employment terms and conditions, including compensation, leaves, benefits and other matters related to their employment;
- Key Performance Indicators review is undertaken by each Head of Department to identify, and where appropriate, address significant variances.
- Succession plan has been put in place to ensure continuity of key functions and leadership roles within the Group.

STATEMENT ON RISK MANAGEMENT AND INTERNAL CONTROL

Cont'd

REVIEW OF THE STATEMENT BY EXTERNAL AUDITORS

As required by paragraph 15.23 of the MMLR, the External Auditors have reviewed this Statement on Risk Management and Internal Control and have reported that nothing has come to their attention that causes them to believe that the contents of this Statement intended to be included in the annual report are not prepared, in all material respects, in accordance with the disclosures required by section 7 of the SORMIC Guide 2025, nor is the Statement factually inaccurate.

Their review was performed in accordance with Malaysian Approved Standard on Assurance Engagements ISAE 3000 (Revised), Assurance Engagement other than Audits or Reviews of Historical Financial Information, and Audit and Assurance Practice Guide 3 ("AAPG 3"), Guidance for Auditors on Engagements to Report on the Statement on Risk Management and Internal Control included in this Integrated Annual Report, issued by the Malaysian Institute of Accountants.

AAPG 3 does not require the external auditor to consider whether the Statement covers all risks and controls or to form an opinion on the adequacy and effectiveness of the Group's risk management and internal control system. The external auditors are also not required to consider whether the processes described to deal with material internal control aspects of any significant problems disclosed in the Integrated Annual Report will, in fact, remedy the problems.

ASSURANCE

The Chief Executive Officer ("CEO"), Chief Operating Officer ("COO") and Chief Financial Officer ("CFO") have provided assurance to the Board that the Group's risk management and internal control system is adequate and functioning effectively in all material respects for the year under review and up to the date of approval of this Statement.

CONCLUSION

The Board is satisfied and of the view that the Group's system of risk management and internal controls are sound and sufficient to safeguard shareholders' interest and assets of the Group.

There was also no material losses incurred during the financial year under review up to the date of the Integrated Annual Report as a result of weaknesses in internal control that would result in material losses, contingencies or uncertainties requiring separate disclosure in the Integrated Annual Report.

The Board recognises that the development and enhancement of the Group's risk management and internal control framework is a continuous process. During the financial year, the Board has undertaken various initiatives to strengthen and improve the existing risk management and internal control processes and procedures and will continue to do so on an ongoing basis.

This reflects the Board's commitment to ensure that the Group maintains an adequate and effective system of risk management and internal controls to safeguard shareholders' investments and protect the Group's assets.

This Statement is made in accordance with the Board's approval at its meeting held on 13 April 2026.

AUDIT COMMITTEE REPORT

The Board of Directors (“**the Board**”) of 99 Speed Mart Retail Holdings Berhad (“**99 Speedmart**” or “**the Company**”) is pleased to present the Audit Committee (“**AC**”) Report for the financial year ended 31 December 2025 (“**FY2025**”) in accordance with Paragraph 15.15 of the Main Market Listing Requirements (“**MMLR**”) of Bursa Malaysia Securities Berhad (“**Bursa Securities**”).

COMPOSITION AND MEETINGS

The AC comprises three (3) independent members and is chaired by an Independent Non-Executive Director (“**INED**”), who is not the Chairman of the Board. The chairperson of the AC, Mr Ho Tat Heng, is a member of the Association of Chartered Certified Accountants (“**ACCA**”) fulfilling the requisite qualifications under Paragraph 15.09(1)(c) of the MMLR of Bursa Securities.

In FY2025, the AC convened a total five (5) meetings. The attendance records of the AC members are as follows:

Name of AC Member	Designation	No. of AC Meetings Attended
Ho Tat Heng	Chairperson/Senior Independent Non-Executive Director	5/5
Serina Binti Abdul Samad	Member/Independent Non-Executive Director	5/5
Dato’ Abdul Latif Bin Abu Seman	Member/Independent Non-Executive Director	5/5

The AC is provided with adequate resources to discharge its functions and has full and unrestricted access to Management and their full cooperation. To ensure informed deliberations and enhance decision-making, the Chief Financial Officer (“**CFO**”), internal auditors (both in-house and outsourced) and external auditors were invited to attend AC meetings to present their reports and provide updates on their respective areas. The AC also has full discretion to invite senior management and relevant personnel for matters requiring their input and clarification as deemed relevant or necessary.

The Company Secretary served as the Secretary of the AC, attending meetings and recording the proceedings. Discussions and deliberations at the AC meetings were duly recorded in the minutes of the AC meetings, which were subsequently tabled to the Board following their confirmation at each ensuing AC meeting.

Pursuant to Paragraph 15.20 of the MMLR of Bursa Securities, Nomination and Remuneration Committee (“**NRC**”) had performed an annual review and assessment of the term of office and performance of the AC and each of the AC member has also performed the annual self and peer evaluation assessment. The NRC is satisfied that the AC has effectively discharged its duties in accordance with its Terms of Reference (“**TOR**”). The functions, duties and responsibilities of the AC are set out in the TOR, which is available on the Company’s website at www.99speedmart.com.my.

SUMMARY OF KEY ACTIVITIES

The key activities undertaken by the AC in discharging its duties and responsibilities during the financial year under review, amongst others, are summarised below:

Area of Focus	Matters reviewed/deliberated/approved
Financial Reporting	■ Unaudited quarterly financial results for all four (4) quarters before recommending for Board’s approval and releasing to Bursa Securities. ■ Proposal of dividend payments and solvency of the Company before recommending for the Board’s approval. ■ Reviewed budget for the financial year ending 31 December 2026 and recommended to the Board for approval.

AUDIT COMMITTEE REPORT

Cont'd

SUMMARY OF KEY ACTIVITIES *cont'd*

The key activities undertaken by the AC in discharging its duties and responsibilities during the financial year under review, amongst others, are summarised below: *cont'd*

Area of Focus	Matters reviewed/deliberated/approved
Internal Audit	- Internal audit reports consist of key audit findings and agreed remedial actions to be implemented by the Management. - Follow-up audits on the progress of corrective actions to ensure all critical risks and control issues were resolved. - Held four (4) private meetings with the internal auditors without the presence of Executive Directors and Management. - Risk-based internal audit plan to ensure its scope and coverage are adequate and comprehensive - Evaluation of internal audit function performance, suitability and independence of internal auditors based on factors including service quality, resource sufficiency, objectivity and coverage of internal audit activities in supporting the Group's risk management, internal control and governance processes. - AC Report presented in 2024 Annual Report.
External Audit	- Audit Planning Memorandum for the FY2025, which outlined the audit scope, areas of audit emphasis and the auditors' independence. - All significant matters highlighted by the external auditors on financial reporting. - Audited financial statements before recommending for Board approval. - Held three (3) private meetings with the external auditors without the presence of Executive Directors and Management. - Annual assessment on the performance, suitability and independence of External Auditors based on factors including service quality, resource sufficiency and objectivity. The AC is satisfied with the performance and the audit independence of the external auditors and recommended their reappointment and remuneration to the Board. - Audit services and non-audit services provided by the external auditors and their corresponding fees. - Revised Policy on External Auditors.
Related Party Transactions and Recurrent Related Party Transactions	- Recurrent related party transactions ("RRPT") for all four (4) quarters presented by Management to the Board for notification, ensuring that such transactions were conducted on arm's length basis, in ordinary course of business, in the best interests of the Company, and were not detrimental to the interests of minority shareholders. - Related party transactions ("RPT") that arose, persist or may arise within the Company or Group. - Procedures for RRPT to ensure that the process and controls are in place. - Circular to shareholders in relation to the proposed shareholders' ratification and proposed new shareholders' mandate for RRPT of a revenue or trading nature. - Thresholds for RPT and RRPT to ensure compliance with the MMLR of Bursa Securities. - Revised RPT Policy & Procedures.
Conflict of Interests	- Disclosure of actual or potential Conflict of Interests ("COI") submitted by the Board and key senior management of the Group via the COI Declaration Form to the Company Secretaries, who then escalated the same to the AC for assessment, conflict management and/or mitigation. - Revised COI Policy.
Whistleblowing	Anonymous complaints lodged through the Company's whistleblowing channel, ensuring due process was followed.

AUDIT COMMITTEE REPORT

Cont'd

SUMMARY OF KEY ACTIVITIES *cont'd*

The key activities undertaken by the AC in discharging its duties and responsibilities during the financial year under review, amongst others, are summarised below: *cont'd*

Area of Focus	Matters reviewed/deliberated/approved
Corporate Governance and Regulatory Compliance	■ Revised Limit of Authority. ■ Appointment and resignation of the outsourced internal auditors. ■ Appointment of tax agents and transfer pricing consultant. ■ Statement on Risk Management and Internal Control, AC Report, Additional Compliance Information, Corporate Governance Overview Statement, Corporate Governance Report and Directors' Responsibility Statement in relation to the Financial Statements for inclusion into the Annual Report 2024.

INTERNAL AUDIT FUNCTION

During the financial year under review, the Group decided to change its internal audit service provider with the objective of enhancing the effectiveness, independence and overall quality of the internal audit function, as well as to ensure continued objectivity and access to specialised internal audit expertise in line with the operational needs of the Group.

In conjunction with this exercise, quotations were obtained from several independent internal audit service providers for assessment and comparison. After considering the competency, independence, clientele base and availability of resources of the shortlisted candidates, the AC assessed the suitability and expertise of the candidates, and thereafter, recommended the most suitable candidate to the Board for approval.

Following the completion of the engagement of the former internal audit service provider, Axcelasia Sdn Bhd (formerly known as Tricor Axcelasia Sdn Bhd) ("**Axcelasia**"), the internal audit function of the Group was subsequently outsourced to Resolve IR Sdn Bhd ("**RESOLVE**") as the new independent internal audit service provider.

RESOLVE reports directly to the AC and adopts a risk-based approach and prepares its audit strategy and plan based on the risk assessment of the Group. Scheduled internal audits are carried out based on the annual audit plan approved by the AC. RESOLVE presented to the AC its internal audit report which summarises audit findings and recommendations with respect to the system of internal control and control weaknesses (if any); as well as conducting follow-up review to assess the effectiveness of implementation of those agreed action plans to mitigate risks.

The engagement is overseen by Executive Director, Ms Melissa Koay, who has over 25 years of professional experience in internal audits, risk management and corporate governance advisory. She is a Chartered Member of the Institute of Internal Auditors Malaysia, a member of the Malaysian Institute of Accountants and a Fellow of the Association of Chartered Certified Accountants, United Kingdom. Ms Melissa is also a Certified Internal Auditors.

The number of staff deployed for the internal audit reviews was five personnel to carry out each internal audit assignment including the engagement Executive Director. The staff involved in the internal audit reviews possess professional qualification and/or a university degree. Most of them are members of the Institute of Internal Auditors Malaysia. The internal audit staff conducting the engagement are free from any relationships or conflicts of interest, which could impair their objectivity and independence.

AUDIT COMMITTEE REPORT

Cont'd

INTERNAL AUDIT FUNCTION *cont'd*

Before the commencement of the internal audit reviews, an internal audit plan over a (3) three years cycle is presented to the AC for their deliberation and approval. Upon approval by the AC, internal audit reviews would be carried out in accordance with the approved internal audit plan. Thereafter during the quarterly meetings following the presentation of the Internal Audit Report, the AC also reviews with the internal auditors, the progress and coverage of the Internal Audit Plan to ensure that the audit direction remains relevant and is in line with the AC's expectations. The internal audits were conducted using a risk-based approach and was guided by the International Professional Practice Framework issued by the Institute of Internal Auditors.

Prior to the presentation of reports and findings to the AC, comments from the management were obtained and incorporated into the internal audit findings and reports. The internal audit report also covered the follow-up by the management on the implementation of recommendations in their earlier reports.

During the financial year, the internal auditors performed audit reviews based on the approved risk-based internal audit plan covering the following auditable processes:

- Recurrent Related Party Transaction
- Human Resources & HR2000 Review
- Bulk Sales Platform and Operation
- Health, Safety and Environment

The total cost incurred during the current financial year for the internal audit function of the Group was RM111,000, excluding service tax and out-of-pocket expenses.

This report has been reviewed and approved by the Board on 13 April 2026.

NOMINATION AND REMUNERATION COMMITTEE REPORT

The Board of Directors (“**the Board**”) of 99 Speed Mart Retail Holdings Berhad (“**99 Speedmart**” or the “**Company**”) is pleased to present the Nomination and Remuneration Committee (“**NRC**”) Report for the financial year ended 31 December 2025 (“**FYE 2025**”) in compliance with Paragraph 15.08(A)(3) of the Main Market Listing Requirements (“**MMLR**”) of Bursa Malaysia Securities Berhad (“**Bursa Securities**”).

The NRC was established on 15 February 2024 with the primary objective to assist the Board in fulfilling its fiduciary duties and responsibilities in accordance with its Terms of Reference (“**TOR**”).

This report provides shareholders comprehensive insights into activities of the NRC during the year under review. It highlights the important role the NRC plays in managing the Board composition remuneration and evaluation process for the effectiveness of the Board, Board Committees and individual Directors.

TERMS OF REFERENCE

The authorities, functions and responsibilities of the NRC are set out in its TOR, which is available on the Company’s website at <https://99speedmart.com.my/>.

The NRC shall review its TOR from time to time to ensure its TOR is in line with MMLR of Bursa Securities and Malaysian Code on Corporate Governance 2021 (“**MCCG 2021**”).

COMPOSITION

The NRC comprises three (3) members, all of whom are Independent Non-Executive Directors (“**INED**”) and chaired by Ms Nirmalah A/P V.Thurai. This composition complies with Practice 5.8 of the MCCG 2021, which recommended the NRC to be chaired by an INED. The NRC composition exceeds the minimum requirement stipulated in Paragraph 15.08(1) of the MMLR of Bursa Securities, that requires NRC must consist exclusively of non-executive directors, with a majority being independent.

The Company also adhered to Practice 1.4 of MCCG 2021, which stipulates that the Chairman of the Board should not be a member of the NRC.

As at the date of this report, the composition of the NRC is as follows:-

Name of NRC Member	Designation
Nirmalah A/P V.Thurai (<i>Chairperson</i>)	Independent Non-Executive Director
Dato’ Abdul Latif Bin Abu Seman (<i>Member</i>)	Independent Non-Executive Director
Ting Seng Hook @ Ting Seng Hee (<i>Member</i>)	Independent Non-Executive Director

MEETING

The NRC met once (1) during the financial year under review and the details of attendance of each NRC member are as follows:

Name of NRC Member	No. of NRC Meeting Attended	Percentage (%)
Nirmalah A/P V.Thurai	1/1	100%
Dato’ Abdul Latif Bin Abu Seman	1/1	100%
Ting Seng Hook @ Ting Seng Hee	1/1	100%

The agenda and meeting papers were uploaded electronically into a digital platform prior to the NRC meetings, which allows meeting papers and other information to be securely and remotely accessible by NRC in a timely manner.

NOMINATION AND REMUNERATION COMMITTEE REPORT

Cont'd

ROLES AND RESPONSIBILITIES OF THE NOMINATION AND REMUNERATION COMMITTEE

a) Appointment, Election and Re-election

The appointment of any additional Director is made as deemed necessary by the existing Board upon recommendation from the NRC with due consideration given to the mix of expertise, experience, character, integrity and knowledge necessary to ensure the Board's effectiveness. During the financial year under review, there were no new appointments to the Board.

In accordance with the Company's Constitution, at least one third (1/3) of the Directors are required to retire from office by rotation annually and subject to re-election at each Annual General Meeting ("AGM"). All Directors shall retire from office at least once every three (3) years but shall be eligible for re-election.

The NRC endorses the rotation list of Directors who stand for re-election at the AGM before recommending it to the Board for approval. In determining Directors' eligibility for re-election, the NRC assesses their competencies, commitment, contributions and performance based on the annual assessment. The assessment also considers their ability to act in the best interest of the Company, ensuring a thorough and comprehensive review of their suitability for re-election.

At the forthcoming Third AGM, Ms Lee Lay Liang, Mr Ho Tat Heng and Ms Serina Binti Abdul Samad ("**Retiring Directors**") shall retire from office and eligible for re-election pursuant to the Clause 100 of Company's Constitution. Based on the recent annual assessment including fit and proper evaluations, the NRC is satisfied with the performance of the Retiring Directors who are standing for re-election and has recommended to the Board their proposed re-election in accordance with the Clause 100 of the Company's Constitution. The Directors who stand for re-election at the upcoming Third AGM had consented for their re-election and signed the Fit and Proper Declaration prior to NRC's assessment, endorsement and recommendation to the Board for subsequent presentation to the shareholders for approval.

The NRC and the Board had at their respective meetings held on 26 January 2026 and 13 February 2026, endorsed and approved the aforesaid re-election of Directors. The Retiring Directors who are retiring abstained from deliberations and decisions on their own eligibility to stand for re-election at the meetings of the Board. Their profiles are set out in the section on Directors' Profile from page 122 to page 127 of this Annual Report.

b) Board Assessment and Annual Evaluation

The NRC is required to conduct an annual review of the required mix of skills and experience of the Directors, the overall effectiveness of the Board, succession planning and boardroom diversity, including gender, age, ethnicity and other forms of diversity. The NRC also evaluates the training needs for Directors and assesses other key qualities of the Board, including the core competencies that Non-Executive Directors should bring to the Board.

The evaluation of candidate suitability is based solely on their competency, character, time commitment, integrity and experience, ensuring they meet the needs of the Company. The assessment, along with the Directors' feedback, is summarised in a questionnaire evaluating the effectiveness of the Board and its Committees. This will be discussed at the NRC meeting and subsequently reported to the Board by the NRC Chairperson.

Pursuant to Practice 6.1 of the MCCG, a large company must undertake annual board evaluation and engage an independent expert at least three (3) years to facilitate the evaluation. The Board did not engage an external independent consultant to undertake a formal annual evaluation of the Board, Board Committees and each individual Director for the financial year under review. Instead, the annual assessment for the year 2025 was led by the Chairperson of the NRC and supported by the Company Secretaries on 26 January 2026. The Company will however consider engaging an external independent consultant to carry out such evaluation, as and when deemed necessary.

NOMINATION AND REMUNERATION COMMITTEE REPORT

Cont'd

ROLES AND RESPONSIBILITIES OF THE NOMINATION AND REMUNERATION COMMITTEE *cont'd*

b) Board Assessment and Annual Evaluation *cont'd*

The assessment was conducted by way of completion of questionnaires by each of the Directors which comprises of the following sections:-

- (a) Board and Board Committees Evaluation;
- (b) Directors' Self and Peer Evaluation;
- (c) Assessment of Character, Experience, Integrity, Competence and Time Commitment;
- (d) Assessment on Mix of Skill and Experience; and
- (e) Evaluation of the Level of Independence of an Independent Director.

The criteria adopted for the Board's performance evaluation includes Board mix and composition, quality of information and decision making, Board's relationship with the Management, Board activities, Board Chairman's roles and responsibilities and awareness of Environmental, Social and Governance issues, whilst the criteria adopted for the Directors' Self and Peer performance evaluation encompasses character, experience, integrity, competency and time commitment. The NRC has evaluated the performance of the Chief Executive Officer ("CEO"), Chief Operating Officer and Chief Financial Officer through evaluation forms completed by themselves respectively.

In January 2026, the Company Secretaries presented to the NRC and thereafter, to the Board the outcome and the summary of the Board Assessment and Evaluation for the year 2025 ("BAE 2025"). The Board resolved to adopt the BAE 2025 results as recommended by NRC's review. The results of the BAE 2025 indicated that the performance of the Board, the Board Committees, the individual Directors and members of the Board Committees collectively during the review period has been highly satisfactory, objective and professional.

The results of the BAE 2025 were also used as a basis for recommending the relevant Directors for re-election at the upcoming AGM, which is in line with the Directors' Fit and Proper Policy.

The Board believes that its current size and composition are optimal for the Group's operations, reflecting a well-balanced mix of financial, technical and business expertise crucial to the effective stewardship of the Group. The Board is satisfied with the performance of each Director, confirming that they have met the performance criteria set forth in the prescribed areas of assessment. The results of these evaluations serve as the foundation for the NRC's recommendations to the Board regarding the re-election of Directors at the upcoming Third AGM of the Company.

c) Succession Planning

The NRC is responsible for formulating the succession plan and policy for the Chairman of the Board, Executive and Non-Executive Directors, the CEO, and Senior Management. In fulfilling this mandate, the NRC considers succession-related matters arising from its deliberations, the challenges and opportunities facing the Company, and the skills, experience, and expertise required at the Board and senior leadership levels to support the Company's future needs.

The Succession Planning Policy and Procedures was adopted on 18 January 2024 and is available on the Company's website at www.99speedmart.com.my. The Company will review and update the Succession Planning Policy and Procedures from time to time to reflect the changes to the Company's policies and procedures to ensure it remains relevant and effective.

During the financial year under review, the NRC discussed the Group's succession planning and agreed that there is a strong pipeline of qualified talent for future Board appointments. The Board, through the NRC, leverages multiple channels to identify and assess potential candidates. This approach ensures the availability of suitable individuals whenever the need arises to appoint new Directors.

NOMINATION AND REMUNERATION COMMITTEE REPORT

Cont'd

ROLES AND RESPONSIBILITIES OF THE NOMINATION AND REMUNERATION COMMITTEE *cont'd*

d) Remuneration

■ Board Remuneration

The NRC will review and assess the remuneration packages, reward structure and benefits applicable to the Executive Directors and Key Senior Management (“KSM”) on an annual basis and makes recommendations to the Board. The Board as a whole will determine the remuneration of the Executive Directors and KSM with each individual Director abstaining from the deliberation and decision of their own remuneration.

The remuneration packages of Executive Directors and KSM comprise a fixed salary and allowances as well as bonus approved by the Board whilst the remuneration of the Non-Executive Directors comprises annual fees and meeting allowance for their services in connection with Board and Board Committee meetings. The remuneration and benefits payable to Non-Executive Directors are subject to shareholders’ approval at the AGM.

Details of Directors’ remuneration (both the Group and the Company) who served during the financial year under review are as follows:-

The Group

Category	Remuneration (RM'000)						Total
	Fees	Allowance	Salary*	Bonus	Benefits-in-kind	Other Emoluments	
Executive Directors							
Lee Thiam Wah	-	180	1,192	374	28	-	1,774
Lee Lay Liang	-	36	248	66	9	-	359
Lee Yan Zhong (Alternate Director to Lee Thiam Wah)	-	24	150	31	7	-	212
Leong Sau Chan (Alternate Director to Lee Lay Liang)	-	36	247	61	9	-	353
Non-Executive Directors							
Dato' Chua Tia Guan	169	18	-	-	-	-	187
Ng Lee Tieng	126	15	-	-	-	-	141
Ho Tat Heng	106	15	-	-	-	-	121
Nirmalah A/P V.Thurai	96	12	-	-	-	-	108
Serina Binti Abdul Samad	96	15	-	-	-	-	111
Dato' Abdul Latif Bin Abu Seman	96	15	-	-	-	-	111
Ting Seng Hook @ Ting Seng Hee	96	15	-	-	-	-	111
Total	785	381	1,837	532	53	-	3,588

Notes:-

* The salaries are inclusive of Employer's Provident Fund (EPF) contributions, Social Security Organisation (SOCSSO) and Employee Insurance Scheme (EIS).

NOMINATION AND REMUNERATION COMMITTEE REPORT

Cont'd

ROLES AND RESPONSIBILITIES OF THE NOMINATION AND REMUNERATION COMMITTEE *cont'd*

d) Remuneration

■ Board Remuneration

The Company

Category	Remuneration (RM'000)						Total
	Fees	Allowance	Salary	Bonus	Benefits-in-kind	Other Emoluments	
Executive Directors							
Lee Thiam Wah	-	-	-	-	-	-	-
Lee Lay Liang	-	-	-	-	-	-	-
Lee Yan Zhong (Alternate Director to Lee Thiam Wah)	-	-	-	-	-	-	-
Leong Sau Chan (Alternate Director to Lee Lay Liang)	-	-	-	-	-	-	-
Non-Executive Directors							
Dato' Chua Tia Guan	169	18	-	-	-	-	187
Ng Lee Tieng	126	15	-	-	-	-	141
Ho Tat Heng	106	15	-	-	-	-	121
Nirmalah A/P V.Thurai	96	12	-	-	-	-	108
Serina Binti Abdul Samad	96	15	-	-	-	-	111
Dato' Abdul Latif Bin Abu Seman	96	15	-	-	-	-	111
Ting Seng Hook @ Ting Seng Hee	96	15	-	-	-	-	111
Total	785	105	-	-	-	-	890

Non-Executive Directors receive Directors' fees and benefit payables from the Company, while Executive Directors are remunerated by the Group.

The remuneration of the Directors on a named basis for financial year under review are disclosed in the CG Report which is made available on the Company's website at www.99speedmart.com.my as well as via an announcement on the website of Bursa Securities.

■ Top five (5) senior management's remuneration

Details remuneration of the top five (5) senior management are not disclosed as the Board is of the view that it would not be in the best interest of the Company to disclose the aforesaid details in view of the competitiveness in the market for calibre senior management staff in the consumer products and services industry.

NOMINATION AND REMUNERATION COMMITTEE REPORT

Cont'd

ROLES AND RESPONSIBILITIES OF THE NOMINATION AND REMUNERATION COMMITTEE *cont'd*

e) Training

The NRC will assess the training and development needs of each Director on an ongoing basis to ensure they remain equipped with the relevant knowledge, skills and regulatory updates required to discharge their responsibilities effectively. This includes identifying areas for enhancement based on the evolving business environment, emerging governance trends, changes in statutory requirements, and the individual Director's roles within the Board and its Committees.

The NRC, with the support of Management, also reviews and monitors the completion of the recommended training programmes and continuous professional development activities by each Director. This oversight ensures that all Directors maintain the requisite competencies to contribute effectively to Board deliberations and uphold high standards of corporate governance.

The details of the training and development programmes participated by each of the Directors are set out in the Corporate Governance Overview Statements from page 141 to page 143 of this Annual Report.

SUMMARY OF WORK OF THE NOMINATION AND REMUNERATION COMMITTEE

The summary of the activities undertaken by the NRC in the discharge of its duties and responsibilities during the financial year under review, amongst others, include the following:

- Reviewed the effectiveness of the Board as a whole and the effectiveness of the Committees of the Board;
- Assessed the effectiveness of the Board as a whole, Board Committees and contributions of each individual Director as well as their character, experience, competence, integrity and time commitment and independence of Independent Directors. The NRC reviews annually the required mix of skills and experience including core competencies which Non-Executive Directors should bring to the Board and other qualities for the Board to function effectively and efficiently. The summary of the assessment and its findings was tabled to the NRC on 20 February 2025. Based on the summary as presented, the NRC tabled its recommendations to the Board at the Board of Directors' Meeting held on 24 February 2025;
- Reviewed and considered the mix of skills and experience of each individual Director including the core competencies of the Non-Executive Directors;
- Assessed the independence of the Independent Directors and is satisfied with the level of independence demonstrated by all the Independent Directors and their ability to act in the best interest of the Company;
- Reviewed the term of office and performance of Audit Committee and each of its members;
- Conducted assessment (including fit and proper assessment) on the Directors, Dato' Chua Tia Guan, Mr Lee Thiam Wah and Ms Ng Lee Tieng, who are subject to retirement by rotation at the Second AGM. The NRC was satisfied with the assessment of the abovementioned Directors and recommended the re-election of the said Directors for the Board's further recommendation to the shareholders for approval;
- Assessed and identified the training needs of Directors for continuous education purpose;
- Reviewed and recommended to the Board regarding the remuneration package of Executive Directors and Senior Management;
- Reviewed and recommended to the Board regarding the fees and benefits payable to the Non-Executive Directors for the period from 6 June 2025 and up to the conclusion of the Third AGM of the Company to be held in 2026; and
- Reviewed and recommended the adoption of Directors' Fit and Proper Policy, Diversity policy and Remuneration Policy to the Board for approval.

This report has been reviewed and approved by the Board on 13 April 2026.

DIRECTORS' RESPONSIBILITY STATEMENT

The Directors are required to prepare financial statements for each financial year which have been made out in accordance with the applicable approved accounting standards and give a true and fair view of the state affairs of the Company and the Group at the end of the financial year and of their results and cash flows for that financial year.

In preparing the financial statements of the Company and the Group for the financial year ended 31 December 2025 ("FY2025"), the Directors have:

- Adopted appropriate accounting policies and applied them consistently;
- Made judgments and estimates that are reasonable and prudent;
- Ensured that applicable accounting standards have been followed, subject to any material departures disclosed and explained in the financial statements; and
- Prepared the financial statements on a going concern basis, as the Directors have a reasonable expectation, after making appropriate enquiries, that the Company and the Group have adequate resources to continue in operational existence for the foreseeable future.

The Directors are responsible for ensuring that the Company and the Group maintain proper accounting records that accurately disclose the financial position of the Company and the Group and enable the financial statements to be prepared in accordance with the provisions of the Companies Act 2016.

The Directors are also responsible for taking reasonable steps to safeguard the assets of the Group and to prevent and detect fraud and other irregularities.